Before the Public Service Commission

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
And
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID

Direct Testimony

of

The Human Resources Panel

Dated: April 28, 2023

Testimony of The Human Resources Panel

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I. Introduction and Qualifications

Q. Please introduce the members of the Human Resources Panel.

A. The members of the Human Resources Panel are Maureen P. Heaphy and Vishal Singh.

Q. Please state your name and business address.

A. My name is Maureen P. Heaphy. My business address is 2 Hanson Place, Brooklyn, New York 11217.

Q. By whom are you employed and in what capacity?

A. I am employed by National Grid USA Service Company, Inc. ("Service Company"), a subsidiary of National Grid USA ("National Grid"), and currently hold the position of Vice President of Global Benefits. My responsibilities include overseeing benefit strategies, policies, and programs, including pension and retirement plans, for all National Grid U.S. operations, including The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, the "Companies"), and National Grid U.K. health and welfare benefit operations.

Q. Please describe your educational background and business experience.

A. I received a Bachelor of Science in Accounting and Computer Applications and Information Systems from New York University in 1983. In 1991, I received a Master of Business Administration in Finance from St. John's University. I joined KeySpan Corporation in 1983 and held several professional and managerial positions in Treasury and Accounting. In 1991, I joined the Human Resources organization where my focus has been on design, strategy, administration, and implementation of compensation, benefit, and pension programs for employees and retirees.

Q. Have you previously testified before the New York State Public Service Commission ("Commission") or any other regulatory commissions?

A. Yes. I testified before the Commission on behalf of the Companies in Cases 19-G-0309 and 19-G-0310 (the "2019 KEDNY and KEDLI Rate Cases"), and Cases 16-G-0058 and 16-G-0059 (the "2016 KEDNY and KEDLI Rate Cases"). I also testified on behalf of Niagara Mohawk Power Corporation before the Commission in Cases 20-E-0380 and 20-G-0381 (the "2020 NMPC Rate Case"), Cases 17-E-0238 and 17-G-0239 (the

"2017 NMPC Rate Case"), Cases 12-E-0201 and 12-G-0202, and Case 10-E-0050. I have also submitted testimony concerning matters related to employee compensation and benefits before: (i) the Massachusetts Department of Public Utilities on behalf of Massachusetts Electric Company, Nantucket Electric Company, Boston Gas Company, and Colonial Gas Company; (ii) the Rhode Island Public Utilities Commission on behalf of The Narragansett Electric Company; and (iii) the Federal Energy Regulatory Commission on behalf of National Grid Generation, LLC.

Q. Please state your name and business address.

A. My name is Vishal Singh. My business address is 2 Hanson Place, Brooklyn, New York 11217.

Q. By whom are you employed and in what capacity?

A. I am employed by the Service Company, and currently hold the position of Director of Global Compensation. My responsibilities include overseeing compensation strategies, policies, and programs for all National Grid U.S. and U.K. operations, including the Companies.

Q. Please describe your educational background and business experience.

A. I received a Bachelor of Arts in Economics from University of Delhi in 1991. In 1993, I received a Post Graduate Diploma in Personnel Management & Industrial Relations from Xavier's Labor Relations Institute. I have held several professional and managerial positions for over 25 years in various private and publicly held organizations in the Human Resources function where my focus has been on design, strategy, administration, and implementation of compensation, benefit, and pension programs for employees and retirees. I joined National Grid in October 2022.

Q. What is the purpose of the Panel's testimony?

A. The Panel's testimony addresses and supports the Companies' employee compensation, benefit, and pension costs, including those associated with medical, dental, life insurance, and other post-employment benefit ("OPEB") plans, for the twelve months ended December 31, 2022 ("Historic Test Year"), as well as the forecast costs for the twelve months ending March 31, 2025 ("Rate Year") and the twelve months ending March 31, 2026 ("Data Year 1"), March 31, 2027 ("Data Year 2") and March 31, 2028 ("Data Year 3") (collectively, the "Data Years"). The

information concerning projected cost changes has been provided to the Revenue Requirements Panel and was used to develop the Companies' proposed revenue requirements. The Panel will address changes in National Grid's workforce that affect the Companies' revenue requirements as well as the overall cost of the Companies' compensation and benefit programs.

The Panel will demonstrate that the costs of the total compensation and benefit programs included in the Companies' revenue requirements, which include the costs of base salary, performance-based variable pay, and various other benefits, are reasonable and necessary and must be incurred by KEDNY and KEDLI to meet their obligations to provide safe and reliable utility service to customers. To that end, the Panel will explain and support a detailed study of the Companies' total compensation and benefit programs for their management workforce, as well as analyses of the compensation and benefits provided to the Companies' union workforce. The results of these studies demonstrate that KEDNY and KEDLI's total compensation and benefit programs are reasonable and market competitive. The Panel will also explain specifically why the costs of the variable pay plan should continue to be included in the revenue

requirements and how that plan is structured to align the interests of the Companies with their customers.

In addition, the Panel will discuss National Grid's ongoing efforts to monitor and control the costs of various elements of the Companies' employee compensation, benefit, and pension package.

Q. Does the Panel sponsor any exhibits as part of this testimony?

A. Yes. The Panel is sponsoring the following exhibits that were prepared or compiled under its direction and supervision:

(i) Exhibit __ (HRP-1) sets forth a list of incremental positions that National Grid forecasts to be filled prior to the end of the Rate Year and the Data Years;

(ii) Exhibit __ (HRP-2) sets forth Willis Towers Watson's comprehensive evaluation of National Grid's compensation and benefits for management (non-union) employees. This exhibit consists of the following schedules:

Schedule 1 – Competitive Assessment of National Grid's Total Compensation and Benefits Package;

Schedule 2 – Target Compensation and Target Variable Pay as a Percent of Market Assessment; and

Schedule 3 – BENVAL Analysis for Management Employees: 2022 Benefit Plans

(iii) Exhibit __ (HRP-3) sets forth information provided by Willis Towers Watson concerning increases in management base salary costs during the relevant periods, as well as historical information concerning increases in cash compensation provided by National Grid since 2013. This exhibit consists of the following schedules:

Schedule 1 – Market Merit Increases; and

Schedule 2 – 10 Year Wage Increase History

(iv) Exhibit __ (HRP-4) sets forth evaluations of KEDNY and KEDLI's compensation and benefits for union employees. This exhibit consists of the following schedules:

Schedule 1 – General Wage Increases for Union Employees;

Schedule 2 – Union Wage Comparison for KEDNY Employees – Local 101;

Schedule 3 – Union Wage Comparison for KEDLI Employees – Local 1049;

Schedule 4 – BENVAL Analysis for KEDNY Union Employees – 2022 Benefit Plans for Local 101; and

Schedule 5 – BENVAL Analysis for KEDLI Union Employees – 2022 Benefit Plans for Local 1049

Q. How is the oversight of the Human Resources function conducted at National Grid?

A. The oversight of National Grid's Human Resources function is performed on a centralized basis and, with certain limited exceptions, uniform compensation, benefit, and retirement packages for management employees have been instituted for all National Grid U.S. based operations, including KEDNY and KEDLI.

Q. Is a portion of the Companies' workforce unionized?

A. Yes. The majority of the Companies' employees are unionized and members of collective bargaining units. The union employees in KEDNY are members of the Transport Workers Union of America, AFL-CIO, Local 101 ("TWU Local 101") and the International Brotherhood of Electric Workers Local 3 ("IBEW Local 3"). The union employees in KEDLI are members of the International Brotherhood of Electric Workers Local 1049 ("IBEW Local 1049"). The total compensation and benefits for all represented workers are determined by collective bargaining.

II. Workforce Adjustments

Q. Do the Companies' revenue requirements include any costs associated with incremental positions that are forecast to be filled through the end of the Rate Year?

A. Yes. National Grid expects to fill 234 incremental positions before the end of the Rate Year and forecasts the need for 310 incremental positions by the end of Data Year 3. Exhibit __ (HRP-1) sets forth a list of these positions. The Company will update this list as the case proceeds. The need for these employees is discussed in the testimony of the following witness panels: Customer ("CP"), Gas Infrastructure and Operations ("GIOP"), and Gas Safety ("GSP"). The revenue requirement impacts associated with these additional positions are discussed in KEDNY and KEDLI's respective Revenue Requirement Panel's ("RRP") testimony.

Q. Are there any other adjustments to National Grid's management and union workforces as of December 31, 2022 that should be made to arrive at a representative workforce level in the Rate Year?

A. Yes. Additional adjustments were made to eliminate 44 KEDNY/KEDLI and Service Company management employees and 118 KEDNY/KEDLI and Service Company union employees who were on long-term leave as of December 31, 2022 and are not expected to return. In addition,

adjustments were made to add 23 KEDNY/KEDLI and Service Company seasonal management employees, and one Service Company seasonal union employee to bring the Rate Year count of temporary employees equal to the Historic Test Year average. The adjustments to the revenue requirements associated with these employees are reflected in Exhibit ___ (RRP-11), Workpapers to Exhibit ___ (RRP-3), Schedule 23, Workpapers 1 and 2, which is sponsored by the RRP.

III. Review of Compensation and Benefits

Q. Please describe National Grid's philosophy concerning employee wages and benefits.

A. National Grid's overall approach to compensation is to ensure that: (i) a significant portion of employee compensation is tied to the attainment of performance goals that create benefits for customers and are consistent with the policy goals established by National Grid's regulators, (ii) employees' total compensation is comparable to median compensation for comparable positions in both the utility industry and general industry and is reasonable after considering base and variable pay and benefits in total, and (iii) variable pay is based on both the overall performance of National Grid and the performance of each individual in achieving goals that are tied to the attainment of customer satisfaction, safety, and reliability

objectives. To provide safe, reliable, and efficient utility service to its customers, National Grid must attract, retain, and engage high performing, qualified personnel.

To accomplish this, National Grid provides a total compensation package that recognizes and rewards excellence, maintains fair and competitive market pay and benefits for employees, and encourages employees to improve skills while providing a safe working environment. Doing so under the cost containment pressures faced by all companies is a critical challenge. To meet this challenge, National Grid developed a "Total Rewards Program" to provide employees with an overall compensation, benefits, and retirement package that is market competitive, offers flexibility and choice, and supports a high-performance culture by directly linking performance to rewards. By maintaining a comprehensive and competitive approach to total rewards that establishes appropriate levels of pay and benefits, National Grid can attract and retain a high-quality workforce and motivate employees to perform at high levels.

Q. What are the elements of the Total Rewards package?

A. The compensation elements of the Total Rewards package are cash compensation, which includes both fixed and variable pay, and a number

of benefits, which include medical and dental plans, life insurance, long-term disability, a 401(k) savings plan, retirement plans, OPEBs, vacations, and holidays. It is National Grid's philosophy and practice to require employees to share the costs of certain benefits, consistent with market practice.

Q. Please describe National Grid's efforts to ensure the reasonableness of the cost of the wages and benefits it offers to employees.

A. As part of its effort to provide a market competitive package while controlling the cost of compensation, benefit, and pension programs, National Grid monitors the marketplace to ensure that its cash compensation and benefit programs are both cost-effective and sufficient to attract, retain, and engage the skilled workforce needed to deliver excellent customer service and achieve the Companies' clean energy goals. Specifically, National Grid utilizes the services of Willis Towers Watson to provide information concerning the overall competitiveness of its compensation and benefits package.

Q. Did Willis Towers Watson recently conduct a study of the competitiveness of the overall compensation package offered by National Grid to its management employees?

A. Yes. Willis Towers Watson recently conducted a study of the competitiveness of the overall compensation package offered by National Grid to its management workforce. This study involved analysis of the total cash compensation (fixed and variable) and employee benefits package offered by National Grid to its management employees. On an overall basis, this study concluded that the value of National Grid's overall compensation and benefits package is in line with the median value of the peer group's package, in other words generally within the 10 percent corridor (90-110 percent) that is considered the zone of reasonableness. The results of the management study are set forth on Exhibit __ (HRP-2).

Q. Please explain how Willis Towers Watson performed its study of the competitiveness of National Grid's management compensation.

A. Willis Towers Watson compared the total management compensation and benefits package provided by National Grid to the total management compensation and benefits packages provided by 38 peer companies. These peer companies include utility companies (*e.g.*, Consolidated Edison Company of New York, Inc., Eversource Energy), and general

businesses that have significant workforces in the United States (*e.g.*, Colgate-Palmolive, United States Steel Corporation). While many of these companies are comparable in size to National Grid in terms of revenues, some are smaller, and some are larger.

Q. Does the peer group provide a representative sample of the types of entities that National Grid competes with to attract management employees?

A. Yes. On an overall basis, it is reasonable to compare National Grid's total management compensation package to the companies set forth in the peer group used by Willis Towers Watson. National Grid believes that if its total compensation package falls within a 10 percent corridor of the median level of these companies, then the overall package is reasonably designed to enable National Grid to attract and retain highly qualified management employees. The results of the study show that National Grid's total compensation package is slightly below median, and National Grid is proposing certain adjustments, discussed more fully later in this testimony that will ensure that National Grid's compensation will continue to approach the median level.

Q. Please explain how Willis Towers Watson performed its comparison of the total compensation package provided by National Grid to that provided by the peer group companies.

A. This comparison was performed by analyzing: (i) the total cash compensation, including both fixed and variable pay, provided to employees in approximately 98 percent of the management positions at National Grid to the total compensation, including both fixed and variable pay, provided by the peer group companies, and (ii) the relative value of the benefits provided to National Grid employees in comparison to the relative value of the benefits provided by the peer group. The positions evaluated by Willis Towers Watson represent approximately 6,900 employees of National Grid's total management workforce of approximately 7,050 employees as of January 2023. The results of the cash compensation and benefits comparisons were added together to arrive at the total compensation and benefits value. The result of the total compensation study is that National Grid's total package of management compensation is generally close to the median level of the peer group, as shown on Schedule 1 of Exhibit __ (HRP-2).

Q. Please explain why Willis Towers Watson's study compares the relative value of National Grid's total compensation to the relative value of the total compensation provided by the peer group.

A. The purpose of performing an overall compensation study is to determine whether the total level of cash compensation and benefits is sufficient to attract a highly qualified workforce. From this perspective, cash compensation – fixed and variable – is best analyzed by comparing the cash compensation provided to various positions at National Grid to cash compensation provided by other companies with comparable positions. In this case, Willis Towers Watson analyzed the cash compensation provided by members of the peer group to management positions that fall within various salary bands to the equivalent cash compensation provided to the equivalent positions at National Grid. The comparison of total compensation for various benchmarked positions produces an overall comparison of cash compensation that permits National Grid to evaluate whether management positions within various salary bands are receiving a reasonable (*i.e.*, within the 10 percent corridor of the median) level of cash compensation that will ensure that National Grid remains competitive in the labor market. The results of these analyses are set forth in Schedule 2 of Exhibit __ (HRP-2).

In contrast, acquiring information concerning peer companies' costs of various employee benefits and comparing those costs is very difficult, if not impossible. The reason for this is that the cost of various benefits can vary dramatically from year to year and from company to company. For example, the cost of pension and OPEBs can change because of changes in the funded status of the plans established to provide those benefits, the investment performance of the plans, and the mortality rate of those participating in the plan.

Similarly, the cost of health insurance can vary because of the claims experience of individual companies and the age and health of individual employees in the workforce and their dependents. Changes in costs associated with these factors do not determine whether the benefits being provided by a particular company are competitive. Instead, it is the relative value of the benefits that provides the proper measurement of whether a benefits package is sufficient to attract, retain and engage highly qualified personnel. The analyses performed by Willis Towers Watson properly consider the relative value of the benefits being provided by National Grid and the peer group.

Q. Are the analyses of compensation and benefits being presented in this case comparable to the analyses that were presented in previous cases involving Companies or other National Grid affiliates?

A. Yes. The analyses follow the same basic methodology that was presented to, reviewed, and accepted by the Commission in the 2016 and 2019 KEDNY and KEDLI rate cases, the 2017 NMPC Rate Case, and the 2020 NMPC Rate Case.

Q. How did Willis Towers Watson determine the relative value of the benefits package provided by National Grid and the peer group?

A. The relative value of the various benefits is established based on a common set of actuarial assumptions and a single employee population. This establishes a controlled environment in which differences in value are exclusively a function of the differences in benefit plan provisions. The relative value of various benefits is determined by dividing the value of the particular benefit for individual companies by the average value of all the companies in the peer group. Relative values are developed for each benefit and for the entire benefit plan.

Q. Are all elements of National Grid's compensation package – fixed compensation, variable compensation, and benefits – necessary elements of its overall compensation package?

A. Yes. National Grid's overall management compensation package is designed to be competitive with the marketplace. It is the total compensation package – fixed cash compensation, variable compensation, benefits, and pensions – that permits National Grid to be competitive with the marketplace. The fixed component of National Grid's cash compensation package along with the benefits package is insufficient to be competitive with the marketplace. If National Grid did not provide variable pay, it likely would not be able to attract the caliber of employees it seeks to hire because its compensation package would not be competitive. Indeed, if National Grid did not have variable pay as a component of its compensation package, its package would only be 86 percent of the median compensation, as noted in Schedule 1 of Exhibit __ (HRP-2).

Q. In addition to the analysis of total compensation being presented in these cases, does National Grid also undertake analyses of various individual elements of its compensation to ensure that these individual elements remain competitive with the marketplace?

A. Yes. While it is important that National Grid's total compensation package remains competitive with the marketplace, it is also important that individual elements of the compensation package remain competitive, as well. Thus, National Grid also undertakes efforts to ensure that: (i) its total cash compensation (fixed and variable pay), and (ii) various benefits, such as healthcare and retirement benefits, individually track the market. National Grid needs to stay well-informed of what workers demand in today's labor market. To that end, in addition to ensuring that its overall compensation is reasonable, National Grid utilizes the services of Willis Towers Watson to ensure that its total cash compensation (fixed and variable) is at or near median levels as compared to the peer group, and that its various key benefits remain at that level, as well. Analyses of individual elements of National Grid's compensation and benefits package are included in Schedules 2 and 3 of Exhibit __ (HRP-2). As can be seen from the data provided in these schedules, National Grid is currently in a competitive position with respect to total cash compensation and total benefits.

IV. Management and Union Compensation

Q. Previously in this testimony, the Panel mentioned that the total compensation of employees is intended, on average, to approximate median compensation levels. Do individual employee salaries deviate from these levels?

A. Yes. Individual salaries deviate above and below the median levels based on experience, individual performance, and length of time in a position.

Q. Is the officer compensation program similar in philosophy and operation to the management cash compensation program?

A. Yes. The approach taken with respect to officer compensation is basically the same as described for the management employee program. Overall compensation for officers, including National Grid's top officers, is benchmarked to median compensation of an appropriate peer group and includes a variable pay component. For purposes of preparing the revenue requirements, the Companies have included payroll expense for only the fixed compensation (base pay) and the benefits component of the compensation package for National Grid's top officers, referred to as Band A employees. The variable pay component for National Grid's Band A employees is not included in the revenue requirements.

Q. Please describe the "banded" approach to overall compensation.

A. National Grid's compensation structure comprises six bands. Band A consists of the top officers such as jurisdictional presidents, chief operating officers, and senior vice presidents. Band B consists of less senior officers (vice presidents). Band C is primarily for directors who report directly to an officer. Band D is for managers who have at least one direct report or may directly report to an officer. Band E is for supervisors who must have at least one direct report and who report to a director or manager. Band F is for general administrative staff. Bands D, E, and F are also for individual employees with unique career paths. Each band has a salary range that consists of a minimum and a maximum salary as well as multiple market reference points within the band. The market reference points track the varying levels of compensation for positions within the bands. The structure is reviewed annually by the Human Resources function. The band structure employed by National Grid generally corresponds to the market study prepared by Willis Towers Watson in analyzing National Grid's total compensation.

Q. Please describe National Grid's variable pay program.

A. National Grid's variable pay program is known as the Annual Performance Plan (the "Plan"). As discussed above, the Plan is a critical

element of National Grid's total compensation package. The purpose of the Plan is to ensure that employees are working toward common goals that incorporate the perspective of customers and regulators and that high performance is recognized. The Plan is intended to motivate employees to achieve the highest possible level of individual performance while ensuring that, all safety, health, and environmental requirements are adhered to, and standards of customer service are achieved. The Plan is designed to ensure that variable pay is based on both the overall performance of National Grid and the performance of the individual. It is imperative that individual performance goals, which are applicable to management employees only, reflect objectives that provide employees with a greater line of sight as to how they support the overall corporate objectives and create value for customers.

Q. Do all management employees participate in the Plan?

A. No. There are a few management employees who are covered by a sales commission plan. These commissioned employees do not participate in the Plan and are not eligible for any variable pay awards under the Plan. Seasonal and temporary employees are also ineligible for participation in the Plan due to their temporary employment status.

Q. Please elaborate on the goals established under the Plan.

A. The Plan's goals include clear linkage to objectives that are consistent with the interests of customers and Commission policies. The corporate goals in the Plan are linked directly to the U.S. business strategy which is focused on delivering clean, reliable, and affordable energy to National Grid's customers. The corporate objectives ("US Focus Areas") are built around four strategic priorities – enabling the energy transition for all customers, delivering for National Grid's customers efficiently, growing National Grid's organizational capability, and empowering employees to achieve great performance. These priorities will foster the enhancement of the Company's connection with its customers and stakeholders, delivering energy with greater safety and reliability, and investing in infrastructure and networks across National Grid's U.S. footprint. The key performance metrics are concentrated on continuing to drive toward a net-zero greenhouse gas emissions future, delivering safe, reliable, and affordable energy to National Grid's customers efficiently, and maturing National Grid's digital capabilities to enhance customer satisfaction and help enable the energy transition for all.

The Plan has been structured to establish the following percentages for payouts: (i) Bands C through F – 60 percent based on US Focus Areas and

40 percent based on individual objectives, and (ii) Band B – depending on the role within the organization, the percentage based on financial objectives can range from 0 percent to 60 percent with the balance being tied to US Focus Area objectives and/or individual objectives. As discussed earlier, to the extent that the variable pay of a Band B employee is based on financial objectives, it is not included in the revenue requirement.

The payout percentages for Bands C, D, E, and F comprise the majority of National Grid's management employees with the greatest amount of contact with customers. With 60 percent of the payout for these employees tied to the achievement of enabling the energy transition, safety, reliability, customer metrics, and efficiencies, the variable pay plan is specifically designed to focus this group on objectives that benefit customers.

Q. Please describe the metrics that National Grid will evaluate to determine whether it has met its corporate objectives for the four strategic priorities.

A. For enabling the energy transition for all customers, National Grid has developed performance metrics that measure energy efficiency program

delivery, leak prone pipe replacement, and the implementation of "future of heat" pilots. For delivering for National Grid's customers efficiently, performance metrics focus on improving our relationship with our customers through increased engagement, service satisfaction, product experience, and trust. In addition, National Grid measures its performance against reliability metrics applicable in the jurisdictions in which it operates, including those adopted by the Commission. There are also performance metrics that measure controllable costs and community engagement, which supports National Grid's Responsible Business Charter. For empowering employees to achieve great performance, the performance metrics focus on safety and diversity. Similar to the reliability metrics, National Grid will measure its performance against safety metrics applicable to the jurisdictions in which it operates, including those adopted by the Commission. For growing our organizational capability, pipeline safety maturity is tracked, which reflects progress on the Companies' safety management system within an industry standard framework, in addition to digital maturity, which monitors how the Company's digital capabilities are able to deliver enhancements and help enable the energy transition in the business.

Q. How are individual objectives established under the Plan?

A. Individual objectives are established for management employees by individuals in consultation with their managers and supervisors. These objectives are individually designed to ensure that employees are enhancing their expertise and performing their assigned tasks at the highest possible levels. In addition, individual objectives are designed to focus employees on common goals. For example, the individual objectives for a manager charged with completing regulatory reports might include: (i) completing all required reports in a timely fashion; (ii) taking continuing education classes to ensure that the manager is aware of recent changes in reporting requirements and regulatory policies that may affect these reports; and (iii) leading and developing his or her team. Objectives are established for individual employees shortly after the start of the Plan year.

Q. Is employee performance under the variable pay plan considered in evaluating candidates for promotion?

A. Yes. Employees' success in achieving the goals established each year under the variable pay plan is a significant factor that is considered in evaluating employees for promotional opportunities. The individual goals established for employees are designed to encourage their professional

growth and to put them in a position to qualify for promotions when opportunities arise.

Q. Please explain why National Grid includes a variable pay component as part of total cash compensation for its employees.

A. Variable cash compensation provides direct and specific incentives to employees to achieve or exceed certain operating performance goals of importance to National Grid, its customers, and its regulators, including the customer service, safety, and reliability metrics the Commission has approved for KEDNY and KEDLI. Accordingly, the variable pay component of National Grid's overall employee compensation package aligns the interests of National Grid and KEDNY and KEDLI with the interests of its customers and regulators and assists the Companies in meeting its public policy objectives. Moreover, as noted above, under National Grid's total compensation structure, base pay and benefits alone are not an adequate level of compensation to allow National Grid to meet its goal of attracting and retaining highly qualified employees to provide safe, reliable, and efficient service to customers. Today's marketplace dictates that variable pay is a fundamental component of any private sector entity's efforts to attract qualified employees, as demonstrated by the fact that 96 percent of the positions in the peer group have variable pay

included in their compensation packages. Top talent in the market demands compensation that is directly linked to performance. For National Grid to compete in this marketplace and be viewed as an employer of choice, variable pay must be a part of the overall compensation package. If National Grid did not have a variable pay component, it would be out of step with the market and likely would not be able to attract the highly motivated employees necessary for KEDNY and KEDLI to deliver outstanding customer service in a reliable, efficient, and safe manner.

Q Is it correct that the variable pay plan at National Grid is pay-at-risk?

A. Yes, that is correct. National Grid's variable pay plan is designed to be part of a total compensation program; it is a pay-at-risk plan, not extra or bonus pay. This conclusion is borne out by the analysis of total compensation prepared by Willis Towers Watson. The variable pay component is labeled "pay-at-risk" because if performance measures are not achieved, employees will not receive their variable pay. This "at-risk" compensation allows National Grid to align pay with performance that is consistent with the goals of customers and regulators and to allocate compensation to those employees who are most deserving. Thus, variable compensation is not "bonus" or "optional" compensation that National

Grid provides to employees, but a required element in the total compensation program and a necessary and prudent cost of doing business.

Q. Do the goals of National Grid's variable pay plan promote employee conduct that is contrary to Commission policy or the interests of National Grid's customers?

A. No. The goals of the Plan have been designed to ensure that they promote safety, reliability, and the delivery of a high level of service to our customers. This includes the individual objectives, which are typically directly tied to established service quality measures such as safety, reliability, and customer satisfaction and further support the corporate objectives, which are all focused on our customers. The goals of the Plan are fully consistent with Commission policy and the interests of National Grid's customers.

Q. How did KEDNY and KEDLI determine the level of variable pay expense included in their proposed revenue requirements?

A. Similar to the approach followed by National Grid in the 2016 and 2019 KEDNY and KEDLI Rate Cases and the 2017 and 2020 NMPC Rate Cases, the level of variable pay expense included in the proposed revenue

requirements does not reflect any variable pay component for National Grid's employees in Band A or the variable pay component for National Grid's employees in Band B that is tied to the achievement of overall financial objectives. In addition, the Companies propose to continue the current reconciliation whereby any variable compensation amounts reflected in rates that are not paid to employees for any reason are deferred with appropriate carrying costs and returned to customers.

KEDNY is proposing to include the following levels of variable compensation expense in its revenue requirements in this proceeding: approximately $12.392 million for the Rate Year, approximately $12.870 million for Data Year 1, $13.368 million for Data Year 2, and $13.881 million for Data Year 3. KEDLI is proposing the inclusion of the following levels of variable compensation expense in its revenue requirements in this proceeding: approximately $7.606 million for the Rate Year, approximately $7.899 million for Data Year 1, $8.204 million for Data Year 2, and approximately $8.520 million for Data Year 3.

The adjustments to the amounts included in the Data Years reflect the application of a labor inflation factor, as discussed in the testimony of the RRP. In determining the variable pay included in the Rate Year for both

KEDNY and KEDLI, the Companies have assumed that they will attain the target levels of performance and payout.

Q. Do the variable pay amounts the Companies are proposing to include in the revenue requirements include any payments to union employees?

A. Yes, they do. Variable pay for union employees is discussed later in the Panel's testimony.

Q. Do they include any payments to employees who are covered by the sales commission plan?

A. No, they do not.

Q. What do you mean by "target levels?"

A. "Target levels" represent a level of performance that is judged to be 50 percent of stated maximums. Target performance is best described as an above average level of performance that is consistent with overall expectations. Achieving target performance requires employees to perform at a high, but nonetheless expected level. High performers would exceed "target levels" while average or below average performers would fall below "target levels."

Q. Please discuss the Commission policy concerning variable pay.

A. KEDNY and KEDLI's current rates, as adopted by the Commission in the 2019 KEDNY and KEDLI Rate Cases, reflect an amount of variable compensation expense and, most recently, the rates that were adopted by the Commission and took effect on July 1, 2021 in the 2020 NMPC Rate Case also reflect an amount of variable compensation expense.

In addition, in a decision involving Orange and Rockland Utilities, Inc. in Case 10-E-0362 ("O&R"), the Commission indicated that there were two ways a utility could substantiate that variable pay expense should be included in the revenue requirement. First, a utility could attempt to justify the inclusion of variable pay expense by demonstrating that: (i) total compensation, including variable compensation for a class or classes of employees, is reasonable by reference to a study that compares total compensation to that provided by similarly situated companies; and (ii) that the variable compensation plan supports the provision of safe and adequate service and does not promote employee behavior that would be contrary to customer interests or Commission policies. Second, to the extent a utility seeks funding in rates for a variable compensation program that would award payments above what would be considered reasonable total compensation for a particular class of employees, then the utility

must demonstrate that such a program will return quantifiable or demonstrated benefits to customers in a financial sense or in terms of reliability, environmental impact or customer service that justify the variable pay expense.[1]

Q. Do the Companies believe that their rate filings in these cases justify the inclusion of variable pay expense under either of the tests adopted by the Commission?

A. Yes. KEDNY and KEDLI believe that this testimony and the associated exhibits support findings by the Commission that: (i) the Companies' total compensation expense, including variable pay expense, is reasonable compared to the similarly situated companies included in the compensation study; (ii) the Companies' variable compensation plan does not promote employee behavior that would be contrary to customer interests or Commission policies; and (iii) the Companies' variable pay program is designed to encourage employees to attain objectives that support the provision of safe and adequate service and are consistent with the interests of customers and the Commission's policy concerning variable pay. The analyses of total compensation presented in this

[1] Case 10-E-0362, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service, Order Establishing Rates for Electric Service (Issued and Effective June 17, 2011).

testimony are consistent with the types of analyses that the Commission determined would be necessary to justify inclusion of variable pay costs in rates.

Q. Did National Grid increase management wages in the Historic Test Year?

A. Yes. During the Historic Test Year, National Grid increased management wages by 4.50 percent, on average, effective July 1, 2022.

Q. Is National Grid projecting any management wage increases in the period covered by the Companies' rate filings in these proceedings?

A. Yes. National Grid is projecting the following increases:

Effective Date	Percentage
July 1, 2023	4.5 percent
July 1, 2024	4.0 percent
July 1, 2025	4.0 percent
July 1, 2026	4.0 percent
July 1, 2027	4.0 percent

The management wage increase that will take effect on July 1, 2023 was approved by the Executive Committee in February 2023. The forecast of proposed increases in management wages is based on market studies that are currently available to National Grid, including the information set forth in Schedule 1 of Exhibit __ (HRP-3). Nonetheless, National Grid will continue to monitor market information and may revise its projections if market conditions require such adjustments.

Q. Please explain what is included in the 4.5 percent management salary increase approved for July 1, 2023.

A. The 4.5 percent includes a 4.0 percent average increase in base pay provided to National Grid's entire management workforce. The remaining 0.5 percent represents increases associated with career path progressions.

Q. Does National Grid follow the same compensation philosophy for its union employees?

A. Yes. However, the compensation provided to union employees is the result of collective bargaining. Pursuant to their respective union contracts, members of TWU Local 101 (KEDNY) will receive a base wage increase of 3.0 percent on October 16, 2023, October 16, 2024, and October 16, 2025, and members of IBEW Local 1049 (KEDLI) received a

base wage increase of 3.0 percent on February 14, 2023 and will receive 3.0 percent on February 14, 2024. These base wage increases are also set forth in Schedule 1 of Exhibit __(HRP-4). Because all of these collective bargaining agreements are scheduled to expire during these rate proceedings (the TWU Local 101 contract expires on October 15, 2026, the IBEW Local 3 contract expires on October 15, 2023, and the IBEW Local 1049 contract expires on February 13, 2025), the Companies have included projected base pay increases in the revenue requirements, assuming new contracts are negotiated upon the expiration of the existing contracts. These projections are not intended to guarantee that increases will be included in the contract negotiations.

Q. Does compensation for union employees also include a variable pay component?

A. Yes. Variable pay gives union employees a stake in National Grid's performance and provides direct incentives for employees to strive to meet or exceed metrics tied to safe, reliable, and efficient performance, which, in turn, results in better service for customers. As with the management program, the variable compensation component is part of the total compensation package designed to link rewards and results. Because this compensation philosophy is an important part of National Grid's effort to

deliver value to customers, including variable pay as a component of compensation for union employees has been one of National Grid's priorities in labor negotiations. Under the current collective bargaining agreements, union workers participate in the same variable pay plan as management employees. For KEDNY, members of TWU Local 101 and IBEW Local 3 have a target award opportunity of 2.5 percent of base pay. For KEDLI, members of IBEW Local 1049 also have a target award opportunity of 2.5 percent of base pay. The payout for union employees is tied to the same corporate performance metrics (US Focus Areas) that are applicable to management employees. As previously discussed, these metrics are focused on enhancing safety, reliability, and the Companies' relationship with customers.

Q. Has National Grid attempted to evaluate whether the cash compensation and benefits provided to union employees are reasonable?

A. Yes. National Grid recently reviewed analyses of the compensation and benefits provided to its union workforce. Willis Towers Watson assisted National Grid in preparing the benefits portion of this study. Willis Towers Watson also provided data concerning the cash compensation paid to certain positions that are held by National Grid's union workers. The

results of the analyses are set forth on Exhibit __ (HRP-4) and they demonstrate that National Grid's union total cash compensation is slightly above market competitive levels; the benefits for KEDNY are below the market median while the benefits for KEDLI are above the market median.

Q. Please explain how Willis Towers Watson analyzed the competitiveness of KEDNY and KEDLI's union benefits package.

A. Willis Towers Watson compared the total benefits package provided to KEDNY and KEDLI union workers to the total benefits package provided by 15 peer companies with unionized workforces. The analyses were performed in a manner similar to the analysis of management benefits and were accomplished by analyzing the relative value of benefits provided by National Grid to its union workforce to the relative value of the benefits provided by the peer group to their equivalent workforces. In total, these analyses showed that the employer value of the benefits provided by National Grid to KEDNY's unionized workforce was below the median level of the peer group and the value of the benefits provided by National Grid to KEDLI's unionized workforce was above the median level of the peer group. The results of the analyses are set forth in Schedule 4 and Schedule 5 on Exhibit __ (HRP-4).

Q. Did Willis Towers Watson attempt to analyze the cash compensation provided to union workers in the union peer group?

A. Willis Towers Watson does not have information available that specifically addresses cash compensation paid to unionized workforces of the peer group used to compare union benefits. Moreover, the Bureau of Labor Statistics ("BLS") does not provide such information. However, the BLS does provide general information on differences between union and management wages, and Willis Towers Watson did have information for certain positions that are filled by union workers at KEDNY and KEDLI. That data is included in Schedules 2 and 3 of Exhibit __ (HRP-4).

Q. Please describe the compensation data that was provided by Willis Towers Watson and used by National Grid to evaluate its union compensation.

A. The data was obtained from a survey of 175 utility and energy companies conducted by Willis Towers Watson. The participants ranged in size from companies having revenues of less than $1 billion annually (39 participants) to participants having revenues of more than $6 billion annually (36 participants). The data was provided for non-union positions that could be compared to some of KEDNY and KEDLI's most common union positions. This cash compensation data was adjusted upward by

eight percent to account for the wage premiums that are typically reflected in the collective bargaining agreements of unionized workforces based on information provided by the BLS concerning the difference between union and management compensation in the utility industry. KEDNY and KEDLI's hourly wages for equivalent positions were generally higher than the hourly wages identified by Willis Towers Watson. This comparison is set forth on Schedules 2 and 3 of Exhibit __ (HRP-4).

Q. Does the analysis of cash compensation provided to union workers consider the impact of variable pay?

A. Yes. The level of variable pay provided to the Companies' union workforce at target increases the workers' cash compensation by 2.5 percent for members of TWU Local 101, IBEW Local 3, and IBEW Local 1049. Thus, on Schedules 2 and 3 of Exhibit __ (HRP-4), KEDNY and KEDLI's union wages are adjusted upward by these percentages to compare them to the cash compensation, including variable pay, provided to the comparison group. This comparison shows that the total cash compensation, including variable pay, provided to the Companies' union workforce is above the market median when compared to the comparison group.

Q. What are the performance objectives of the union variable pay plan?

A. As previously mentioned, the performance objectives are tied to corporate goals with performance metrics for safety, reliability, and the customer experience. These goals are consistent with the Commission's policies and customer interests. The union variable pay plan is designed to encourage union workers to assist the Companies in providing safe and reliable utility service to customers.

V. Cost Control Measures

Q. What efforts has National Grid undertaken to control costs associated with its health and welfare programs?

A. National Grid has taken many steps to control the costs associated with health and welfare benefit programs. These steps include:

(i) The majority of National Grid's health and welfare benefit plans are self-insured, which affords National Grid a greater ability to control costs than it would have under third-party insurance programs. Because these plans are self-insured, the program costs are directly linked to the utilization of benefits. National Grid's medical plans also provide extensive health and wellness programs designed to reduce health risks and thereby help mitigate costs. These programs, combined with coverage

for preventive check-ups and screenings, provide a benefit structure that, over time, should help to mitigate costs and improve employee wellness.

(ii) National Grid aggressively negotiates with vendors and periodically conducts a competitive bidding process to achieve the lowest administrative service fees and premiums and to obtain maximum discounts when rolling out a new program or upon the expiration of an existing contract. For example, as a result of a market check on prescription drug costs performed in late 2022, National Grid was able to negotiate improved pricing with CVS/Caremark, our national Pharmacy Benefits Manager ("PBM").

(iii) The prescription drug program is carved out of each medical plan and is administered in its entirety with a CVS/Caremark plan. Because CVS/ Caremark is National Grid's PBM for its entire U.S. business, National Grid has been able to gain economies of scale and incurs lower expenses by leveraging a volume discount.

(iv) Generic step therapy, specialty preferred drug therapy, an exclusive specialty pharmacy program and mandatory mail order for maintenance drugs were introduced into the prescription drug programs to lower prescription drug costs.

(v) Implementation of a "dispense as written" penalty where employees pay more for a brand name prescription drug when a generic alternative is available.

(vi) Prior authorization for compounded drugs costing more than $300 is required in the prescription drug programs. In addition, bulk powders were excluded from coverage for compound drugs. Compounded drugs may contain three to five drugs along with expensive bases and solvents in the preparation that dramatically increase the cost.

(vii) A standard formulary was implemented in addition to an advanced control specialty formulary to help ensure clinically appropriate utilization and cost effectiveness of specialty therapies.

(viii) Consumer-driven health plans ("CDHPs") have been introduced into the medical plans to drive greater consumer attention to costs and benefits, a culture of health, and employee education by improving cost control, quality, patient compliance, and healthy outcomes through consumer directed health plans, advanced health strategies, condition-specific performance comparisons of providers and treatment options and wellness programs to support a healthy workforce.

(ix) Employees who participate in a consumer driven health plan are provided with a tax-advantaged health savings account ("HSA") with

some funding from National Grid that allows them to save for the payment of qualified medical expenses.

(x) A wellbeing program was introduced. The program, which is now administered by Virgin Pulse, allows employees and their families to connect with resources and tools that will help them achieve their personal wellness goals (*i.e.*, improving physical fitness, managing a chronic condition, or making better nutritional choices).

(xi) Telehealth Services were implemented to allow immediate, around-the-clock access to physicians, specialists, and other health care providers through remote monitoring. Telehealth services can be less expensive, may provide more convenient care options, and ultimately improve care outcomes.

(xii) Enhanced Care Management was introduced to help improve the healthcare provided to employees and their dependents by providing support through registered nurses, behavioral health case managers and nutritionists for chronic conditions, behavioral health, finding doctors, and benefits and claims issues.

(xiii) Reduced coinsurance is provided to health plan participants using a Blue Cross Blue Shield Blue Distinction Center, which is a hospital that demonstrates top-quality care, treatment expertise, and better overall

patient results for serious health problems (*i.e.*, cardiac care, knee and hip replacements, and spine surgery).

(xiv) A diabetes management program was implemented to provide employees access to tools and resources for managing high blood pressure, high cholesterol, and weight. Employees with high blood pressure also have access to a new hypertension program.

(xv) National Grid participates in both industry groups and benefits councils to learn best practices and stay abreast of market developments and seeks new ideas and suggestions from its vendors.

Q. Please describe any changes that have been made to the management health and welfare plans since the Companies' last rate filing through the end of the Historic Test Year.

A. To maintain market competitiveness while controlling costs, National Grid made a number of changes in healthcare benefit plan designs. In the Select Provider Plan, the annual deductible and the out-of-pocket maximum for individual/family coverage increased to $500/$1,000 and $2,500/$5,000, respectively. For participants in the CDHPs, National Grid's full annual contribution into the HSA remains at $750 for employee only coverage and $1,500 for coverage with dependents, the base company contribution for employees who do not complete the required

healthy activities has been lowered to $250 and $500, respectively. In addition, money spent on in-network services will no longer accrue toward the out-of-network deductible and out-of-pocket maximum. In the Health Investment Plan, the embedded individual out-of-pocket maximum was removed such that all out-of-pocket costs for each individual must accumulate to the family out-of-pocket maximum before the plan pays 100 percent for all covered individuals. In addition, several changes were implemented and apply to all medical and dental plan options, where applicable, including expanding eligibility for healthcare coverage to include same-sex and opposite-sex domestic partners and their children, adding hearing aid coverage up to a $3,000 maximum per ear every 36 months, and expanding infertility benefits to remove the age restriction and include same-sex females.

Any savings associated with these initiatives are embedded in the Historic Test Year used to develop the Companies' revenue requirements.

Q. Are there any healthcare changes to the management plans that took effect on January 1, 2023?

A. Yes. For medical plans, the out-of-pocket maximum for individual/family coverage in the Health Savings CDHP increased to $3,500/$7,000 for in-

network services and $7,000/$14,000 for out-of-network services. In the Select Provider Plan, coinsurance for the plan decreased to 80 percent, the out-of-pocket maximum for individual/family coverage increased to $3,000/$6,000 and a new specialty drug program, PrudentRx, was introduced. PrudentRx covers specialty drugs on the plan's formulary at 100 percent by maximizing the value of the manufacturer's coupons on the employee's behalf. For all three medical plans, National Grid, together with CVS/Caremark, introduced the AccordantCare Rare program. The program supports employees and covered family members with complex or rare conditions by pairing them with a nurse who helps coordinate care, manage symptoms, and optimize medication therapy. For dental plans, eligibility for coverage was expanded to include children, regardless of their student status, up to the end of the year in which they turn age 26.

Q. Were there other changes made to the benefit plans offered to management employees other than healthcare?

A. Yes, there were some enhancements made to the voluntary plan offerings for Accident, Critical Illness, and Hospital Indemnity insurance plans that are all employee paid benefit plans. In addition, Juneteenth is now

recognized as a holiday for all management and union employees in the U.S.

Q. Please describe any changes that have been made to the union health and welfare plans since the Companies' last rate filing through the end of the Historic Test Year.

A. The benefit changes that National Grid negotiated with the various unions that have been implemented since the last rate filing through the end of the Historic Test Year are as follows:

TWU Local 101

The following changes were implemented for all healthcare plans: eligibility for healthcare coverage was expanded to include same-sex and opposite-sex domestic partners and their children, a stand-alone vision plan with EyeMed was introduced as well as several prescription drug management programs including "dispense as written," a standard formulary, an advanced control specialty formulary and bulk powders. Changes to individual medical plans include:

Aetna Standard POS Plan (formerly the GHI Standard PPO Plan)

- Annual deductibles for individual/family coverage for in network services increased to $500/$1,000 and out-of-pocket maximums increased to $2,500/$5,000;

- Annual deductibles for out-of-network services increased to $1,000/$2,000 and out-of-pocket maximums increased to $5,000/$10,000;

- Formulary and non-formulary brand prescription drug copays increased to $40/$80 retail and $80/$160 mail order.

Aetna Premier POS Plan (formerly the GHI Premier PPO Plan)

- Annual deductibles for individual/family coverage for in network services increased to $300/$600 and out-of-pocket maximums increased to $2,100/$4,200;

- Annual deductibles for out-of-network services increased to $600/$1,200 and out-of-pocket maximums increased to $4,200/$8,200;

- Office visit copays for a primary care physician/specialist increased to $35/$45;

- Coinsurance decreased from 95 percent to 90 percent; and

- Formulary and non-formulary brand prescription drug copays increased to $40/$80 retail and $80/$160 mail order.

IBEW Local 3

The following changes were implemented for all healthcare plans: eligibility for healthcare coverage in all medical and dental plans was expanded to include same-sex and opposite-sex domestic partners and their children, implementation of a "dispense as written" penalty in all medical plans, and Implementation of the Maintenance Choice program for prescription drugs that allows employees to get a 90-day supply of a

maintenance medication at a retail CVS pharmacy or through mail order for a two month copay. Changes to individual medical plans include:

PPO Plan A

- Annual deductibles for individual/family coverage for in network services increased to $425/$850 and out-of-pocket maximums increased to $2,500/$5,000;
- Annual deductibles for out-of-network services increased to $850/$1,700 and out-of-pocket maximums increased to $5,000/$10,000;

PPO Plan B

- Annual deductibles for individual/family coverage for in network services increased to $275/$550 and out-of-pocket maximums increased to $2,000/$4,000;
- Annual deductibles for out-of-network services increased to $550/$1,100 and out-of-pocket maximums increased to $4,000/$8,000.

IBEW Local 1049

The following changes were implemented for all healthcare plans: eligibility for healthcare coverage was expanded to include same-sex and opposite-sex domestic partners and their children, an additional coverage level option was introduced with a new four tier structure including employee only, employee plus spouse, employee plus child(ren), and family, coverage for hearing aids up to a $3,000 maximum per ear every 36 months, a stand-alone vision plan with EyeMed, and several

prescription drug management programs including "dispense as written," a standard formulary, and an advanced control specialty formulary. For the POS Plan, annual deductibles for individual/family coverage for in network services increased to $300/$600 and out-of-pocket maximums increased to $2,000/$4,000, annual out-of-pocket maximums for out-of-network services increased to $4,000/$8,000, and the copay for a specialist office visit increased to $35.

Q. Are there any negotiated healthcare plan design changes to the union plans that took effect on January 1, 2023 or will take effect in later years?

A. Yes. The healthcare plan design changes to the union plans that took effect on January 1, 2023 are as follows:

TWU Local 101

An additional coverage level option for medical, dental and vision plans was implemented. The new four tier structure includes employee only, employee plus spouse, employee plus child(ren), and family, and in network coverage for diagnostic labs and X-rays in the Aetna Premier and Standard POS plans will be covered at 90 percent coinsurance without needing to meet the deductible first. In addition, eligibility for dental coverage was expanded to include children, regardless of their student

status, up to the end of the year in which they turn age 26, there were some enhancements made to the voluntary plan offerings for Accident, Critical Illness and Hospital Indemnity insurance plans which are paid for by the employees, and Aetna introduced four new programs that provide support for cancer diagnosis, chronic kidney disease, maternity and chronic health conditions. Future negotiated changes to the medical plans that are effective January 1, 2026 include:

Aetna Premier POS Plan

- Annual deductibles for individual/family coverage for in network services increase to $400/$800 and out-of-pocket maximums increase to $2,900/$5,800;
- Annual deductibles for individual/family coverage for out-of-network services increase to $800/$1,600 and out-of-pocket maximums increase to $5,800/$11,600; and
- Generic prescription drug copay increases to $20 retail and $40 mail order.

Aetna Standard POS Plan

- Out-of-pocket maximums for individual/family coverage for in network services increase to $3,500/$7,000;
- Out-of-pocket maximums for individual/family coverage for out-of-network services increases to $7,000/$14,000; and
- Generic prescription drug copay increases to $20 retail and $40 mail order.

CDHP

- Annual deductibles for individual/family coverage for in network services increase to $1,600/$3,200 and out-of-pocket maximums increase to $3,200/$6,400; and

- Annual deductibles for individual/family coverage for out-of-network services increase to $6,400/$12,800 and out-of-pocket maximums increase to $5,800/$11,600.

IBEW Local 3

The following plan design changes were effective January 1, 2023. Since the collective bargaining agreement expires on October 15, 2023, no future changes have been negotiated:

PPO Plan A

- Annual deductibles for individual/family coverage for in network services increased to $500/$1,000 and out-of-pocket maximums increased to $2,600/$5,200;

- Annual deductibles for individual/family coverage for out-of-network services increased to $1,000/$2,000 and out-of-pocket maximums increased to $5,200/$10,400; and

- Non-formulary brand prescription drug copay increased to $70 retail and $140 mail order.

PPO Plan B

- Annual deductibles for individual/family coverage for in network services increased to $350/$700 and out-of-pocket maximums increased to $2,100/$4,200;

- Annual deductibles for individual/family coverage for out-of-network services increased to $700/$1,400 and out-of-pocket maximums increased to $4,200/$8,400;

- Non-formulary brand prescription drug copays increased to $70 retail and $140 mail order; and

- The level of coinsurance decreased from 95 percent to 90 percent.

CDHP

- Annual deductibles for individual/family coverage for in network services increased to $1,600/$3,200 and out-of-pocket maximums increased to $3,000/$6,000; and

- Annual deductibles for individual/family coverage for out-of-network services increased to $3,200/$6,400 and out-of-pocket maximums increased to $6,000/$12,000.

In addition, eligibility for dental coverage was expanded to include children, regardless of their student status, up to the end of the year in which they turn age 26 and there were some enhancements made to the voluntary plan offerings for Accident, Critical Illness and Hospital Indemnity insurance plans which are paid for by the employees.

IBEW Local 1049

Effective January 1, 2023, the HIP Prime/Vytra Premium plan was eliminated, and the following plan changes were made to the POS plan:

- Annual deductibles for individual/family coverage for in network services increased to $325/$650 and out-of-pocket maximums increased to $2,100/$4,200;

- Annual deductibles for individual/family coverage for out-of-network services increased to $650/$1,300 and out-of-pocket maximums increased to $4,200/$8,400;

- Office visit copays for a primary care physician/specialist increased to $35/$40; and

- Formulary and non-formulary brand prescription drug copays increased to $30/$60 retail and $60/$120 mail order.

In addition, eligibility for dental coverage was expanded to include children, regardless of their student status, up to the end of the year in which they turn age 26 and there were some enhancements made to the voluntary plan offerings for Accident, Critical Illness and Hospital Indemnity insurance plans which are paid for by the employees.

Future negotiated changes to the POS medical plan include:

- Annual deductibles for individual/family coverage for in network services increase to $375/$750 and out-of-pocket maximums increase to $2,300/$4,600 by January 1, 2025;
- Annual deductibles for individual/family coverage for out-of-network services increase to $750/$1,500 and out-of-pocket maximums increase to $4,600/$9,200 by January 1, 2025;
- The level of coinsurance decreases from 95 percent to 90 percent (Effective January 1, 2025);
- Office visit copay for a specialist increases to $45 (Effective January 1, 2024); and
- Formulary and non-formulary brand prescription drug copays increase to $35/$70 retail and $70/$140 mail order (Effective January 1, 2024).

Q. Have any new collective bargaining agreements been negotiated that will take effect after the end of the Historic Test Year?

A. No. There were no new collective bargaining agreements negotiated that will take effect after the end of the Historic Test Year.

VI. Employee Benefits

Q. Please describe any adjustments to the Historic Test Year expense for employee medical and dental benefit plans that the Companies are including in the proposed revenue requirements.

A. National Grid is projecting annual increases of approximately 7.5 percent in the costs associated with medical benefits and annual increases of approximately 4.0 percent in the costs associated with dental benefits over the three years ending March 31, 2026. These projected increases are generally consistent with national projections for health care trends and the projections gathered by National Grid's benefit consultant. Even though health care costs have increased significantly above the general rate of inflation for many years, the Companies applied a general inflation rate to the Historic Test Year level of expense to determine the level of medical and dental claims expenses included in the Rate Year revenue requirements consistent with Commission precedent. Although the Companies chose to follow Commission precedent, the use of a general inflation factor to project health insurance increases likely will deprive KEDNY and KEDLI of the ability to fully recover anticipated health care costs in the Rate Year unless savings in other areas beyond the productivity adjustments reflected in the Companies' proposed rates are achieved to offset the expected increase in health care costs.

Q. Please describe any adjustments to the Historic Test Year expense for other employee benefit plans that the Companies are including in their proposed revenue requirements.

A. The forecast Rate Year revenue requirements for other employee benefit plan expenses (life insurance, and other active benefits) were generally developed by applying the general inflation rate to the Historic Test Year level of expense, consistent with Commission precedent. Any other adjustments to the Historic Test Year expense are discussed in the RRP's testimony.

Q. Please describe National Grid's efforts to manage OPEB benefits.

A. The process of ensuring fair, competitive, and efficient benefit programs for employees and retirees is one of the core activities of National Grid's U.S. Benefits and Retirement Strategy teams. The Benefits and Retirement Strategy staff continually endeavor to ensure proper vendor performance and compliance with federal and state laws and regulations. Trends in benefit and retirement plan design are continually monitored and compared to National Grid's plans to ensure that they continue to be fair, reasonable, and competitive.

On an annual basis, National Grid analyzes the funding, recording, and administration of OPEBs. Less frequently, but on a consistent basis, National Grid considers more significant changes designed to reduce the overall cost of the OPEB plans.

Q. What challenges does National Grid face in considering fundamental changes to retirement health and life insurance benefits on a frequent basis?

A. Retiree programs are unique among the collection of employee benefits. Unlike health care programs for which employees derive current value, retiree programs represent benefits to be provided in the future. As such, their value tends to accrue over a longer period. Because of these long accrual periods, significant changes in retiree programs are difficult to adjust to when they occur close to or during retirement. Preparation for retirement involves assessing one's financial preparedness provided through benefit plans, Social Security, and individual savings. Given the fixed benefits payable under National Grid's pension plan, and the potential for significant health care expense as participants' age, retiree health insurance benefits are one of the key factors in reaching the conclusion that one can retire. Therefore, and as further outlined below, National Grid has reached the conclusion that changes to OPEB benefit

levels are only feasible in connection with major benefit alignments either following corporate transactions, in connection with labor negotiations, or when major legislative changes are made. Any OPEB benefit change will usually be done in connection with other benefit alignments and will generally be carefully constructed to affect only those employees who have sufficient time to adapt to the changes before reaching retirement age.

Another reason retiree programs are unique is the wide geographic dispersion of the participants. Unlike active employees, who live geographically proximate to the Companies' business operations, retirees move to other parts of the United States and other countries. This makes communication with them and implementation of changes to their benefits administratively burdensome and costly.

Q. Are there particular challenges involved in modifying OPEB benefits for union employees?

A. With respect to OPEBs for union employees, National Grid is bound by law to negotiate with TWU Local 101, IBEW Local 3 and IBEW Local 1049 for these benefits, and having reached agreement on them, the Companies are bound to maintain those benefit levels until the current

collective bargaining agreement expires, unless they are renegotiated earlier by mutual consent.

Q. Is there a relationship between National Grid's ability to make changes to the OPEB benefits provided to management employees and the benefits provided to union employees?

A. Management employee benefits can be changed at any time. However, the existence and substantial size of the union workforce and the need to recruit future managers from the union ranks creates a significant connection. It would be shortsighted to design or change benefits without fully evaluating the impact on this connection. In the case of OPEB benefits in particular, a union employee would be unlikely to accept, let alone seek, a management job that provides either significantly fewer or less valuable benefits than he or she is eligible for under the union contract. Many of the best union to management recruits are rank-and-file employees who have worked many years in a physical field work position and seek to move into supervision. These employees are highly valued by the management team, as they can ably and immediately contribute to meeting National Grid's objective of providing safe and reliable service at a reasonable cost. Requiring union employees to accept benefit reductions to move to management would be a significant impediment to any such

moves. National Grid's desire to facilitate the promotion of union employees manifests itself in a three to five-year cycle of OPEB benefit level reviews for both union and management employees, absent a major triggering event such as a merger. This cycle generally corresponds to the terms of the collective bargaining agreements.

Q. Please explain the OPEB analyses performed on an annual basis.

A. The annual process to examine OPEBs focuses on the following three categories: (i) actuarial assumptions around plan expense and funding; (ii) general vendor performance reviews; and (iii) Medicare prescription drug program refund administration.

Actuarial assumptions for expense and funding: Each year, working with its actuary, Aon, National Grid evaluates the proper level of several actuarial factors used to determine plan expense and funding, including discount rate, medical trend rate, and mortality rate. Depending on economic information and trends at the time, rates are either continued or modified as appropriate. In addition, National Grid evaluates various options to ensure optimal funding of these benefits.

General vendor performance reviews: All active and retiree benefit plan administration is consolidated with a single vendor. In addition, National Grid's benefits staff periodically meets with the third-party vendors who

are responsible for claims payments to review their performance. National Grid's arrangements with these vendors are for administrative services only, so the focus is on transaction performance and participant satisfaction. National Grid continuously reviews the delivery and administration of the benefits under the retiree medical plan with the ultimate objective of reducing administration costs and improving the delivery of services.

Medicare prescription drug refund administration: National Grid obtains sizeable subsidies from the government in return for providing retiree drug benefits to retirees who are 65 years of age or older ("Post 65 retirees"). An Employer Group Waiver Plan for Post 65 retiree prescription drug benefits has been in place for 10 years. This plan is financially advantageous to National Grid primarily because of the large pharmaceutical manufacturer discounts on brand drugs as well as federal catastrophic reinsurance payments.

Q. Is the OPEB plan the same for all employees?

A. No. National Grid has separate OPEB plans for management and union employees. In terms of the overall cost of these plans, the cost of the union plan is greater because the union workforce is larger.

In terms of the OPEB benefits offered to each workforce, the broad categories of benefits are the same. Both union and management employees receive retiree medical benefits and may receive life insurance benefits depending on their hire date and the terms of their collective bargaining agreement, where applicable.

Q. What has National Grid done to control the cost of management retirement benefits since the Companies' last rate filing?

A. Because the plan offerings for pre-65 retirees are the same as those offered to the active management employees, the healthcare changes that were made to active management plan benefits that were discussed previously in the Panel's testimony are incorporated into the pre-65 retiree plans. Although pre-65 retirees can participate in the CDHP plans and have an HSA, they do not receive any contributions from National Grid into their accounts.

For post 65 retiree plans, all regional Medicare Advantage plans were eliminated and replaced with a national Medicare Advantage plan with Aetna. The plan provides similar benefits to those provided by the regional plans and access to health and wellness programs at a lower cost.

Q. Were there any changes to the union post-employment benefits since the Companies' last rate filing?

A. Similar to management, since the plan offerings for pre-65 retirees are the same as those offered to the active union employees, the healthcare changes that were made to active union plan benefits that were discussed previously in the Panel's testimony are incorporated into the pre-65 retiree plans. Any future contractual changes that will be made to active employee medical plan benefits under the existing collective bargaining agreements will be incorporated into the pre-65 retiree plans. Although pre-65 retirees can participate in the CDHP plans and have an HSA, they do not receive any contributions from National Grid into their accounts.

Q. What has National Grid done to control pension costs since the Companies' last rate filing?

A. Consistent with the practice for OPEBs, National Grid continually reviews the pension plan benefits it offers to employees to control plan costs and ensure that the benefit offerings are in line with market practices. National Grid evaluates the proper level of several actuarial assumptions used to determine pension plan expense and funding.

Q. Has National Grid made other changes to its pension plans that affect the cost of those plans since the Companies' last rate filing?

No. There have been no changes to the pension plan benefits since the Companies' last rate filing. National Grid closed the defined benefit pension plans to new entrants for both management and union employees in KEDNY and KEDLI. The management plans were closed as of December 31, 2010, and the union plans for KEDNY's Local 101 and Local 3 members were closed as of October 15, 2010, and December 31, 2011, respectively. The defined benefit pension plan for KEDLI's Local 1049 members was closed as of February 13, 2015. Employees in management and the respective unions hired after the dates noted above are provided with a defined contribution plan.

Q. What other steps has National Grid taken with respect to the management of its retirement plans since the Companies last rate filing?

A. In 2021, pension administration services for National Grid's defined benefit pension plans were moved from Willis Towers Watson to Alight. In addition to cost effectiveness, Alight's business model focuses on efficiency, effective communications and processes, investments in

technology to enhance the participant experience, and a service offering that equitably balances quality and cost.

National Grid continues to encourage greater participation and investment management in its 401(k) plans so that employees will take greater ownership and responsibility for funding their own retirement by saving more and investing wisely. National Grid conducted an RFP for 401(k) administrative services in late 2020. After a comprehensive review of the proposals, finalist presentations and the Best and Final Offers, Vanguard, the incumbent, was retained and as a result participant paid fees were reduced and a Roth feature was added. The annual recordkeeping fee paid for by participants decreased from $43 to $34, the $30 distribution fee paid for by participants was eliminated and the expense ratios in target date retirement trusts were lowered. Employee participation in the plan continues to be above 96 percent.

Management employees continue to receive a company match equal to 50 percent of the first eight percent of compensation they contribute to the plan. Members of TWU Local 101 currently receive a company match equal to 25 percent of the first six percent of compensation they contribute to the plan and effective January 1, 2026 the match will increase to 50

percent of the first six percent. During the Historic Test Year, members of IBEW Local 3 and IBEW Local 1049 received a company match equal to 50 percent of the first six percent of compensation they contribute to the plan. The match increased to 50 percent of the first seven percent effective January 1, 2023 for members of IBEW Local 3 and will increase to 50 percent of the first seven percent effective January 1, 2024 for members of IBEW Local 1049. The costs associated with the changes in the company match formulas for union employees have been reflected in the Companies' revenue requirements.

Q. Does this conclude the Panel's direct testimony?

A. Yes, it does.

INDEX OF EXHIBITS

Exhibit ___ (HRP-1): National Grid Incremental FTEs

Exhibit ___ (HRP-2): Willis Towers Watson's comprehensive evaluation of National Grid's compensation and benefits for management (nonunion) employees

Schedule 1: Competitive Assessment of National Grid's Total Compensation and Benefits Package

Schedule 2: Target Compensation and Target Variable Pay as a Percent of Market Assessment

Schedule 3: BENVAL Analysis for Management Employees: 2022 Benefit Plans

Exhibit ___ (HRP-3): Market Merit Increases & Ten-Year Wage Increase History

Schedule 1: Market Merit Increases

Schedule 2: 10 Year Wage Increase History

Exhibit____(HRP-4): KEDNY and KEDLI's compensation and benefits for union employees

Schedule 1: General Wage Increases for Union Employees

Schedule 2: Union Wage Comparison for KEDNY Employees – Local 101

Schedule 3: Union Wage Comparison for KEDLI Employees – Local 1049

Schedule 4: BENVAL Analysis for KEDNY Union Employees- 2022 Benefit Plans for Local 101

Schedule 5: BENVAL Analysis for KEDLI Union Employees- 2022 Benefit Plans for Local 1049

Exhibit ___ (HRP-1)

National Grid Incremental FTEs

2023 KEDNY KEDLI Rate Case
Incremental FTE's
Rate Year Ending March 31, 2025

							FTE Count *				Employee Count			
Company	Key	Job Title	Driver	Labor Group	Function	Panel	FY 2025	FY 2026	FY 2027	FY 2028	FY 2025	FY 2026	FY 2027	FY 2028
KEDNY	1.0	Advocate	Customer	Management	Customer Solutions	CP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	2.0	Analyst	Energy Efficiency - C&I Portfolio Delivery	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	3.0	Analyst	Energy Efficiency - Channel Sales	Management	Customer Solutions	CP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	4.0	Analyst	Energy Efficiency - Customer Response	Management	Customer Solutions	CP	0.3	0.3	0.3	0.3	1.0	1.0	1.0	1.0
	5.0	Analyst	Energy Efficiency - Small Business Portfolio	Management	Customer Solutions	CP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	6.0	Analyst	Fleet Asset & Performance	Management	Customer Solutions	GIOP	0.3	0.3	0.3	0.3	1.0	1.0	1.0	1.0
	7.0	Analyst	Gas Control	Management	Gas Network Operations	GIOP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	8.0	Analyst	Gas Pipeline Safety and Control	Management	Network Strategy	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	9.0	Analyst	Gas Pipeline Safety Q&A	Management	Network Strategy	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	10.0	Analyst	Gas Quality Lab	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	11.0	Analyst	Materials Lab	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	12.0	Analyst	Operator Qualifications - L&D	Management	310-Learning	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	13.0	Analyst	OpEx Related to CapEx - Storm Hardening	Management	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	0.0	1.0	0.0	0.0	0.0	1.0
	14.0	Assoc Scheduler	OpEx Related to CapEx - Resource Coordination	Management	Work & Resource Planning-NY Gas	GIOP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	15.0	Assoc Specialist	OpEx Related to Capex - ACI - RMDs	Management	Work & Resource Planning-NY Gas	GSP	1.0	1.0	1.0	2.0	1.0	1.0	1.0	2.0
	16.0	Assoc Specialist	OpEx Related to Capex - Aging ERT Replacement	Management	Work & Resource Planning-NY Gas	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	17.0	Assoc Specialist	OpEx Related to CapEx - Meter Relocation	Management	Gas Field Ops & Programs-DNY	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	18.0	Chemist Senior 40 Hr	Gas Quality Lab	Union	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	19.0	Corrosion Technician A	Voluntary Integrity Management Program	Union	Gas Field Ops & Programs-DNY	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	20.0	Engineer	Gas Control	Management	Gas Network Operations	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	21.0	Engineer	OpEx Related to CapEx - Gas Control	Management	Gas Network Operations	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	22.0	Engineer	OpEx Related to CapEx - Pressure Reg/LNG/CNG	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	23.0	Engineer	Research & Development	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	24.0	Field Operations Inspector A	OpEx Related to CapEx - CSC	Union	Asset Mgmt & Engineering-NYG	GIOP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	25.0	Field Operations Inspector A	OpEx Related to CapEx - Meter Relocation	Union	Gas Field Ops & Programs-DNY	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	26.0	Field Operations Inspector B	OpEx Related to CapEx - CSC	Union	Asset Mgmt & Engineering-NYG	GIOP	3.0	5.0	6.0	6.0	3.0	5.0	6.0	6.0
	27.0	Gso District Assistant	Low Pressure Valve Inspection - I&R	Union	Gas Network Operations	GIOP	2.0	4.0	7.0	7.0	2.0	4.0	7.0	7.0
	28.0	Helper Distribution	Operator Qualifications - Operations	Union	Gas Field Ops & Programs-DNY	GSP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	29.0	Lab Technician	Materials Lab	Union	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	30.0	Lead Analyst	Customer Strategy & Experience	Management	Marketing & Product Growth	CP	1.7	1.7	1.7	1.7	2.0	2.0	2.0	2.0
	31.0	Lead Analyst	Energy Efficiency - Clean Energy 2.0	Management	Customer Marketing & Growth	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	32.0	Lead Analyst	Energy Efficiency - Customer Response	Management	Customer Solutions	CP	0.3	0.3	0.3	0.3	1.0	1.0	1.0	1.0
	33.0	Lead Analyst	Energy Efficiency - Customer Solutions NY	Management	Customer Billing Collections Operations & Strategy	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	34.0	Lead Analyst	Energy Efficiency - Customer Solutions NY	Management	Marketing & Product Growth	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	35.0	Lead Analyst	Geothermal	Management	Customer Energy Integration	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	36.0	Lead Analyst	OpEx Related to Capex - ACI - Smart Meters	Management	Gas Field Ops & Programs-DNY	GSP	0.0	0.0	1.0	1.0	0.0	0.0	1.0	1.0
	37.0	Lead Analyst	OpEx Related to Capex - Investment Planning	Management	Work & Resource Planning-NY Gas	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	38.0	Lead Designer	OpEx Related to CapEx - Transmission Engineering	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	39.0	Lead Engineer	Geothermal	Management	Asset Mgmt & Engineering-NYG	GIOP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	40.0	Lead Engineer	Hydrogen	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	41.0	Lead Engineer	Materials Lab	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	42.0	Lead Engineer	OpEx Related to Capex - ACI - AMI Network	Management	Asset Mgmt & Engineering-NYG	GSP	0.0	0.0	2.0	2.0	0.0	0.0	2.0	2.0
	43.0	Lead Engineer	OpEx Related to CapEx - Pressure Reg/LNG/CNG	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	44.0	Lead Engineer	Research & Development	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	45.0	Lead Engineer	RNG	Management	Asset Mgmt & Engineering-NYG	GIOP	1.5	1.5	1.5	1.5	2.0	2.0	2.0	2.0
	46.0	Lead Program Manager	Clean Energy - Account Management	Management	Customer Solutions	CP	2.5	2.5	2.5	2.5	5.0	5.0	5.0	5.0
	47.0	Lead Program Manager	Firm Demand Response	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	48.0	Lead Program Manager	Geothermal	Management	Complex Capital Constr-NY Gas	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	49.0	Lead Supervisor	OpEx Related to CapEx - CSC	Management	Asset Mgmt & Engineering-NYG	GIOP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	50.0	Manager	Energy Efficiency - Customer Solutions NY	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	51.0	Manager	Operator Qualifications - Gas Pipeline Safety & Compliance	Management	Network Strategy	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	52.0	Manager	Operator Qualifications - L&D	Management	310-Learning	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	53.0	Manager	OpEx Related to CapEx - Gas Control	Management	Gas Network Operations	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	54.0	Manager	Pipeline Safety & Compliance	Management	Network Strategy	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	55.0	Material Handler	Warehouse DNY	Union	Warehouse DNY- Greenpoint	GIOP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	56.0	Mech A Dist Opns	Advanced Leak Detection Survey & Repairs - Field Ops	Union	Gas Field Ops & Programs-DNY	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	57.0	Mech A Dist Opns	Geothermal	Union	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	1.0	1.0	0.0	0.0	1.0	1.0
	58.0	Mech Dist A Post 98	OpEx Related to CapEx - Meter Relocation	Union	Gas Field Ops & Programs-DNY	GSP	1.0	1.0	2.0	2.0	1.0	1.0	2.0	2.0
	59.0	Mechanic B	Facilities DNY	Union	Facilities DNY	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	60.0	Mechanic B	Facilities DNY	Union	Operations Support-NY	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	61.0	Meter Service Rep (Reg)	Collections - CMS	Union	Gas Field Ops & Programs-DNY	GIOP	30.0	30.0	30.0	30.0	30.0	30.0	30.0	30.0
	62.0	Meter Service Rep (Reg)	Collections - Uncollectibles	Union	Customer Solutions	CP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	63.0	Meter Service Rep (Reg)	OpEx Related to Capex - Aging ERT Replacement	Union	Gas Field Ops & Programs-DNY	GIOP	12.0	15.0	18.0	21.0	12.0	15.0	18.0	21.0

2023 KEDNY KEDLI Rate Case
Incremental FTE's
Rate Year Ending March 31, 2025

							FTE Count *				Employee Count			
Company	**Key**	**Job Title**	**Driver**	**Labor Group**	**Function**	**Panel**	**FY 2025**	**FY 2026**	**FY 2027**	**FY 2028**	**FY 2025**	**FY 2026**	**FY 2027**	**FY 2028**
	64.0	Meter Service Technician A	OpEx Related to CapEx - Storm Hardening	Union	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	0.0	2.0	0.0	0.0	0.0	2.0
	65.0	Meter Service Technician C/B	Operator Qualifications - Operations	Union	Gas Field Ops & Programs-DNY	GSP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	66.0	Meter Service Technician C/B	OpEx Related to Capex - ACI - Smart Meters	Union	Gas Field Ops & Programs-DNY	GSP	0.0	0.0	6.0	13.0	0.0	0.0	6.0	13.0
	67.0	Meter Service Technician C/B	OpEx Related to CapEx - Storm Hardening	Union	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	0.0	4.0	0.0	0.0	0.0	4.0
	68.0	Opr Distribution B Post 98	Advanced Leak Detection Survey & Repairs - Field Ops	Union	Gas Field Ops & Programs-DNY	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	69.0	Senior Advocate	LMI/Affordability	Management	Collections	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	70.0	Senior Advocate	LMI/Affordability	Management	Customer Solutions	CP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	71.0	Senior Analyst	Energy Efficiency - Customer Solutions NY	Management	Customer Billing Collections Operations & Strategy	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	72.0	Senior Analyst	Energy Efficiency - Customer Solutions NY	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	73.0	Senior Analyst	LMI/Affordability	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	74.0	Senior Analyst	LMI/Affordability Energy Affordability Program (EAP)	Management	Customer Billing Collections Operations & Strategy	CP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	75.0	Senior Analyst	LMI/Affordability Energy Affordability Program (EAP)	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	76.0	Senior Analyst	Non-Firm Demand Response	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	77.0	Senior Analyst	Operator Qualifications - Gas Pipeline Safety & Compliance	Management	Network Strategy	GSP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	78.0	Senior Analyst	Residential Segment Strategy - Energy Equity Analyst	Management	Customer Solutions	CP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	79.0	Senior Coordinator	Gas Pipeline Safety Management	Management	Network Strategy	GSP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	80.0	Senior Instructor	Operator Qualifications - L&D	Management	310-Learning	GSP	5.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0
	81.0	Senior Specialist	Gas Pipeline Safety Management	Management	Network Strategy	GSP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	82.0	Senior Specialist	OpEx Related to CapEx - Stakeholder Engagement	Management	Complex Capital Constr-NY Gas	GIOP	1.0	2.0	2.0	2.0	1.0	2.0	2.0	2.0
	83.0	Specialist	Operator Qualifications - L&D	Management	310-Learning	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	84.0	Supervisor	OpEx Related to Capex - ACI - Smart Meters	Management	Gas Field Ops & Programs-DNY	GSP	0.0	0.0	1.0	1.0	0.0	0.0	1.0	1.0
	85.0	Supervisor	OpEx Related to Capex - Aging ERT Replacement	Management	Gas Field Ops & Programs-DNY	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	86.0	Supervisor	OpEx Related to CapEx - CSC	Management	Asset Mgmt & Engineering-NYG	GIOP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	87.0	Supervisor	OpEx Related to CapEx - Storm Hardening	Management	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	0.0	1.0	0.0	0.0	0.0	1.0
KEDNY Total							**133.9**	**141.9**	**160.9**	**179.9**	**160.0**	**168.0**	**187.0**	**206.0**
KEDLI	1.0	Advocate	Customer	Management	Customer Solutions	CP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	2.0	Analyst	Energy Efficiency - C&I Portfolio Delivery	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	3.0	Analyst	Energy Efficiency - Channel Sales	Management	Customer Solutions	CP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	4.0	Analyst	Energy Efficiency - Customer Response	Management	Customer Solutions	CP	0.3	0.3	0.3	0.3	1.0	1.0	1.0	1.0
	5.0	Analyst	Energy Efficiency - Small Business Portfolio	Management	Customer Solutions	CP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	6.0	Analyst	Fleet Asset & Performance	Management	Customer Solutions	GIOP	0.3	0.3	0.3	0.3	1.0	1.0	1.0	1.0
	7.0	Analyst	Gas Control	Management	Gas Network Operations	GIOP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	8.0	Analyst	Gas Pipeline Safety and Control	Management	Network Strategy	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	9.0	Analyst	Gas Quality Lab	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	10.0	Analyst	Materials Lab	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	11.0	Analyst	OpEx Related to Capex - ACI - Smart Meters	Management	Gas Field Ops & Programs-DNY	GSP	0.0	0.0	1.0	1.0	0.0	0.0	1.0	1.0
	12.0	Analyst	OpEx Related to CapEx - Storm Hardening	Management	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	0.0	1.0	0.0	0.0	0.0	1.0
	13.0	Assoc Scheduler	OpEx Related to CapEx - Resource Coordination	Management	Work & Resource Planning-NY Gas	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	14.0	Assoc Specialist	OpEx Related to Capex - ACI - RMDs	Management	Work & Resource Planning-NY Gas	GSP	1.0	1.0	1.0	2.0	1.0	1.0	1.0	2.0
	15.0	Assoc Specialist	OpEx Related to CapEx - Meter Relocation	Management	Gas Field Ops & Programs-DNY	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	16.0	Chemist Senior 40 Hr	Gas Quality Lab	Union	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	17.0	Corrosion Technician	Voluntary Integrity Management Program	Union	Gas Field Ops & Programs-DNY	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	18.0	Engineer	Gas Control	Management	Gas Network Operations	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	19.0	Engineer	OpEx Related to CapEx - CSC	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	20.0	Engineer	OpEx Related to CapEx - Gas Control	Management	Gas Network Operations	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	21.0	Engineer	OpEx Related to CapEx - Pressure Reg/LNG/CNG	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	22.0	Engineer	Research & Development	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	23.0	Field Operations Inspector A	OpEx Related to CapEx - Meter Relocation	Union	Gas Field Ops & Programs-DNY	GSP	3.0	5.0	7.0	7.0	3.0	5.0	7.0	7.0
	24.0	Helper	Operator Qualifications - Operations	Union	Gas Field Ops & Programs-DNY	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	25.0	Instrument Technician	OpEx Related to CapEx - I&R	Union	Gas Network Operations	GIOP	1.0	3.0	4.0	4.0	1.0	3.0	4.0	4.0
	26.0	Lab Technician	Materials Lab	Union	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	27.0	Lead Analyst	Customer Strategy & Experience	Management	Marketing & Product Growth	CP	1.3	1.3	1.3	1.3	2.0	2.0	2.0	2.0
	28.0	Lead Analyst	Energy Efficiency - Clean Energy 2.0	Management	Customer Marketing & Growth	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	29.0	Lead Analyst	Energy Efficiency - Customer Response	Management	Customer Solutions	CP	0.3	0.3	0.3	0.3	1.0	1.0	1.0	1.0
	30.0	Lead Analyst	Energy Efficiency - Customer Solutions NY	Management	Customer Billing Collections Operations & Strategy	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	31.0	Lead Analyst	Energy Efficiency - Customer Solutions NY	Management	Marketing & Product Growth	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	32.0	Lead Analyst	Geothermal	Management	Customer Energy Integration	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	33.0	Lead Analyst	OpEx Related to Capex - Investment Planning	Management	Work & Resource Planning-NY Gas	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	34.0	Lead Designer	OpEx Related to CapEx - Transmission Engineering	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	35.0	Lead Engineer	Geothermal	Management	Asset Mgmt & Engineering-NYG	GIOP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	36.0	Lead Engineer	Hydrogen	Management	Asset Mgmt & Engineering-NYG	GIOP	1.5	1.5	1.5	1.5	2.0	2.0	2.0	2.0
	37.0	Lead Engineer	Materials Lab	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	38.0	Lead Engineer	OpEx Related to Capex - ACI - AMI Network	Management	Asset Mgmt & Engineering-NYG	GSP	0.0	0.0	2.0	2.0	0.0	0.0	2.0	2.0

2023 KEDNY KEDLI Rate Case
Incremental FTE's
Rate Year Ending March 31, 2025

							FTE Count *				Employee Count			
Company	Key	Job Title	Driver	Labor Group	Function	Panel	FY 2025	FY 2026	FY 2027	FY 2028	FY 2025	FY 2026	FY 2027	FY 2028
	39.0	Lead Engineer	OpEx Related to CapEx - Pressure Reg/LNG/CNG	Management	Asset Mgmt & Engineering-NYG	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	40.0	Lead Engineer	Research & Development	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	2.0	2.0	2.0	2.0
	41.0	Lead Engineer	RNG	Management	Asset Mgmt & Engineering-NYG	GIOP	1.5	1.5	1.5	1.5	2.0	2.0	2.0	2.0
	42.0	Lead Gas Mechanic	Advanced Leak Detection Survey & Repairs - Field Ops	Union	Gas Field Ops & Programs-DNY	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	43.0	Lead Program Manager	Clean Energy - Account Management	Management	Customer Solutions	CP	2.5	2.5	2.5	2.5	5.0	5.0	5.0	5.0
	44.0	Lead Program Manager	Firm Demand Response	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	45.0	Lead Program Manager	Geothermal	Management	Complex Capital Constr-NY Gas	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	46.0	Lead Program Manager	LMI/Affordability	Management	Collections	CP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	47.0	Lead Program Manager	LMI/Affordability	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	48.0	Lead Program Manager	OpEx Related to CapEx - CSC	Management	Asset Mgmt & Engineering-NYG	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	49.0	Lead Supervisor	Alternative Energy	Management	Gas Network Operations	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	50.0	Manager	Energy Efficiency - Customer Solutions NY	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	51.0	Manager	Operator Qualifications - Gas Pipeline Safety & Compliance	Management	Network Strategy	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	52.0	Manager	Operator Qualifications - L&D	Management	310-Learning	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	53.0	Manager	OpEx Related to CapEx - Gas Control	Management	Gas Network Operations	GIOP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	54.0	Material Handler	Warehouse DNY	Union	Warehouse DNY- LI NEW	GIOP	19.0	19.0	19.0	19.0	19.0	19.0	19.0	19.0
	55.0	Mechanic A-1 (I&R)	OpEx Related to CapEx - I&R	Union	Gas Network Operations	GIOP	1.0	2.0	2.0	2.0	1.0	2.0	2.0	2.0
	56.0	Mechanic B	Facilities DNY	Union	Facilities DNY	GIOP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	57.0	Meter Service Representative	Collections - Uncollectibles	Union	Collections	CP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	58.0	Meter Service Technician C/B	Operator Qualifications - Operations	Union	Gas Field Ops & Programs-DNY	GSP	3.0	3.0	3.0	3.0	3.0	3.0	3.0	3.0
	59.0	Meter Service Technician C/B	OpEx Related to Capex - ACI - Smart Meters	Union	Gas Field Ops & Programs-DNY	GSP	0.0	0.0	3.0	5.0	0.0	0.0	3.0	5.0
	60.0	Meter Service Technician C/B	OpEx Related to CapEx - Storm Hardening	Union	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	0.0	6.0	0.0	0.0	0.0	6.0
	61.0	Regulator Utility Mechanic	OpEx Related to CapEx - I&R	Union	Gas Network Operations	GIOP	2.0	3.0	4.0	4.0	2.0	3.0	4.0	4.0
	62.0	Senior Analyst	Energy Efficiency - Customer Solutions NY	Management	Customer Billing Collections Operations & Strategy	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	63.0	Senior Analyst	Energy Efficiency - Customer Solutions NY	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	64.0	Senior Analyst	LMI/Affordability	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	65.0	Senior Analyst	LMI/Affordability Energy Affordability Program (EAP)	Management	Customer Billing Collections Operations & Strategy	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	66.0	Senior Analyst	LMI/Affordability Energy Affordability Program (EAP)	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	67.0	Senior Analyst	LMI/Affordability Energy Affordability Program (EAP)	Management	Marketing & Product Growth	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	68.0	Senior Analyst	Non-Firm Demand Response	Management	Customer Solutions	CP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	69.0	Senior Analyst	Operator Qualifications - Gas Pipeline Safety & Compliance	Management	Network Strategy	GSP	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0
	70.0	Senior Analyst	Residential Segment Strategy - Energy Equity Analyst	Management	Customer Billing Collections Operations & Strategy	CP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	71.0	Senior Coordinator	Gas Pipeline Safety Management	Management	Network Strategy	GSP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	72.0	Senior Instructor	Operator Qualifications - L&D	Management	310-Learning	GSP	5.0	5.0	5.0	5.0	5.0	5.0	5.0	5.0
	73.0	Senior Manager	Pipeline Safety & Compliance	Management	Network Strategy	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	74.0	Senior Specialist	Gas Pipeline Safety Management	Management	Network Strategy	GSP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	75.0	Senior Specialist	OpEx Related to CapEx - Stakeholder Engagement	Management	Complex Capital Constr-NY Gas	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	76.0	Specialist	Operator Qualifications - L&D	Management	310-Learning	GSP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	77.0	Supervisor	Gas Pipeline Safety Management	Management	Network Strategy	GSP	0.5	0.5	0.5	0.5	1.0	1.0	1.0	1.0
	78.0	Supervisor	OpEx Related to Capex - ACI - Smart Meters	Management	Gas Field Ops & Programs-DNY	GSP	0.0	0.0	1.0	1.0	0.0	0.0	1.0	1.0
	79.0	Supervisor	OpEx Related to CapEx - Storm Hardening	Management	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	0.0	1.0	0.0	0.0	0.0	1.0
	80.0	Supervisor	Warehouse DNY	Management	Warehouse DNY- LI NEW	GIOP	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
	81.0	Ungrd Fld Insp B7	OpEx Related to CapEx - CSC	Union	Asset Mgmt & Engineering-NYG	GIOP	2.0	3.0	3.0	3.0	2.0	3.0	3.0	3.0
	82.0	Utility Mechanic Post 2001	Advanced Leak Detection Survey & Repairs - Field Ops	Union	Gas Field Ops & Programs-DNY	GSP	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0
	83.0	Utility Mechanic Post 2001	Geothermal	Union	Gas Field Ops & Programs-DNY	GIOP	0.0	0.0	1.0	1.0	0.0	0.0	1.0	1.0
KEDLI Total							**99.6**	**106.6**	**118.6**	**129.6**	**126.0**	**133.0**	**145.0**	**156.0**
KEDNY & KEDLI Total							**233.5**	**248.5**	**279.5**	**309.5**	**286.0**	**301.0**	**332.0**	**362.0**

* Note: FTE Count represents KEDNY/KEDLI full-time equivalents based on percentage of time forecast to be charged to KEDNY/KEDLI, while Employee Count represents the total number of positions.

Exhibit ___ (HRP-2)

Willis Towers Watson's comprehensive evaluation of National Grid's compensation and benefits for management (nonunion) employees

Exhibit ___ (HRP-2)

Schedule 1

Competitive Assessment of National Grid's Total Compensation and Benefits Package

Competitive Assessment of National Grid's Total Compensation and Benefits Package

	National Grid	Utility and General Industry Peer Group	National Grid as a Percent of Market
Total Cash Compensation **(a)**	$143.25	$150.62	97%
Benefits **(b)**	$35.09	$33.26	106%
Total	**$178.34**	**$183.88**	**98% (c)**

Note: The above analysis combines average total target cash compensation (salary and incentive) and benefit value results from the Management compensation study and the Management BENVAL

(a) Total Cash Compensation results represent the weighted average of all positions (across all salary bands) for National Grid and the peer group

- "National Grid as a Percent of Market" represents the weighted average of competitiveness for all positions; it does not necessarily equal the result of dividing the overall average National Grid cash compensation by the overall average peer group cash compensation data
- Compensation data is based on actual salaries and target annual incentive data as reported by each peer company; due to antitrust regulations specific peer company information is unavailable

(b) Benefit results (BENVAL) are average dollar values for National Grid and the peer group

- Benefit data is based on the value of benefits for each peer company
- The value is determined by applying a standard set of actuarial methods and assumptions to a common employee population. This establishes a controlled environment in which differences in value are exclusively a function of the differences in plan provisions
- The relative values are not intended to represent actual costs incurred by the plan sponsors. Plan sponsors may experience difference in benefit costs due to factors not reflected in the BENVAL including but not limited to – varying participant demographics, regional cost differences, or differences in funding or provider arrangements, etc.

(c) Represents an element weighted average of the total cash compensation and benefits competitiveness

Note: If National Grid did not provide variable pay, National Grid's salary compensation would average 14% below median market levels of total cash compensation (salary and incentive) and would average 11% percent below median market levels of total compensation (salary, incentive and benefits)

Exhibit__(HRP-2)
Schedule 1
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Exhibit ___ (HRP-2)

Schedule 2

Target Compensation and Target Variable Pay as a Percent of Market Assessment

National Grid USA

Target Compensation as a Percent of Market Assessment
Utility & General Industry Peer Group

Salary Bands[2]	Number of Incumbents[3]	Percent of Total	National Grid Average Target Compensation by Market Salary Band		Market Average Target Compensation by Market Salary Band[1]		National Grid Compensation as a Percent of Market[5]	
			Salary	Target Total Cash Compensation[4]	Salary	Target Total Cash Compensation[4]	Salary	Target Total Cash Compensation[4]
$50,000 - $80,000	474	7%	$71.9	$76.8	$75.5	$81.0	97%	97%
$80,000 - $100,000	1,188	17%	$89.7	$98.3	$95.5	$104.4	95%	96%
$100,000 - $120,000	1,603	23%	$111.0	$124.0	$118.6	$132.3	95%	95%
$120,000 - $140,000	2,121	31%	$129.8	$147.3	$132.5	$150.6	100%	100%
$140,000 - $160,000	685	10%	$148.7	$171.1	$150.4	$173.2	100%	100%
$160,000 - $180,000	293	4%	$170.1	$199.6	$182.7	$218.8	95%	93%
> $180,000	532	8%	$222.4	$277.7	$231.1	$304.4	97%	93%
Average[6]	**6,896**	**100%**	**$125.3**	**$143.3**	**$130.5**	**$150.6**	**97%**	**97%**

(1) Market data has been updated by a 4.1% annual rate to March 1, 2023 based on the 2022 Willis Towers Watson U.S. Salary Budget Planning Report
(2) The assignment of positions to salary bands is based on National Grid salaries (average salary by position).
(3) The total number of incumbents in this analysis is 6,896 within 683 job matches, representing 97.7% of the management population.
(4) Target total cash compensation reflects base salaries plus target annual incentive award.
(5) Reflects National Grid salary and target total cash compensation divided by Market salary and target total cash compensation. Calculations are a straight average across all positions included in each salary band.
(6) The "Average" row reflects a weighted average of the data above, based on the number of incumbents in each salary band.

National Grid salary and target total cash compensation are below the competitive market but within the 10% corridor

National Grid USA

Target Variable Pay as a Percent of Market Asssessment
Utility & General Industry Peer Group

Salary Bands (1)	Number of Incumbents (2)	Percent of Incumbents	National Grid Average Target Variable % by Market Salary Band (3)	Market Average Target Variable % by Market Salary Band (3)	National Grid Target Variable % as a Percent of Market (4)
$50,000 - $80,000	474	7%	6.8%	8.6%	79%
$80,000 - $100,000	1,188	17%	9.5%	9.7%	98%
$100,000 - $120,000	1,603	23%	11.7%	11.1%	105%
$120,000 - $140,000	2,121	31%	13.5%	12.7%	106%
$140,000 - $160,000	685	10%	15.1%	14.2%	106%
$160,000 - $180,000	293	4%	17.3%	19.2%	90%
> $180,000	532	8%	23.9%	29.3%	82%
Average (5)	**6,896**	**100%**	**13%**	**13%**	**100%**

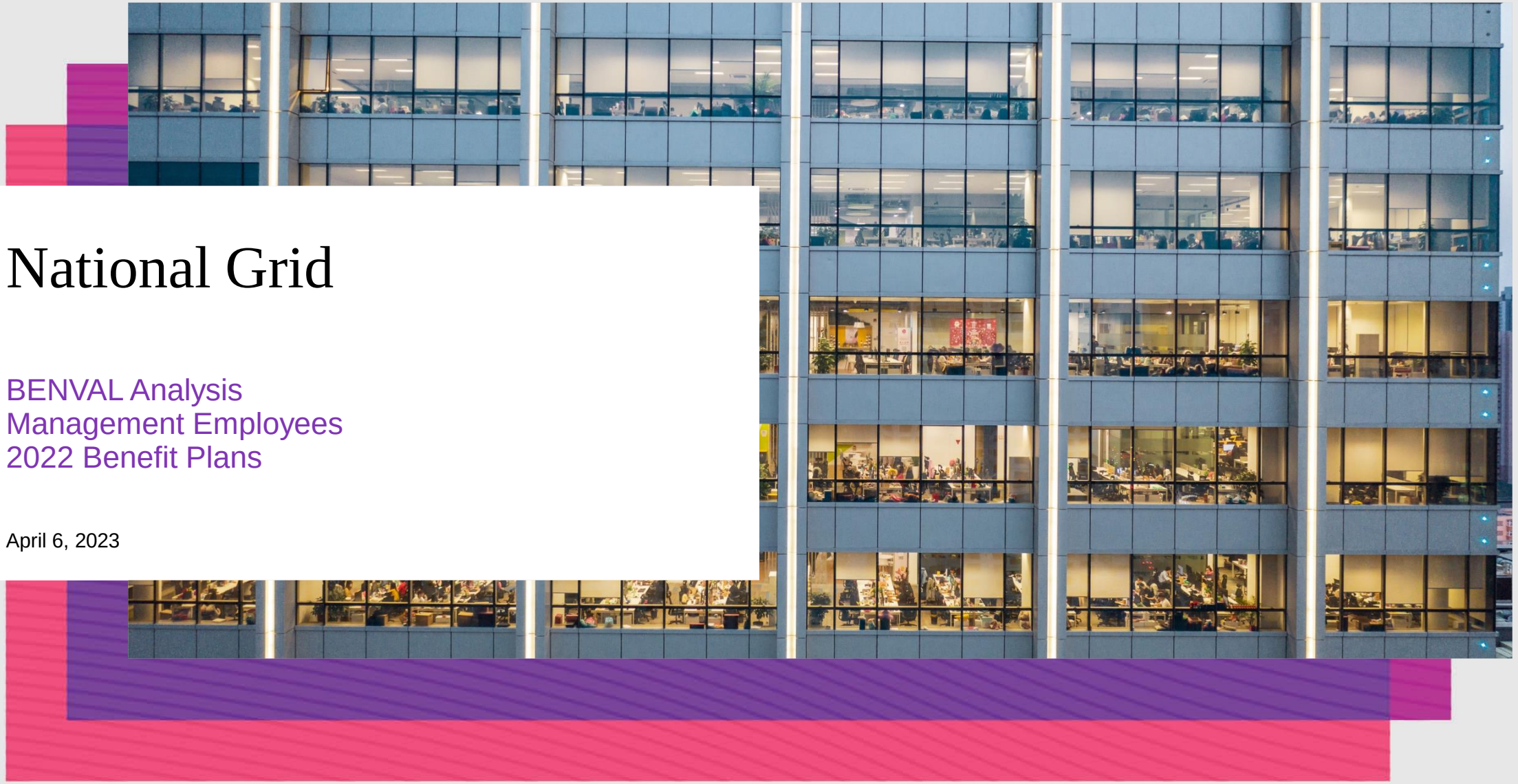
(1) The assignment of positions to salary bands is based on National Grid salaries (average salary by position).
(2) The total number of incumbents in this analysis is 6,896 within 683 job matches, representing 97.7% of the management population.
(3) Target variable % values are rounded to the nearest 0.1%.
(4) Reflects the average National Grid Target Variable percentage divided by the average Market Target Variable percentage across all positions in each salary band.
(5) The "Average" row reflects a weighted average of the data above, based on the number of incumbents in each salary band, rounded to the nearest whole number.

On average, National Grid target incentives are equal to the market average

Exhibit ___ (HRP-2)

Schedule 3

BENVAL Analysis for Management Employees: 2022 Benefit Plans



National Grid

BENVAL Analysis
Management Employees
2022 Benefit Plans

April 6, 2023

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Table of Contents

- Overview of Competitive Assessment
- Entire Benefit Program
- Retirement Benefits
- Active Benefits
- Appendix

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Overview of Competitive Assessment

- Willis Towers Watson maintains a U.S. database of benefit provisions for over 1,000 organizations
- BENVAL determines a value for these benefits by applying a standard methodology to a standard employee population
- Benefit programs are:
  - Compared on a relative value basis between employers — a score of 100 represents the average value for the peer group
  - Scores are determined on a dollar value basis relative to the average value
- This report includes the following:
  - List of peer companies included in the study
  - Executive summary of study results
  - Overview of the benefits environment
  - Relative value comparison for the total program and individual benefit programs
  - Breakdown of benefit values by component programs
- Benefit plans are those that were in force as of 2022 and were applicable for new employees. Closed or grandfathered plans are not valued for the peer group
- Throughout this document, “total value” refers to the positioning of the benefit programs, including the value of employee contributions; “employer value” refers to the value after employee contributions have been deducted
- The Entire Benefit Program total and employer values are primarily driven by the value of the retirement plans, active and post-retirement medical plans, as well as vacation and holiday programs, which comprise the vast majority of the program values

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Overview of Competitive Assessment

- Willis Towers Watson has conducted a competitive assessment comparing benefit levels for National Grid (NGG) relative to the following 38 peer companies:
  - The AES Corporation
  - Alliant Energy Corporation
  - Ameren Corporation
  - American Electric Power System
  - American Express Company
  - Atmos Energy Corporation
  - Colgate-Palmolive Company
  - ConocoPhillips Company
  - Consolidated Edison Company of New York, Inc.
  - Dominion Energy, Inc.
  - DTE Energy
  - Duke Energy Corporation
  - Eversource Energy Service Company
  - Exelon Corporation
  - Freeport-McMoRan, Inc.
  - Guardian Life Company
  - Mastercard, Inc.
  - Molson Coors Beverage Company
  - NextEra Energy, Inc.
  - Northwell Health
  - Oncor Electric Delivery Company
  - ONEOK, Inc.
  - Pacific Gas & Electric Company
  - Pinnacle West Capital Corporation
  - Portland General Electric Company
  - Prudential Financial, Inc.
  - PVH Corporation
  - Salt River Project
  - Sempra Energy
  - Southern Company Services, Inc.
  - TC Energy Corporation
  - Tennessee Valley Authority
  - Textron, Inc.
  - United States Steel Corporation
  - Visa Corporation
  - Vistra Corporation
  - The Williams Companies, Inc.
  - Xcel Energy, Inc.
- Throughout this document, we have included plan summary charts for each benefit
  - In the Retirement section, we provide plan summaries for each benefit program for National Grid, and for the defined contribution benefit we also provide information on benefits offered by the peer group
  - In the Active section, we provide plan summaries for each benefit program for National Grid, as well as ranges (the lowest to highest value for the group of values), averages (the mean of a group of values), and modes (the most frequent value in a group of values), where possible for the peer group; where averages could not be calculated, we calculated a range and/or mode only

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Entire Benefit Program

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Entire Benefit Program Score and Rank

Entire Benefit Program Score and Rank		
	Score	**Rank**
Employer Value		
National Grid	105.5	8/39
Total Value		
National Grid	110.7	4/39

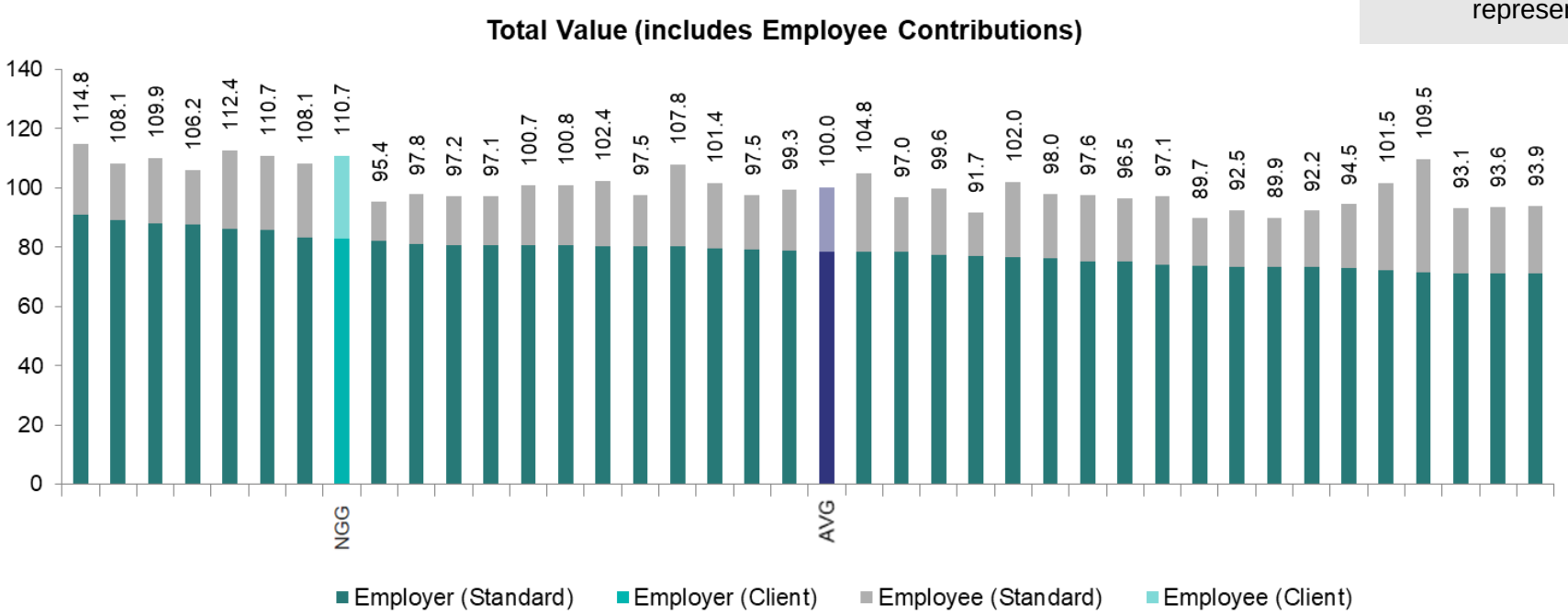
- Total value reflects the gross value of employee benefits, including the portion of benefits paid for by the employee; employer value represents the net value of benefits, including only the portion of benefits paid for by the employer
  - Lower employer values than total values indicate that employee contributions are greater than peers
- Overall, National Grid is slightly above average from an employer value perspective and above average from a total value perspective
  - As a reminder, these values are primarily driven by the value of the retirement plans, active and post-retirement medical plans, and vacation and holiday programs, which comprise the vast majority of the program values

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Entire Benefit Program

Throughout this document, the bar charts are organized to list the peers in order of employer value ranking, however, the numerical figures noted represent the total value.



- The bar chart illustrates how National Grid compares to the peer group both in terms of gross benefit value of its entire benefit program, as well as employer-provided value (i.e., net of employee contributions)
- National Grid ranks eighth in the peer group in employer value and fourth in total value
  - Of the three peers that rank higher than National Grid in total value, one is in the Energy/Utility industry
  - The employer value of four peers ranks below average while the total value ranks above average; this is driven by higher employee contributions compared to peers

Note: results for NGG are excluded from averages.

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Retirement Benefits

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All Retirement Events Score and Rank Excluding Stock Purchase Plan

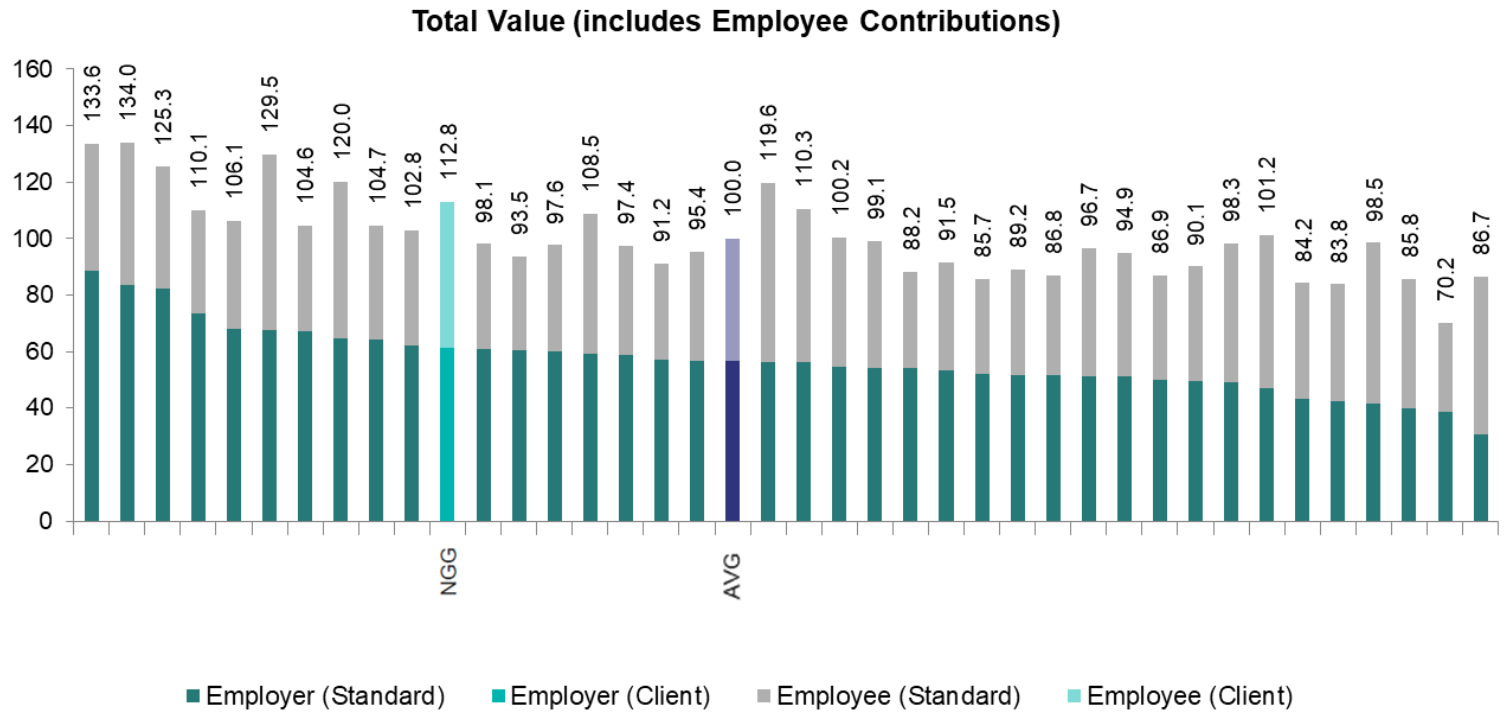
- Retirement events refer to the various benefits that become available upon an employee's retirement. This would encompass defined benefit/defined contribution benefits and post-retirement medical benefits
  - Other long-term incentive programs such as employee stock purchase plans and profit-sharing plans would fall in this category as well
- National Grid's employer value is slightly above the average and its total value is above the average, primarily driven by the defined contribution plan
  - Twelve peers offer a defined benefit plan in addition to a defined contribution plan, which is driving National Grid's employer value below its total value
  - Lower employer values than total values indicate higher employee costs relative to peers

Retirement Events Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
National Grid	107.8	11/39
Total Value		
National Grid	112.8	7/39

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All Retirement Events — Excluding Stock Purchase Plan



- The bar chart illustrates how National Grid compares to the peer group in terms of gross retirement event value excluding stock purchase plans

Note: results for NGG are excluded from averages.

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All Retirement Events Score and Rank Including Stock Purchase Plan

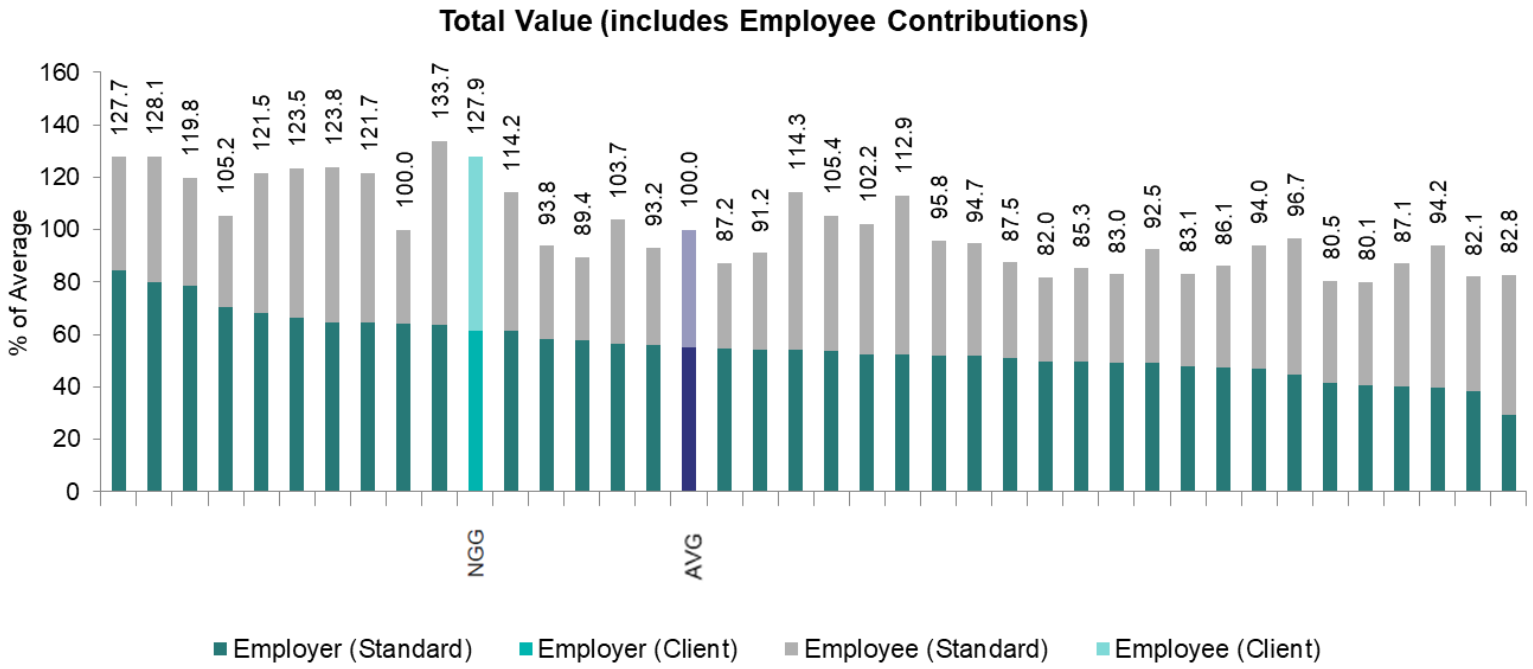
- When the stock purchase plan is added, National Grid's retirement event plan values increase
  - Both employer and total value are above average
  - Like National Grid, eight peers offer stock purchase plans with employer contributions, while the remaining peers have no employer value for stock purchase plans and therefore contribute zeros to the average
    - This means that the value of National Grid's stock purchase plan is closer than it appears to peers that offer a stock purchase plan
      - National Grid's design, which includes a 15% employer contribution (employee discount) and a 1 month purchase period, is less generous than many of the peers that do offer stock purchase plans
        - National Grid's stock purchase plan alone ranks 6 of 9 in total value of those that offer a stock purchase plan
        - For example, one peer offers a similar plan as National Grid, but includes bonus in definition of pay for the plan, thus their value is higher than National Grid. Another peer offers a stock purchase plan of 5% of price and a 6 month purchase period, so their value is lower than National Grid.
      - Note that the BENVAL assumes that employee contributions are capped at 10% if the peer allows contributions to exceed this, as it is not expected that most employees would contribute greater than 10%

Retirement Events Score and Rank — Including Stock Purchase Plan		
	Score	**Rank**
Employer Value		
National Grid	112.0	11/39
Total Value		
National Grid	127.9	3/39

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All Retirement Events — Including Stock Purchase Plan



- The bar chart illustrates how National Grid compares to the peer group in terms of gross retirement event value including the stock purchase plan
- The two peers that rank above National Grid in total value offer above average defined contribution and generous retiree medical plans

Note: results for NGG are excluded from averages.

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Defined Benefit Plan and Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan

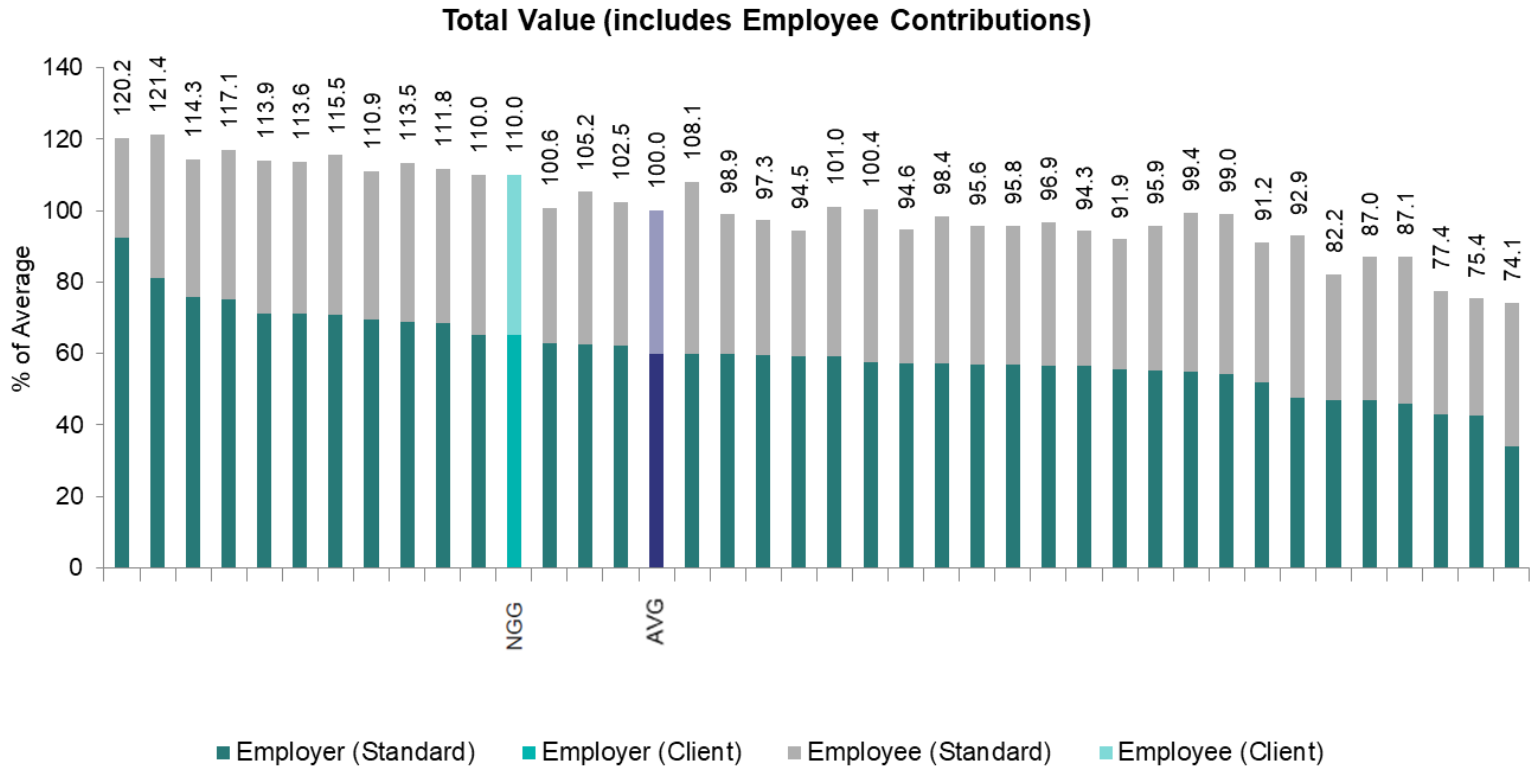
Defined Benefit and Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
National Grid	109.2	12/39
Total Value		
National Grid	110.0	12/39

- It is important to look at defined benefit plans and defined contribution plans together to understand the full value of a company's retirement benefits
- National Grid only offers a defined contribution plan
- While National Grid's defined contribution plan is more generous than most of the peer group, the value of National Grid's overall offering is lower than a few peers due to the prevalence of defined benefit plans in the peer group
  - National Grid offers a defined contribution plan which requires employee contributions to obtain the maximum benefit, while the defined benefit plans offered within the peer group do not require employee contributions (money that the employee must contribute to receive a match is counted as an employee contribution in this analysis)

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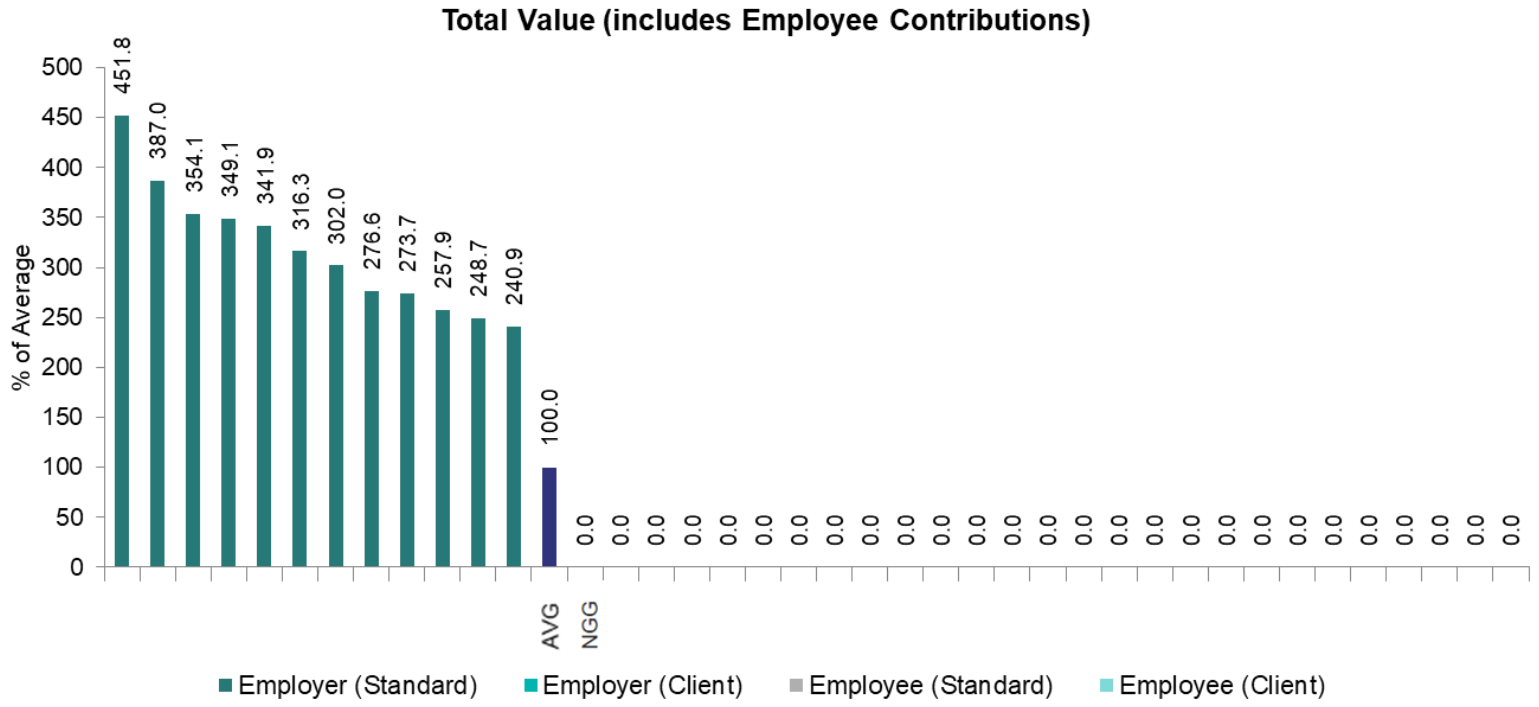
Defined Benefit Plan and Defined Contribution Plan Excluding Stock Purchase Plan



Note: results for NGG are excluded from averages.

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Defined Benefit Plan



- Of the peer group, twelve provide a defined benefit plan in addition to a defined contribution plan
  - Ten of these are cash balance plans and two are traditional defined benefit pension plans
- Like National Grid, twenty-six peers do not offer a defined benefit plan

Note: results for NGG are excluded from averages.

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Defined Contribution Plan Design

- In lieu of a defined benefit plan, National Grid offers a point-based defined core contribution plan
- National Grid's plan is more generous than peers due to the above average benefit formula (driven by the core contribution) and the inclusion of variable pay

Defined Contribution Plan	National Grid	Peer Group		
		Range	Average	Mode
Maximum Employee Matched Contributions	8%	1% — 11%	6%	6%
Maximum Employer Matched Contributions	4%	2% — 10%	5%	6%
Employer Core Contribution[1,2]	6%	0% — 7.25%	3%	0%
Maximum Total Employer Contribution	10%	3.5% — 13.25%	8%	9%
100% Vesting (for Matched and Core Contribution)	3 years	Immediately — 6 Years	2 Years	Immediately
Autoenrollment	8%	0% — 8%	4%	3%

[1]Numbers shown here based on Age+Service of 56 years, which is the average assumed by BENVAL

[2]Employee contributions not required

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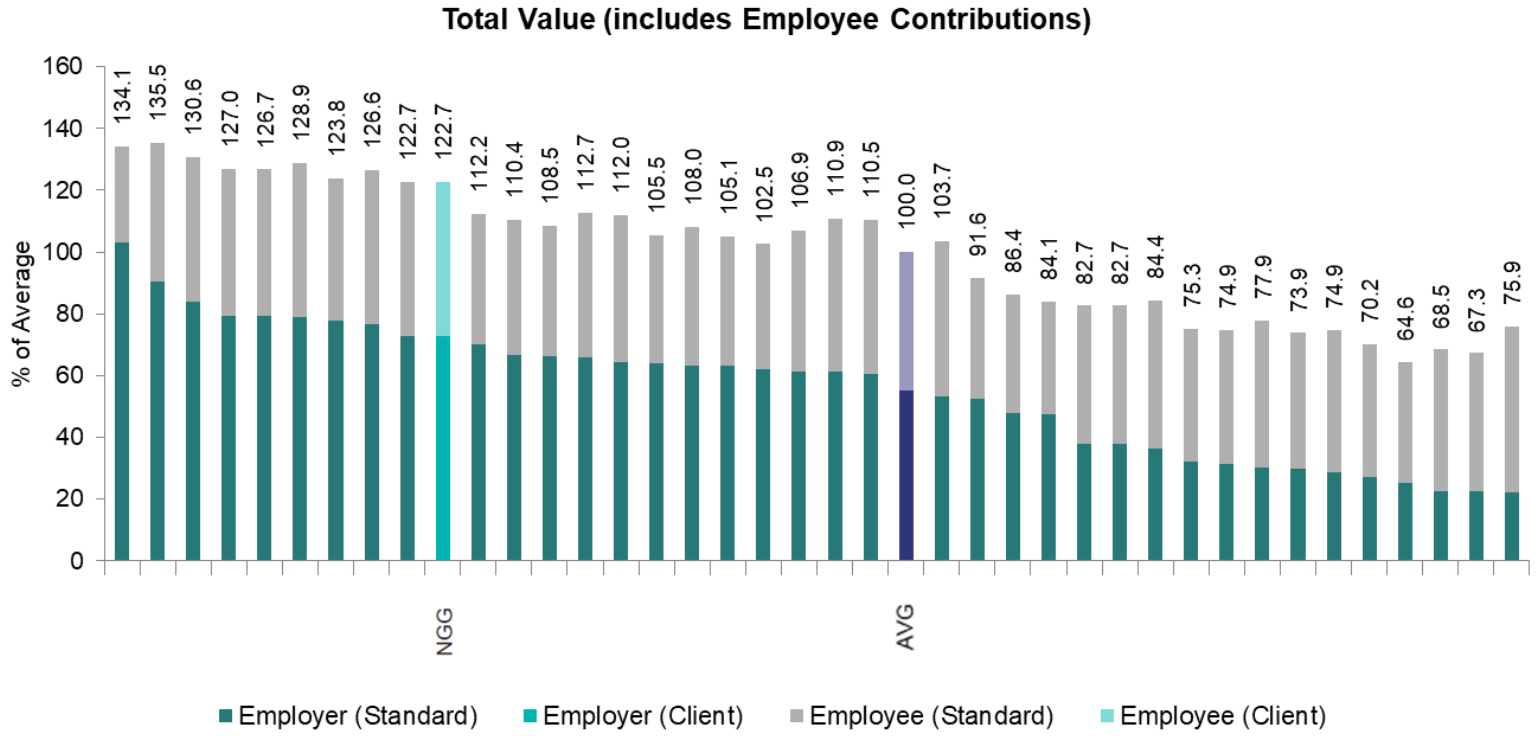
Defined Contribution Plan Score and Rank Excluding Stock Purchase Plan

Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
National Grid	132.1	10/39
Total Value		
National Grid	122.7	10/39

- National Grid's defined contribution plan is above the peer group average
  - All of the peers' retirement programs include a savings plan
  - Twenty-two peer companies offer a core contribution, while the rest do not
  - National Grid includes short-term incentives (variable pay) in the pay definition, while many other peers do not
- National Grid's employer contribution is higher than the peer group average, thus National Grid's employer value is greater than the total value
- Eighteen of the peer group companies cap employee contribution matching at 6%; eight cap contributions beyond 6%; seven cap contribution matching at 5%; one offers a cap of 1%; and the others cap contributions at either 3% or 4%
  - National Grid's maximum employee matching contribution is 8%, with 50% being matched
  - National Grid also offers a core contribution which ranges from 4% to 8% of pay depending on age and service; between the match and the core contribution, the average National Grid employee is estimated to receive a contribution of 10% of pay

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Defined Contribution Plan - Excluding Stock Purchase Plan



- Of the nine peers that rank above National Grid, six offer at least a 100% match up to their cap, and all of them offer a core contribution

Note: results for NGG are excluded from averages.

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Post-Retirement Medical Plan Design

- The following table outlines National Grid's plan design by pre-65 and post-65 retirees
  - National Grid offers a Medicare Supplement plan to post-65 retirees
  - The EPO plan is the highest enrolled plan for National Grid's pre-65 retirees

	National Grid
Pre-65	
Type of Plan	EPO
Plan Design — In-network	
Annual Deductible — Per Person	$500
Annual Deductible — Family Maximum	$1,000
Annual OOP Max — Per Person (Includes Deductible)	$2,500
Annual OOP Max — Family (Includes Deductible)	$5,000
Hospital Room and Board — Coinsurance	90%
Emergency Room — Coinsurance	90%
Physician Expenses — Inpatient Services	90%
Office Visits — Primary — Copay	$25
Office Visits — Specialist — Copay	$50
Prescription Drugs — Retail — Generic/Formulary/Non-Formulary	$10/$40/$80
Participation Requirements	Age 60 & 10 years of service
Defined Dollar Benefit	None
Retiree Contributions	50% of premium at retirement + 100% of cost increases thereafter
Post-65	
Type of Plan	Medicare Supplement
Participation Requirements	10 years of service
Plan Design	
Deductible	Person: none; Family Max: none
Out-of-Pocket Maximum (Includes Deductible)	Person: none; Family Max: none
Prescription Drugs — Retail	
Generic	100% after $100 calendar year deductible
Brand (Formulary/Non-Formulary)	80% after $100 calendar year deductible
Retiree Contributions	100% of premium

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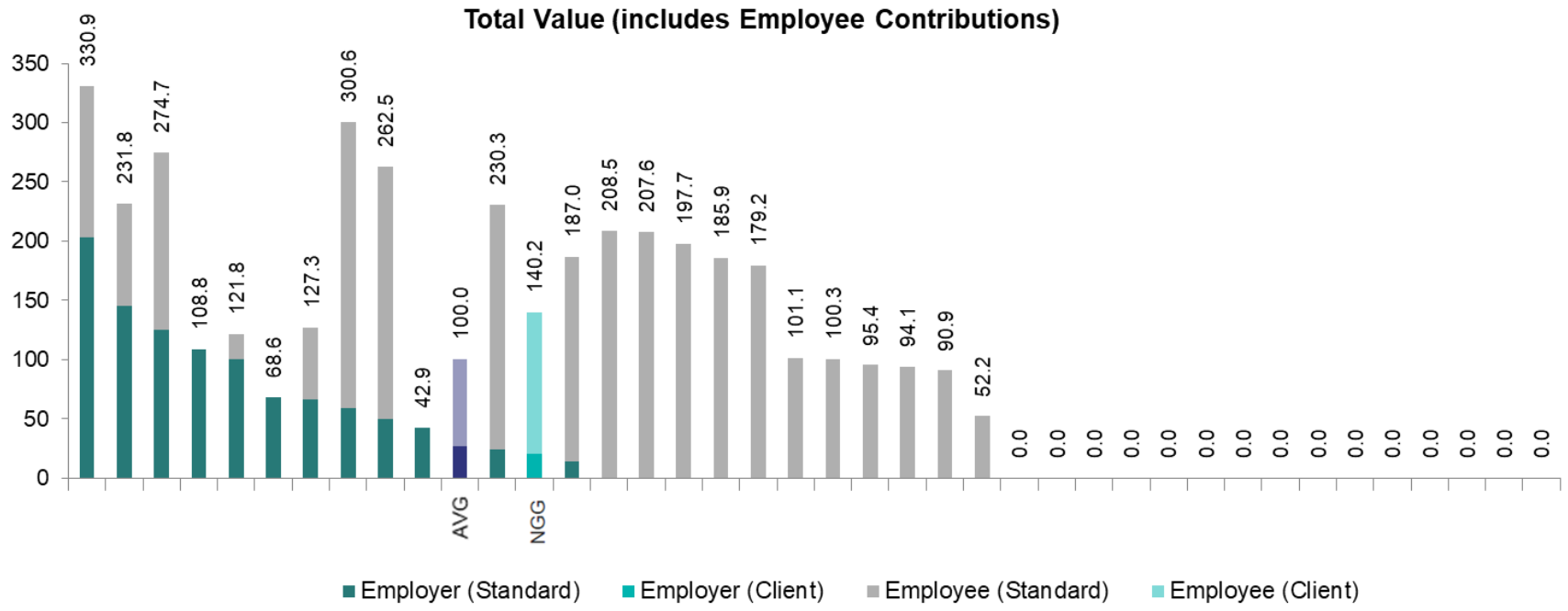
Post-Retirement Medical Plan Score and Rank

Post-Retirement Medical Plan Score and Rank		
	Score	**Rank**
Employer Value		
National Grid	78.3	12/39
Total Value		
National Grid	140.2	13/39

- The table above summarizes National Grid's competitive positioning relative to its peer group in terms of the post-retirement medical plan
- The peer group includes:
  - Fifteen peers that do not offer post-retirement medical benefits
  - Eleven peers that offer retiree pay-all coverage
- Of peers that offer and subsidize coverage, National Grid ranks second-to-last in employer value
  - This is driven by the retiree pay all contribution for post-65 coverage and capped percentage for pre-65 retiree coverage

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Post-Retirement Medical Plan



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Active Benefits

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Active Medical Plan Delivery Models

- For purposes of the BENVAL, we evaluated only the option with the highest enrollment
- The highest enrolled plan for National Grid is its qualified high-deductible health plan with a Health Savings Account offering
- Of the highest-enrolled plans in the peer group:
  - Twenty-seven plans are account-based health plans, with twenty-three representing qualified high-deductible health plans with a Health Savings Account
  - Three plans are HMOs/EPOs, which offer in-network coverage only
  - The remaining plans are traditional PPO/POS plans with no health account (e.g., Health Reimbursement Account)

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Active Medical Plan Comparison

- The following table compares National Grid's plan design relative to its peer group
- National Grid's plan design has a higher deductible than the peer group average, but its employee contributions are lower than the peer group average

	National Grid	Peer Group		
		Range	Average	Mode
In-Network				
Annual Deductible — Per Person	$1,800	$200 - $3,000	$1,393	$1,500
Annual Deductible — Family Maximum	$3,600	$400 - $6,000	$2,838	$3,000
Annual OOP Max — Per Person (Includes Deductible)	$3,000	$750 - $7,150	$3,687	$4,000
Annual OOP Max — Family (Includes Deductible)	$6,000	$1,500 - $14,300	$7,551	$6,000
Hospital Room and Board — Coinsurance	90%	80% - 100%	86%	80%
Hospital Room and Board — Copay	N/A	$150 - $250	$200	N/A
Emergency Room — Coinsurance	90%	80% - 95%	83%	80%
Emergency Room — Copay	N/A	$95 - $300	$152	$100
Office Visits — Primary — Coinsurance	90%	80% - 95%	83%	80%
Office Visits — Primary — Copay	N/A	$0 - $30	$20	$20
Office Visits — Specialist — Coinsurance	90%	80% - 95%	83%	80%
Office Visits — Specialist — Copay	N/A	$30 - $60	$38	$30
Prescription Drugs — Retail — Generic — Coinsurance	90%	75% - 90%	82%	80%
Prescription Drugs — Retail — Generic — Copay	N/A	$5 - $40	$13	$10
Prescription Drugs — Retail — Brand — Formulary — Coinsurance	90%	70% - 90%	79%	80%
Prescription Drugs — Retail — Brand — Formulary — Copay	N/A	$25 - $80	$51	$75
Prescription Drugs — Retail — Brand — Non-Formulary — Coinsurance	90%	50% - 90%	70%	80%
Prescription Drugs — Retail — Brand — Non-Formulary — Copay	N/A	$45 - $200	$101	$150
Monthly Employee Contributions — Employee Only	$83	$0 - $309	$92	N/A
Monthly Employee Contributions — Family	$271	$0 - $877	$339	N/A
Out-of-Network				
Annual Deductible — Per Person	$3,600	$400 - $5,500	$2,423	$3,000
Annual Deductible — Family Maximum	$7,200	$1,100 - $11,000	$4,964	$6,000
Annual OOP Max — Per Person (Includes Deductible)	$6,000	$1,900 - $12,000	$6,776	$6,000
Annual OOP Max — Family (Includes Deductible)	$12,000	$4,800 - $24,000	$14,014	$12,000

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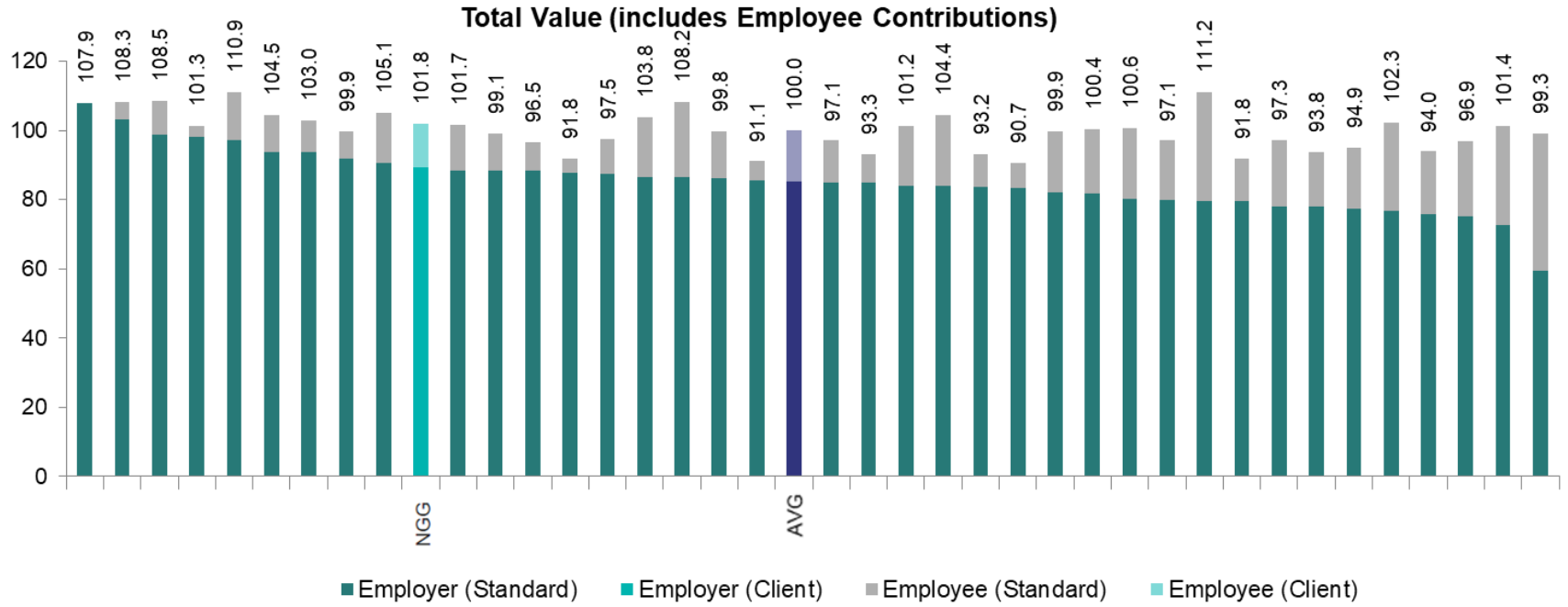
Active Medical Plan Score and Rank

Active Medical Plan Score and Rank		
	Score	**Rank**
Employer Value		
National Grid	104.8	10/39
Total Value		
National Grid	101.8	13/39

- National Grid ranks tenth in active medical employer value and thirteenth in total plan value
  - National Grid's employer value is higher than total value because of the lower-than-average employee contributions
    - High-deductible health plans are typically offered at lower employee contributions in comparison to traditional HMO/EPO and PPO/POS plans due to the higher deductibles on the plan

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Active Medical Plan



- With respect to employer values:
  - Of the top five plans, two are copay plans with no in-network deductible, and the other three are account-based health plans with in-network deductibles between $1,000/$2,000 and $1,500/$3,000 and very low employee contributions
  - The lowest ranked plan is a relatively generous PPO, but its employer value is driven down by its very high employee contributions

Note: results for NGG are excluded from averages.

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Active Dental Plan Comparison

- The following table compares National Grid's plan design relative to its peer group

	National Grid	Peer Group		
		Range	Average	Mode
In-Network				
Annual Deductible — Per Person	$50	$0 - $75	$42	$50
Annual Deductible — Family	$150	$0 - $150	$102	$150
Annual Maximum	$1,500 (excludes Orthodontia)	$1,200 - Unlimited	$1,997	$2,000
Preventive/Type I (Cleanings)	100%	85% - 100%	100%	100%
Basic/Type II (Fillings)	80%	70% - 100%	84%	80%
Major/Type III (Crowns)	50%	50% - 85%	58%	50%
Orthodontia — Coverage	None	40% - 100%	55%	50%
Orthodontia — Lifetime Maximum	N/A	$1,500 - $5,000	$2,016	$2,000
Monthly Employee Contributions — Employee Only	$15	$0 - $35	$14	N/A
Monthly Employee Contributions — Family	$40	$5 - $123	$47	N/A
Out-of-Network				
Annual Deductible — Out-Of-Network — Per Person	Same as in-network	$0 - $250	$48	Same as in-network
Annual Deductible — Out-Of-Network — Family	Same as in-network	$0 - $300	$113	Same as in-network
Annual Maximum — Out-Of-Network	Same as in-network	$1,200 - Unlimited	$1,949	Same as in-network

*Annual and lifetime maximums exclude one peer with an unlimited benefit

- The majority of National Grid's dental design provisions are in line with the peer group average, however it is less generous in areas such as:
  - Lower annual benefit maximum ($1,500 at National Grid vs. $1,997 average)
  - No orthodontia coverage
- National Grid's employee contributions are in line with the peer group average but slightly more generous on its family contributions

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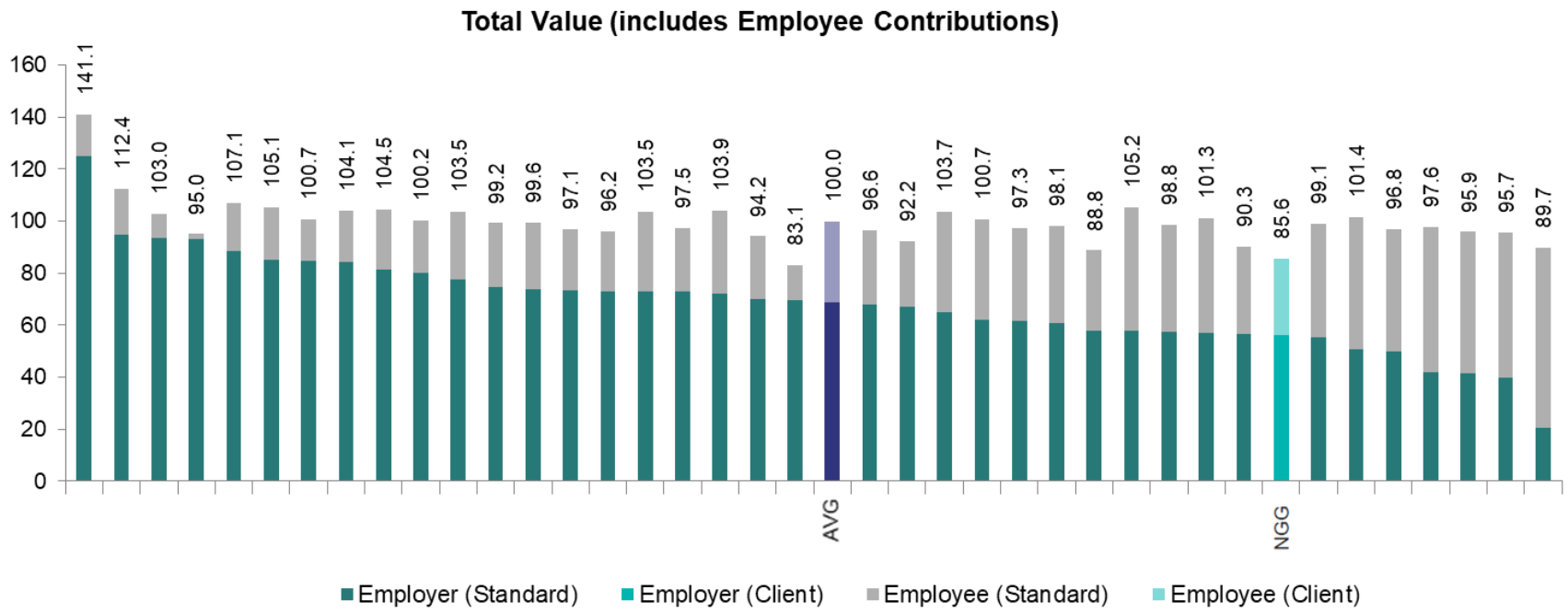
Active Dental Plan Score and Rank

Active Dental Plan Score and Rank		
	Score	**Rank**
Employer Value		
National Grid	81.8	32/39
Total Value		
National Grid	85.6	38/39

- National Grid's employer and total values finish near the bottom of the peer group as a result of not covering orthodontia and having a below average annual maximum
  - National Grid offers a plan option that includes orthodontia coverage however it is not the highest enrolled plan
- Five companies in the peer group have no member deductible

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Active Dental Plan



- No peers offer dental coverage on an employee-pay all basis
- The top ranked (by employer value) plan is a PPO which includes no deductible, an unlimited annual maximum and covers Preventive, Basic, and Orthodontic services at 100% coinsurance

Note: results for NGG are excluded from averages.

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Life Insurance/AD&D Plan Comparison

	National Grid	Peer Group		
		Range	Average	Mode
Basic				
Basic Benefit Amount	1 x pay	.25 x pay - 3 x pay	N/A	1 x pay
Benefit Max — Basic	$1,500,000	$10,000 - Unlimited	$970,000	$1,000,000
Supplemental				
Highest Benefit Level	5 x pay	4 x pay - 10 x pay	N/A	8 x pay
Dependent				
Spouse	$10,000 - $100,000	$20,000 - $500,000	$173,000	$100,000
Child	$2,500 - $10,000	$7,500 - $30,000	$16,000	$10,000
AD&D				
Participation Requirements	None	None - 1 Month of Service	N/A	None
Monthly Employee Contributions	None	N/A	N/A	None
Benefit Amount	2 x pay	$10,000 - 3 x pay	N/A	1 x pay
Benefit Maximum	$600,000	$10,000 - Unlimited	$1,205,000	$1,000,000

- National Grid's active basic life amount is in line with the peer group mode; its basic life maximum is above the peer group average of $970,000
- Three peers do not offer any form of supplemental life insurance. Ranges, averages and modes above reflect supplemental plans in place
- National Grid's supplemental life benefit of up to 5x pay is below the peer group mode of 8x pay
- Spouse and Child life benefits are below the peer group averages but are in line with the peer group mode
- National Grid's AD&D maximum is lower than the average of $1,205,000
  - Nine peers do not offer AD&D coverage
- All peers offer an employer pay-all basic life benefit

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Basic Life/AD&D Insurance Plan Score and Rank

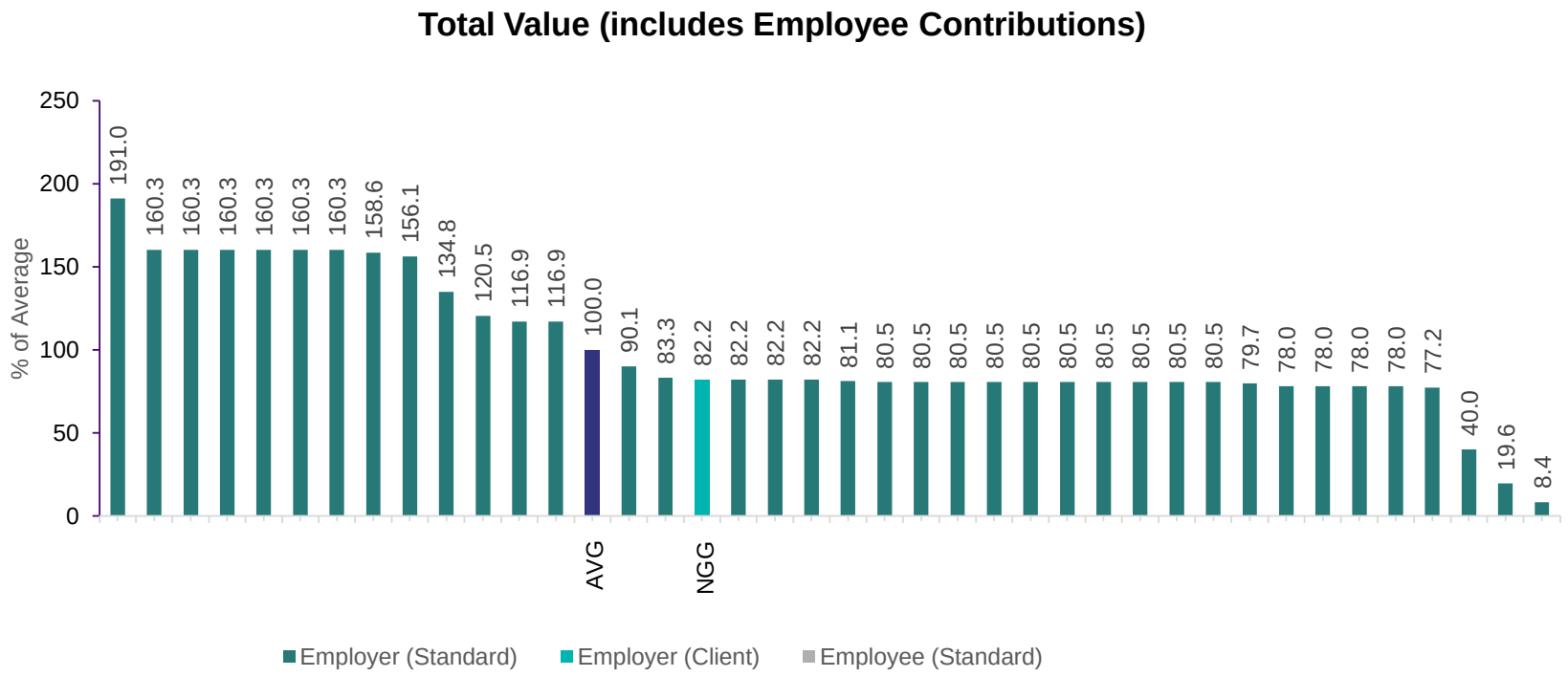
Basic Life Insurance/AD&D Plan Score and Rank		
	Score	**Rank**
Employer Value		
National Grid	82.2	16/39
Total Value		
National Grid	82.2	16/39

- Overall, National Grid's basic life and AD&D benefit is in line with the peer group mode with the exception of a lower AD&D maximum that is offset with a higher benefit amount of 2x pay, and a higher basic life maximum
  - National Grid's score and rank appear below average due to several peers offering generous designs at the top end of the peer group

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Basic Life/AD&D Insurance Plan



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Short-Term Disability Plan Comparison

	National Grid	Peer Group		
		Range	Average	Mode
Sick Leave Commencement	1st day of disability	N/A	N/A	1st day of disability
Sick Pay @ 100% (Number of Weeks)				
< 1 Year of Service	0	0 - 26	9	26
1 Year of Service	1	1 - 26	10	13
5 Years of Service	5	1 - 26	14	26
10 Years of Service	10	1 - 26	17	26
15 Years of Service	15	1 - 30	18	26
20 Years of Service	20	1 - 40	19	26
Salary Continuance				
% of Pay	60%	50% - 82.5%	66%	60%
Duration (Number of Weeks):				
< 1 Year of Service	13	10 - 26	20	26
1 Year of Service	12	13 - 26	19	13
5 Years of Service	8	0 - 26	16	13
10 Years of Service	3	0 - 26	14	13
15 Years of Service	0	0 - 26	13	0
20 Years of Service	0	0 - 26	12	0
25 Years of Service	0	0 - 26	12	0

- The table above compares National Grid's short-term disability plan with those of its peer group
- Overall, there is little differentiation among the sick plans across the peer group other than a few peers at the bottom of the range
- Nineteen peers offer formal sick leave programs
  - Thirteen peers offer informal sick leave programs or include sick days in the PTO program
- Benefit levels and duration for primary salary continuance plans are provided
  - Benefits range from 50% to 82.5%
- Five peers require employee contributions

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Long-Term Disability Plan Comparison

	National Grid	Peer Group		
		Range	Average	Mode
Definition of Disability	Own occ first 24 months; any occ after 24 months	N/A	N/A	Own occ first 24 months; any occ after 24 months
Covered Pay	Base Salary	N/A	N/A	Base Salary
Commencement	After exhaustion of STD benefits (90 day elimination period)	3 months - 12 months	6 months	6 months
Benefit — Amount	60%	50% - 70%	58%	60%
Benefit — Offsets	SS Family	N/A	N/A	SS Family
Maximum Benefit (After Offsets)	$15,000 per month	$6,000 - Unlimited	$14,506	$10,000

- National Grid's benefit amount of 60% is in line with the average and the peer group mode
- National Grid has a 90-day elimination period that compares favorably to the peer group
  - The 90-day elimination period is fulfilled when sick leave benefits have been exhausted
  - Thirty-two of the peers have a 180-day (or 6 month) elimination period
- Like National Grid, the majority of peers offer employer-pay all long-term disability plans

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Short-Term Disability and Long-Term Disability Plans Score and Rank

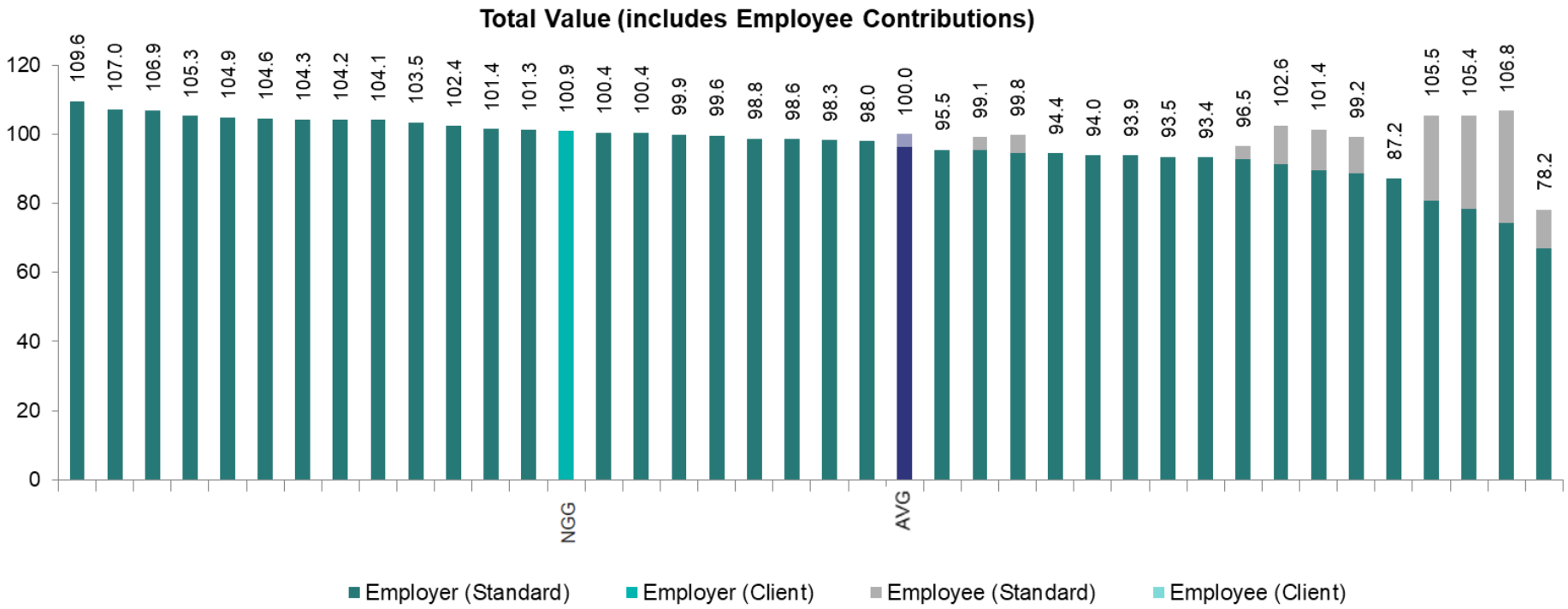
- Since differing elimination periods can skew results when looking at STD and LTD benefits individually, it is important to look at the entire disability continuum
- When STD and LTD are assessed in combination, National Grid's employer value is slightly above the peer group average, and National Grid's total value is in line with the peer group average
- National Grid's employer value is higher than its total value because its disability plans are non-contributory
  - The majority of peers offer disability plans that do not require employee contributions, however ten peers have the majority of their employees enrolled in a disability option that requires employee contributions

Short-Term and Long-Term Disability Plans Score and Rank		
	Score	**Rank**
Employer Value		
National Grid	104.8	14/39
Total Value		
National Grid	100.9	19/39

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Short-Term Disability and Long-Term Disability Plans



Note: results for NGG are excluded from averages.

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Vacation and Holiday Plan Comparison

	National Grid	Peer Group		
		Range	Average	Mode
Number of Days				
Vacation At Hire	14	10 - 32	16	15
Vacation With 1 Year of Service	15	10 - 32	16	15
Vacation With 5 Years of Service	15	10 - 37	19	15
Vacation With 10 Years of Service	20	15 - 37	21	20
Vacation With 15 Years of Service	20	20 - 37	24	20
Vacation With 25 Years of Service	25	20 - 38	27	25
Vacation With 35 Years of Service	25	20 - 38	28	25
Employer Scheduled Holidays	11	0 - 12	9	10
Employee Scheduled Holidays	2	0 - 5	2	0

- The table above compares National Grid's vacation and holiday plan design relative to its peer group
- All but one peer offers employer-scheduled holidays; ten peers offer employee-scheduled holidays in addition to PTO or vacation days
- Overall vacation days per year of service and holidays are in line with the peer group average

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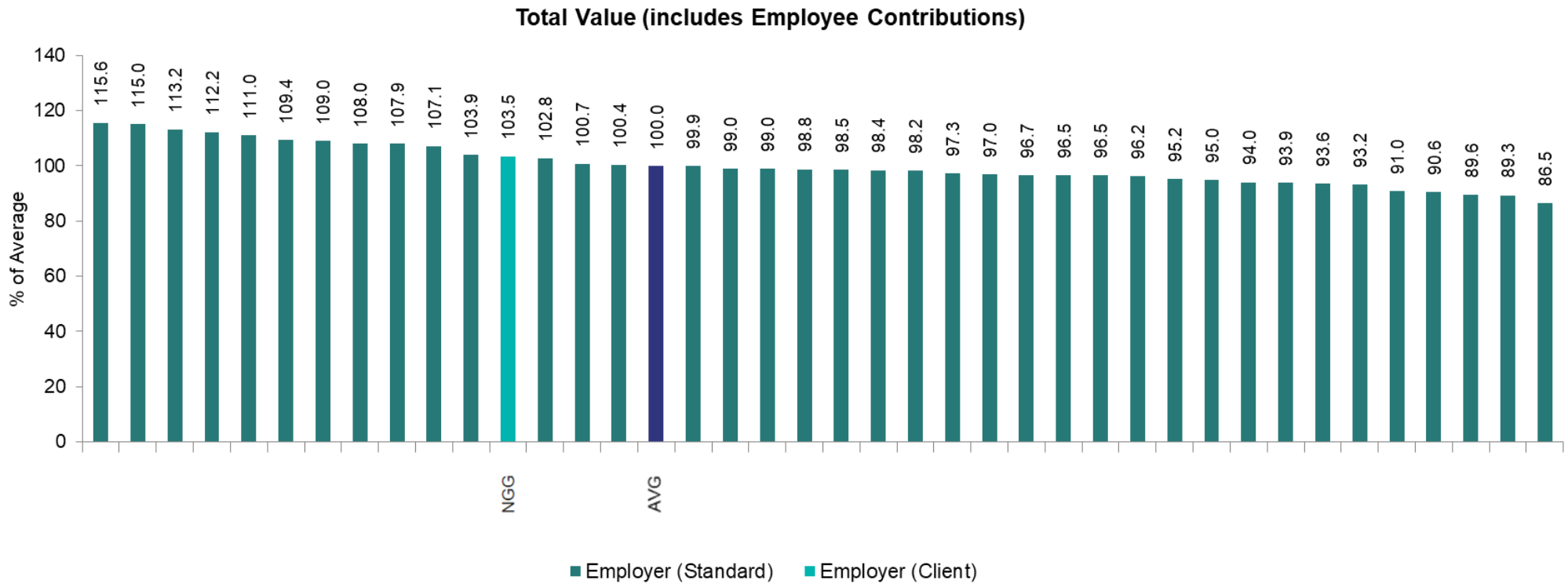
Vacation and Holiday Plan Score and Rank

- The following table summarizes National Grid's positioning among its peers with respect to vacation and holiday benefits

Vacation and Holiday Plan Score and Rank		
	Score	**Rank**
Employer Value		
National Grid	103.5	12/39
Total Value		
National Grid	103.5	12/39

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Vacation and Holiday Plan



- There is minimal differentiation between peers' vacation and holiday plans

Note: results for NGG are excluded from averages.

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Appendix

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Score Summary

Provision	Employer Value	Total Value
Entire Benefit Program	**105.5**	**110.7**
Defined Benefit + Defined Contribution	109.2	110.0
Defined Benefit	N/A	N/A
Defined Contribution	132.1	122.7
Retirement Events — including Stock Purchase plan	112.0	127.9
Post-Retirement Medical	78.3	140.2
Active Medical	104.8	101.8
Active Dental	81.8	85.6
Basic Life Insurance/AD&D	82.2	82.2
STD + LTD	104.8	100.9
Vacation + Holiday	103.5	103.5

- National Grid is slightly above average from an employer value perspective and above average from a total value perspective
- As noted throughout the document, there are some benefit provisions that are more generous than the peer group, and others that are less generous than the peer group, which ultimately contributes to the overall Entire Benefit Program score

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BENVAL Valuation Methodology

Relative values are determined based on a representative employee group and a standardized set of valuation assumptions/methods; results are not intended to represent actual program costs

- Plan provisions valued are those applicable to newly hired employees; benefits available only to grandfathered groups of employees are not reflected
- Standard population
  - Average age: 44 years
  - Average service: 12 years
  - Average base salary : $79,825
  - Average total compensation: $88,365
- Key economic assumptions
  - Investment return assumption/discount rate: 6.5%
  - Salary increase rate: 3.5%
  - Inflation: 2.5%
  - One-year Treasury bond yield: 3.9%
  - 30-year Treasury bond yield: 5.0%
  - Health care cost trend (for postretirement medical): 6.5% graded to 5% over 5 years

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Exhibit ___ (HRP-3)

Market Merit Increases & Ten-Year Wage Increase History

Exhibit ___ (HRP-3)

Schedule 1

Market Merit Increases

Market Merit Increases

General industry merit budgets have been higher in 2022 and 2023 (projected) compared to prior norms, given a tight labor market and rising inflation.

Year	U.S. Merit Budget Increases			
	Executive	Middle Management & Professional	Support Staff	Production & Manual Labor
2021	3.0%	2.9%	2.8%	2.7%
2022	4.0%	4.1%	4.1%	4.1%
2023[P]	4.4%	4.4%	4.4%	4.4%

P = Projected

Data reflects the average merit budget increase for each group and includes survey participants providing no merit increases.

Due to a change in the published survey methodology, the WTW employee categories changed in 2021.

Source: WTW Data Services - 2022 General Industry Salary Budget Survey Report (USA)

Exhibit__(HRP-3)
Schedule 1
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Exhibit ___ (HRP-3)

Schedule 2

10 Year Wage Increase History

National Grid

Management Wage Increase History

2013 - 2022

Year	Merit	Promotion/ Equity	Total
2013	2.70%	0.48%	3.18%
2014	2.50%	0.73%	3.23%
2015	0.00%	0.43%	0.43%
2016	2.50%	0.70%	3.20%
2017	2.50%	1.14%	3.64%
2018	3.00%	0.25%	3.25%
2019	3.10%	0.25%	3.35%
2020	1.66%	0.25%	1.91%
2021	2.75%	0.25%	3.00%
2022	4.00%	0.50%	4.50%

Exhibit____(HRP-4)

KEDNY and KEDLI's compensation and benefits for union employees

Exhibit____(HRP-4)

Schedule 1

General Wage Increases for Union Employees

National Grid
Union General Wage Increase (GWI) History

Year	KEDNY Local 101 GWI	KEDNY Local 3 GWI	KEDLI Local 1049 GWI
2013	2.50%	2.50%	2.50%
2014	2.50%	2.50%	2.50%
2015	2.50%	2.50%	2.50%
2016	2.50%	2.50%	2.50%
2017	1.50%	2.50%	3.00%
2018	3.00%	1.50%	3.00%
2019	4.25%	3.00%	3.00%
2020	3.00%	4.25%	3.00%
2021	3.00%	3.00%	3.00%
2022	3.00%	3.00%	3.00%
2023	3.00%	(a)	3.00%
2024	3.00%	(a)	3.00%
2025	3.00%	(a)	(a)

(a) Local 3 contract expires on October 15, 2023.
Local 1049 contract expires on February 13, 2025.
General Wage Increases are expected to be negotiated during the collective bargaining process.

Exhibit____(HRP-4)

Schedule 2

Union Wage Comparison for KEDNY Employees – Local 101

National Grid USA

Union Wage Comparisons - KEDNY Local 101

Position	National Grid Local 101 Hourly Rate		Market Median Compensation Hourly Rate[3,4,5]		National Grid Compensation as Percent of Market Median	
	Salary[1]	Target Total Cash Compensation[2]	Salary	Target Total Cash Compensation	Salary	Target Total Cash Compensation
Customer Service Rep	$47.17	$48.35	$32.07	$33.36	147%	145%
Dispatcher	$52.57	$53.89	$51.23	$55.90	103%	96%
Auto Technician	$53.31	$54.64	$45.37	$48.58	117%	112%
Stock Person	$35.02	$35.90	$27.63	$28.92	127%	124%
Operator A Dist Opns	$51.88	$53.18	$50.15	$56.33	103%	94%
Meter Service Technician C/B	$49.59	$50.83	$38.37	$39.41	129%	129%
Mechanic A	$50.73	$52.00	$49.42	$51.53	103%	101%
				Average	**118%**	**115%**

Notes:

(1) National Grid Local 101 Hourly Rates in effect as of December, 2022.

(2) Target incentive for Local 101 union employees is 2.5% of salary.

(3) Market data has been updated by a 4.1% annual rate to March 1, 2023 based on the 2022 WTW U.S. Salary Budget Planning Report.

(4) Market data reflects U.S. Energy Services Total Sample data. Note that the local labor market for Local 101 (primarily New York City) is generally understood to be approximately 20% higher than the national market data reflected above.

(5) Because market data reported is for non-union workers only, the hourly rate reflects a 8% differential to account for union membership within the Utilities Industry. This differential was determined based on an average of the 2020, 2021, and 2022 data from the Bureau of Labor Statistics monthly Current Population Survey (link below). A three year average was used to reduce year-to-year volatility in BLS data.

U.S. Department of Labor, Bureau of Labor Statistics, "Current Population Survey: Median weekly earnings of full-time wage and salary workers by union affiliation, occupation, and industry." Last modified date: January 19, 2023, available at [https://www.bls.gov/news.release/union2.t04.htm].

Exhibit____(HRP-4)

Schedule 3

Union Wage Comparison for KEDLI Employees –

Local 1049

National Grid USA

Union Wage Comparisons - KEDLI Local 1049

Position	National Grid Local 1049 Hourly Rate		Market Median Compensation Hourly Rate[3,4,5]		National Grid Compensation as Percent of Market Median	
	Salary[1]	Target Total Cash Compensation[2]	Salary	Target Total Cash Compensation	Salary	Target Total Cash Compensation
Customer Rep Post 2001	$38.73	$39.70	$26.96	$28.71	144%	138%
Gas Cust Service Dispatcher	$53.44	$54.78	$47.04	$48.45	114%	113%
Auto & Equip Mechanic	$46.89	$48.06	$45.37	$48.58	103%	99%
Stock Handler/Truck Driver	$48.46	$49.67	$54.99	$59.80	88%	83%
Utility Mechanic Post 2001	$46.89	$48.06	$38.32	$39.61	122%	121%
Meter Service Technician C/B	$50.34	$51.60	$38.37	$39.41	131%	131%
Mechanic A-1	$55.41	$56.80	$49.42	$51.53	112%	110%
				Average	**116%**	**114%**

Notes:

(1) National Grid Local 1049 Hourly Rates in effect as of December, 2022.

(2) Target incentive for Local 1049 union employees is 2.5% of salary.

(3) Market data has been updated by a 4.1% annual rate to March 1, 2023 based on the 2022 WTW U.S. Salary Budget Planning Report.

(4) Market data reflects U.S. Energy Services Total Sample data. Note that the local labor market for Local 1049 (primarily Long Island) is generally understood to be approximately 15% to 20% higher than the national market data reflected above.

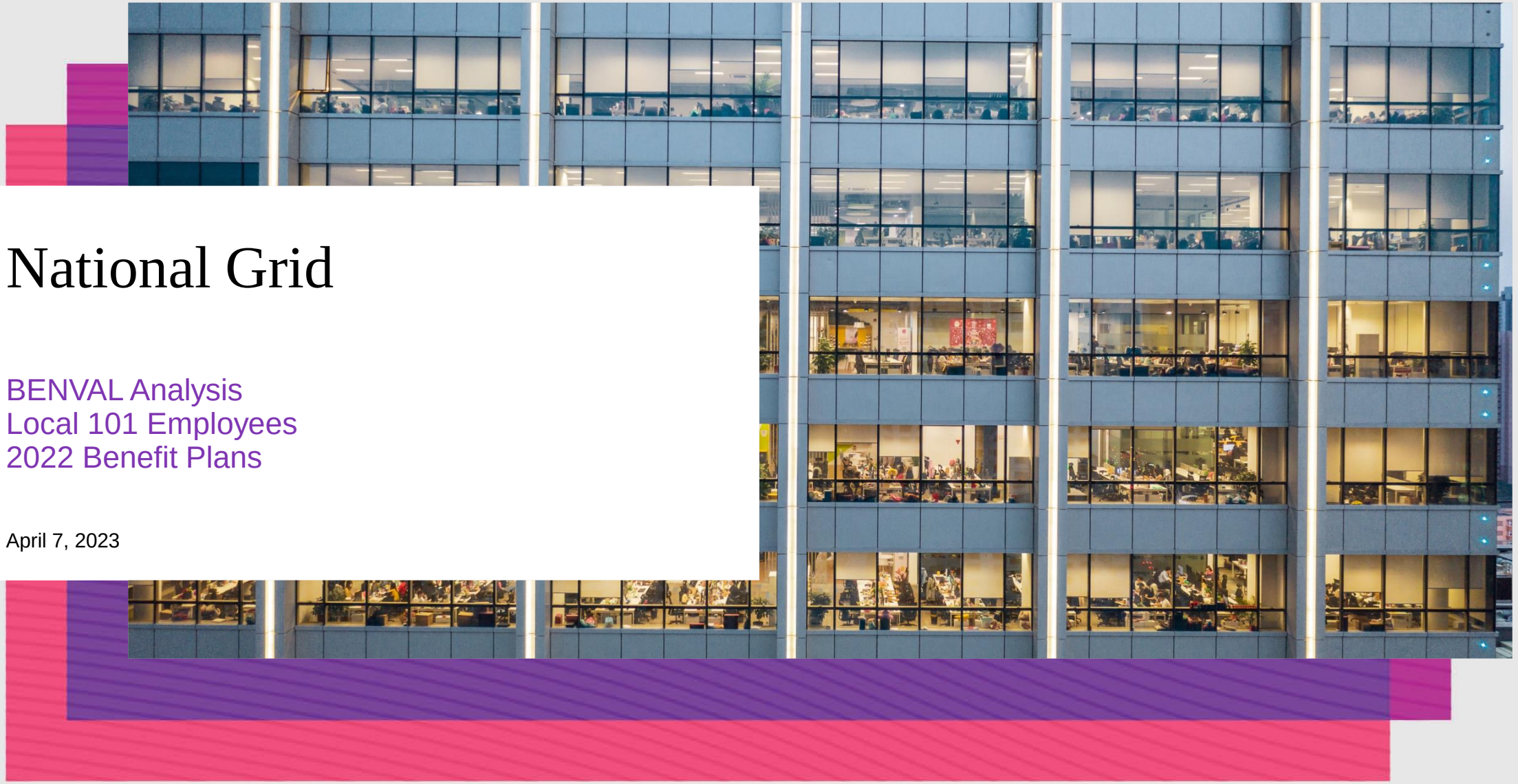
(5) Because market data reported is for non-union workers only, the hourly rate reflects a 8% differential to account for union membership within the Utilities Industry. This differential was determined based on an average of the 2020, 2021, and 2022 data from the Bureau of Labor Statistics monthly Current Population Survey (link below). A three year average was used to reduce year-to-year volatility in BLS data.

U.S. Department of Labor, Bureau of Labor Statistics, "Current Population Survey: Median weekly earnings of full-time wage and salary workers by union affiliation, occupation, and industry." Last modified date: January 19, 2023, available at [https://www.bls.gov/news.release/union2.t04.htm].

Exhibit____(HRP-4)

Schedule 4

BENVAL Analysis for KEDNY Union Employees- 2022
Benefit Plans for Local 101



National Grid

BENVAL Analysis
Local 101 Employees
2022 Benefit Plans

April 7, 2023

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- Overview of Competitive Assessment
- Entire Benefit Program
- Retirement Benefits
- Active Benefits
- Appendix

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Overview of Competitive Assessment

- Willis Towers Watson maintains a U.S. database of benefit provisions for over 1,000 organizations
- BENVAL determines a value for these benefits by applying a standard methodology to a standard employee population
- Benefit programs are:
  - Compared on a relative value basis between employers — a score of 100 represents the average value for the peer group
  - Scores are determined on a dollar value basis relative to the average value
- This report includes the following:
  - List of peer companies included in the study
  - Executive summary of study results
  - Overview of the benefits environment
  - Relative value comparison for the total program and individual benefit programs
  - Breakdown of benefit values by component programs
- Benefit plans are those that were in force as of 2022 and were applicable for new employees. Closed or grandfathered plans are not valued for the peer group
- Throughout this document, “total value” refers to the positioning of the benefit programs, including the value of employee contributions; “employer value” refers to the value after employee contributions have been deducted
- The Entire Benefit Program total and employer values are primarily driven by the value of the retirement plans, active and post-retirement medical plans, as well as vacation and holiday programs, which comprise the vast majority of the program values

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Overview of Competitive Assessment

- Willis Towers Watson has conducted a competitive assessment comparing benefit levels for National Grid's Local 101 Union (NGGU) relative to the union benefit programs for the following 15 peer companies:
  - Alliant Energy Corporation
  - CenterPoint Energy, Inc.
  - Consolidated Edison Company of New York, Inc.
  - Duke Energy Corporation
  - Duquesne Light Holdings, Inc.
  - Entergy Corporation
  - Eversource Energy Service Company
  - Exelon Corporation – Local 210
  - NorthWestern Energy
  - Pacific Gas and Electric Company
  - Pinnacle West Capital Corporation
  - Portland General Electric Company
  - PPL Corporation
  - Xcel Energy, Inc. — NSP Union
  - Xcel Energy, Inc. — PSCo Union
- Throughout this document, we have included plan summary charts for each benefit
  - In the Retirement section, we provide plan summaries for each benefit program for Local 101, and for the defined contribution benefit we also provide information on benefits offered by the peer group
  - In the Active section, we provide plan summaries for each benefit program for Local 101, as well as ranges (the lowest to highest value for the group of values), averages (the mean of a group of values), and modes (the most frequent value in a group of values), where possible for the peer group; where averages could not be calculated, we calculated a range and/or mode only

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Entire Benefit Program

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Entire Benefit Program Score and Rank

Entire Benefit Program Score and Rank		
	Score	**Rank**
Employer Value		
Local 101	90.5	15/16
Total Value		
Local 101	104.6	5/16

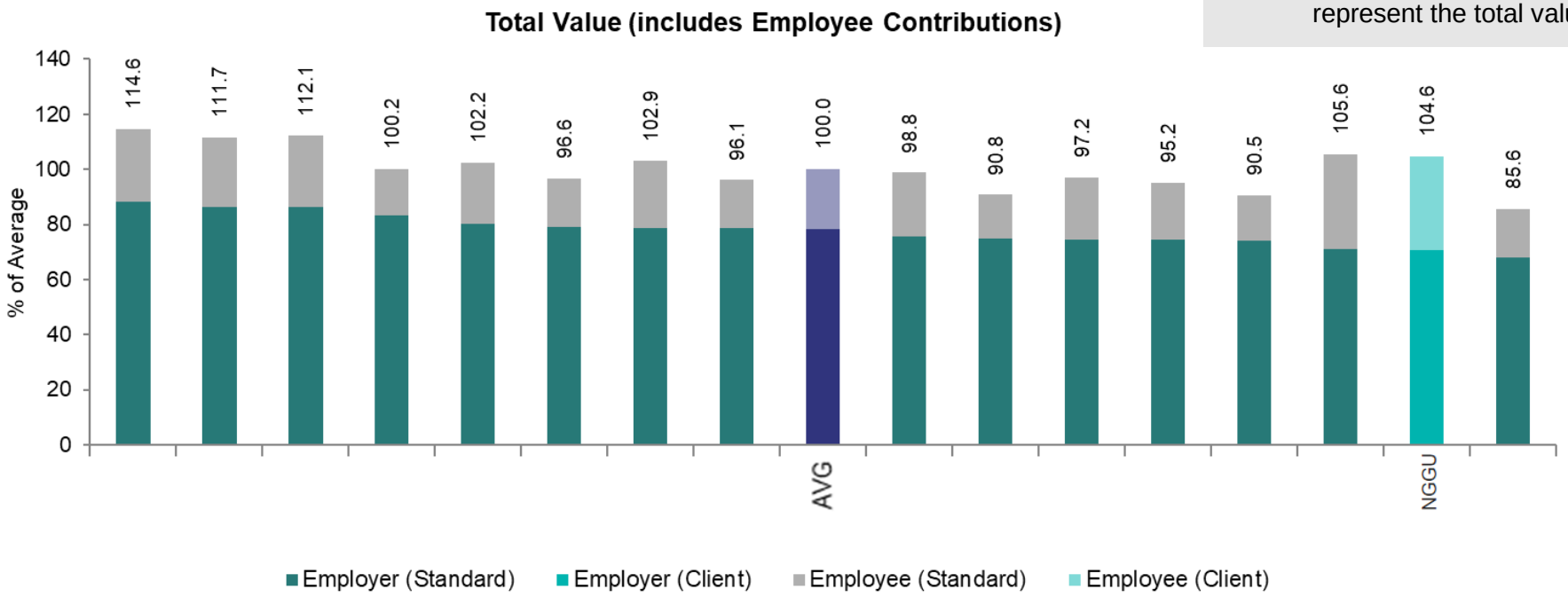
- Total value reflects the gross value of employee benefits, including the portion of benefits paid for by the employee; employer value represents the net value of benefits, including only the portion of benefits paid for by the employer
  - Lower employer values than total values indicate that employee contributions are greater than peers
- Overall, from a total value perspective Local 101's benefits are in line with the average of its peer group, however they are below average when considering employer value
  - As a reminder, these values are primarily driven by the value of the retirement plans, active and post-retirement medical plans, and vacation and holiday programs, which comprise the vast majority of the program values

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Entire Benefit Program

Throughout this document, the bar charts are organized to list the peers in order of employer value ranking, however the numerical figures noted represent the total value.



- The bar chart illustrates how Local 101 compares to the peer group both in terms of gross benefit value of its entire benefit program, as well as employer-provided value (i.e., net of employee contributions)
- Local 101 ranks fifteenth in the peer group in employer value and fifth in total value
  - There are four peers that rank above Local 101 for both total value and employer value; however ten additional peers rank ahead of Local 101 in terms of employer value, indicating their employee contributions are more generous than Local 101

Note: results for NGGU are excluded from averages.

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Retirement Benefits

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All Retirement Events Score and Rank Excluding Stock Purchase Plan

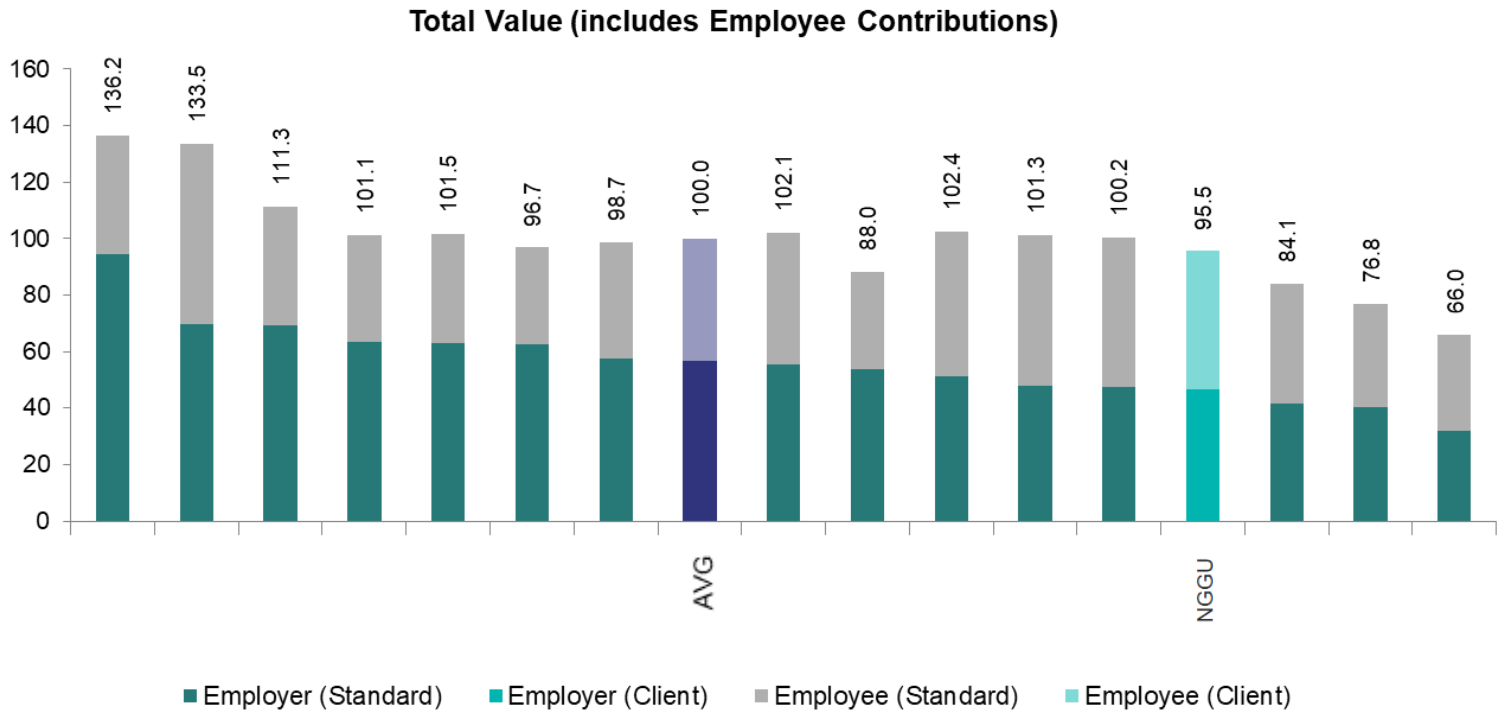
- Retirement events refer to the various benefits that become available upon an employee's retirement. This would encompass defined benefit/defined contribution benefits and post-retirement medical benefits
  - Other long-term incentive programs such as employee stock purchase plans and profit-sharing plans would fall in this category as well
- Local 101's total value and employer value are below the peer group average, driven by the fact Local 101 does not offer a defined benefit pension plan and offers a defined contribution plan that is slightly above average
  - Like Local 101, eight peers do not offer a defined benefit plan in addition to a defined contribution benefit
  - Lower employer values than total values indicate higher employee costs relative to peers

Retirement Events Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 101	82.2	13/16
Total Value		
Local 101	95.5	12/16

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All Retirement Events — Excluding Stock Purchase Plan



- The bar chart illustrates how Local 101 compares to the peer group in terms of gross retirement event value excluding stock purchase plans

Note: results for NGGU are excluded from averages.

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All Retirement Events Score and Rank Including Stock Purchase Plan

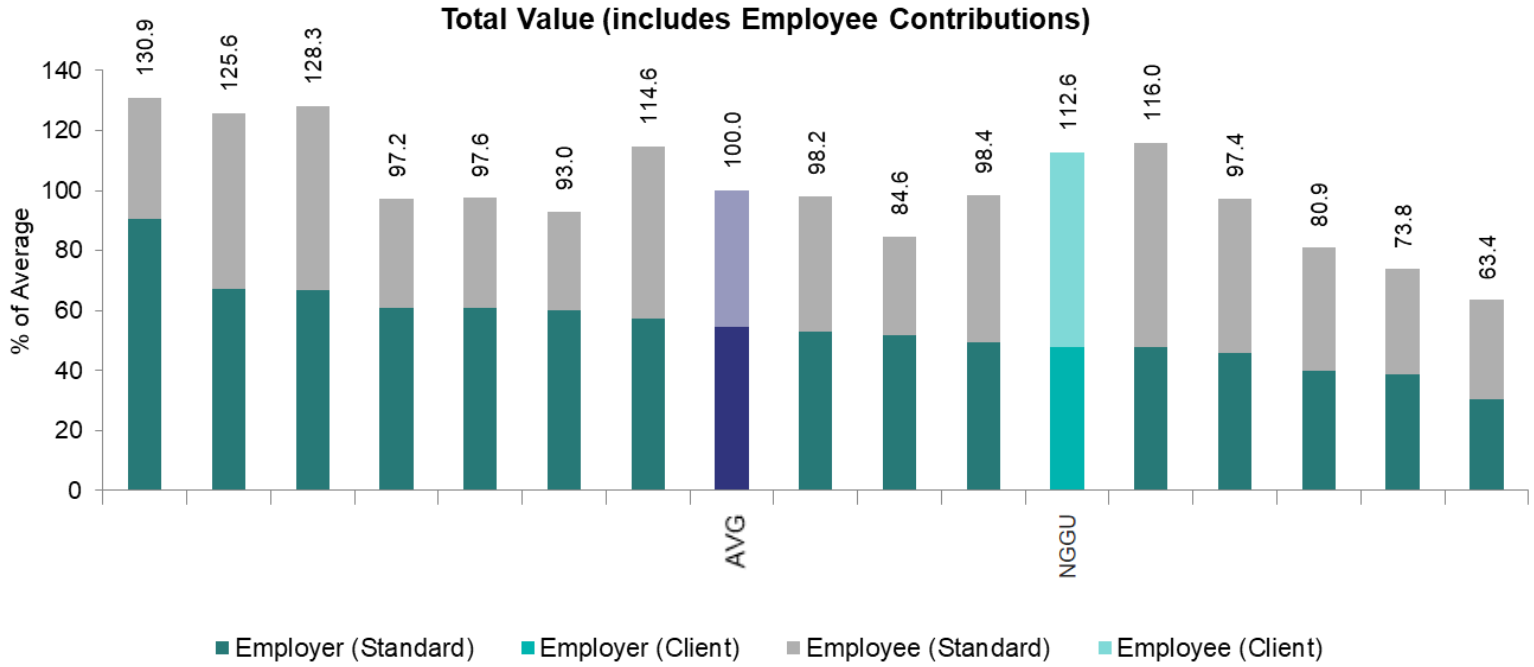
- When the stock purchase plan is added, Local 101's retirement event plan values increase
  - Employer value ranking moves up to eleventh, while total value ranking moves up to sixth
  - Like Local 101, three peers offer stock purchase plans with employer contributions, while the remaining peers have no employer value for stock purchase plans and therefore contribute zeros to the average
    - This means that the value of Local 101's stock purchase plan is closer than it appears to peers that offer a stock purchase plan
      - Local 101's design, which includes a 15% employer contribution (employee discount) and a 1 month purchase period, is more generous than peers that also offer stock purchase plans
        - Local 101's stock purchase plan ranks 1 of 4 in total value for those that offer a stock purchase plan
        - For example, one peer offers a stock purchase plan of 5% of price and a 6 month purchase period, so their value is lower than Local 101
      - Note that the BENVAL assumes that employee contributions are capped at 10% if the peer allows contributions to exceed this, as it is not expected that most employees would contribute greater than 10%

Retirement Events Score and Rank — Including Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 101	87.4	11/16
Total Value		
Local 101	112.6	6/16

Exhibit__(HRP-4)
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All Retirement Events — Including Stock Purchase Plan



- The bar chart illustrates how Local 101 compares to the peer group in terms of gross retirement event value including the stock purchase plan
  - Of the five peers that rank above Local 101 in total value, all offer retiree medical however three offer subsidized retiree medical
    - Two of these peers offer a defined benefit plan

Note: results for NGGU are excluded from averages.

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Defined Benefit Plan and Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan

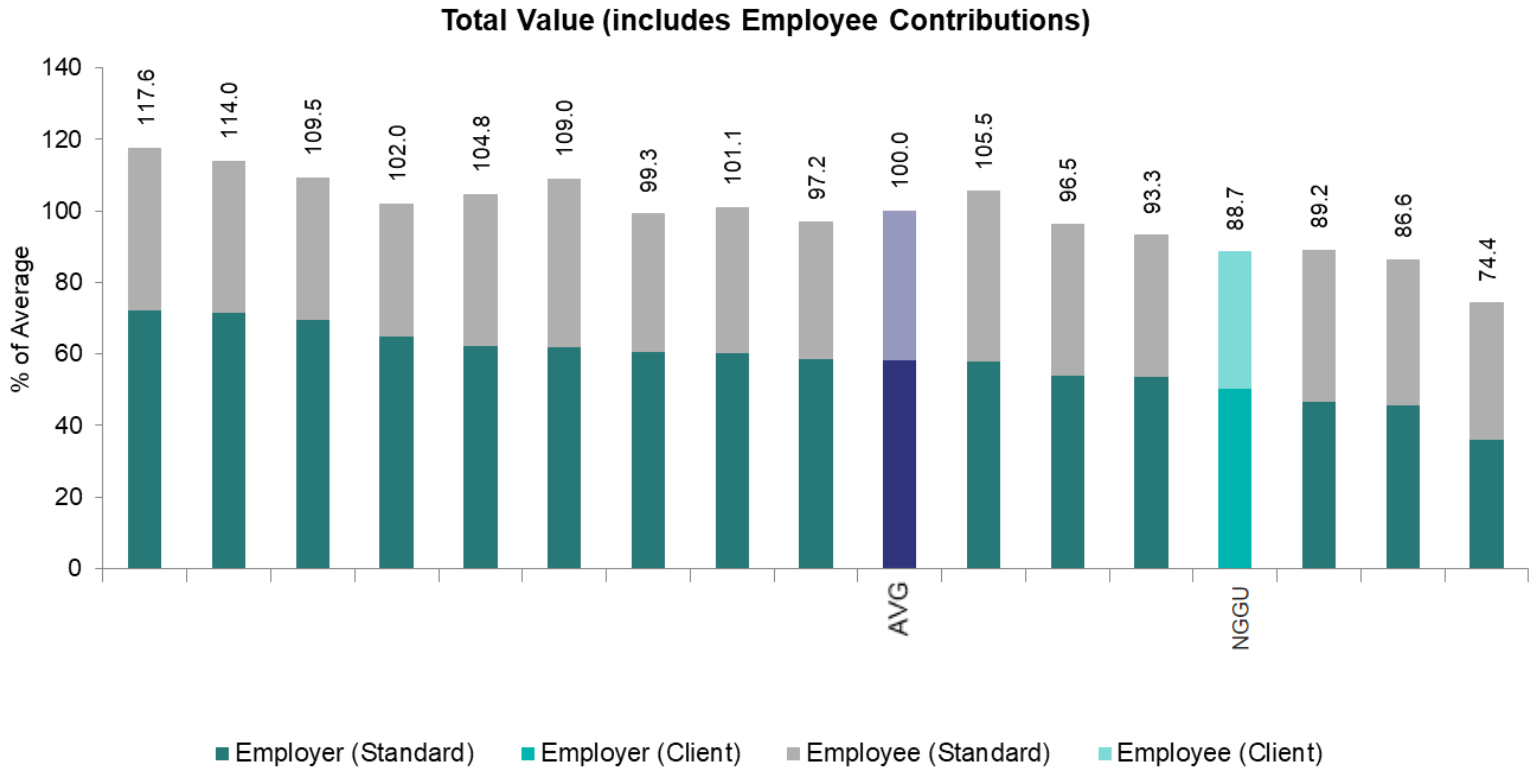
Defined Benefit and Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 101	86.0	13/16
Total Value		
Local 101	88.7	14/16

- It is important to look at defined benefit plans and defined contribution plans together to understand the full value of a company's retirement benefits
- Local 101 offers a defined contribution plan but not a defined benefit plan
- While Local 101's defined contribution plan is slightly above average in total value, the total value of Local 101's offering is still below average due to the prevalence of defined benefit plans in the peer group
  - Local 101 offers a defined contribution plan which requires employee contributions to obtain the maximum benefit, while the defined benefit plans offered within the peer group do not require employee contributions (money that the employee must contribute to receive a match is counted as an employee contribution in this analysis)

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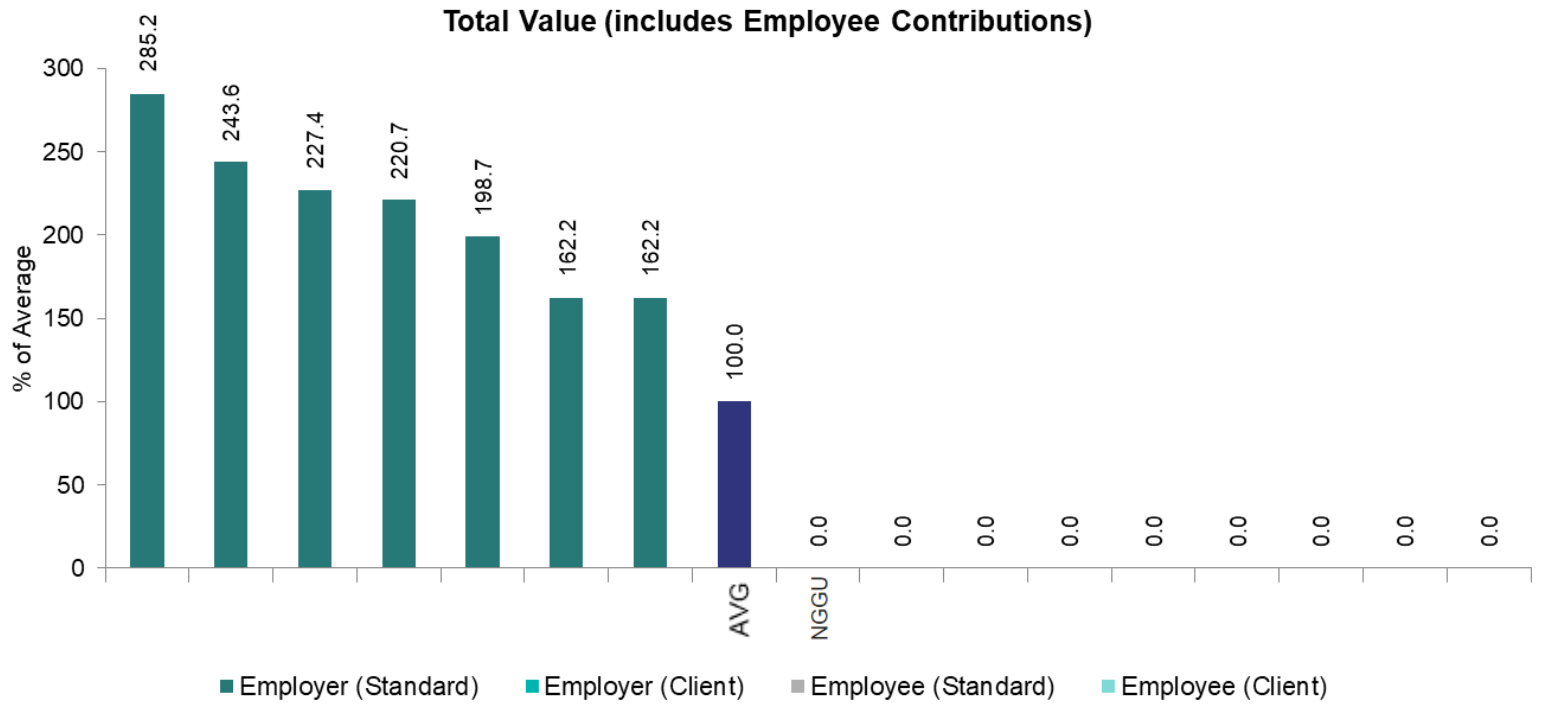
Defined Benefit Plan and Defined Contribution Plan Excluding Stock Purchase Plan



Note: results for NGGU are excluded from averages.

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Defined Benefit Plan



- Of the peer group, seven peers provide a defined benefit plan in addition to a defined contribution plan
  - Out of the seven peers with defined benefit plans, one offers a traditional defined benefit pension plan while the others offer cash balance plans

Note: results for NGGU are excluded from averages.

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Defined Contribution Plan Design

- Local 101 offers a point-based defined contribution plan
- Local 101's plan is above average in employer value due to the above average benefit formula and inclusion of variable pay, however the plan is in line with the peer group average in total value
  - Local 101 offers the highest core contribution in the peer group
    - Only two other peers offer the same core contribution as Local 101
      - Both of these peers rank above Local 101, driven by higher employer match

Defined Contribution Plan	Local 101	Peer Group		
		Range	Average	Mode
Maximum Employee Matched Contributions	6%	3% — 10%	6%	6%
Maximum Employer Matched Contributions	1.5%	3% — 6%	5%	6%
Employer Core Contribution[1,2]	6%	0% — 6%	2%	0%
Maximum Total Employer Contribution	7.5%	3% — 11%	7%	6%
100% Vesting (for Matched and Core Contribution)	3 Years	Immediately — 3 Years	1 Year	Immediately
Autoenrollment	6%	0% — 8%	4%	6%

[1]Numbers shown here based on Age+Service of 56 years, which is the average assumed by BENVAL

[2]Employee contributions not required

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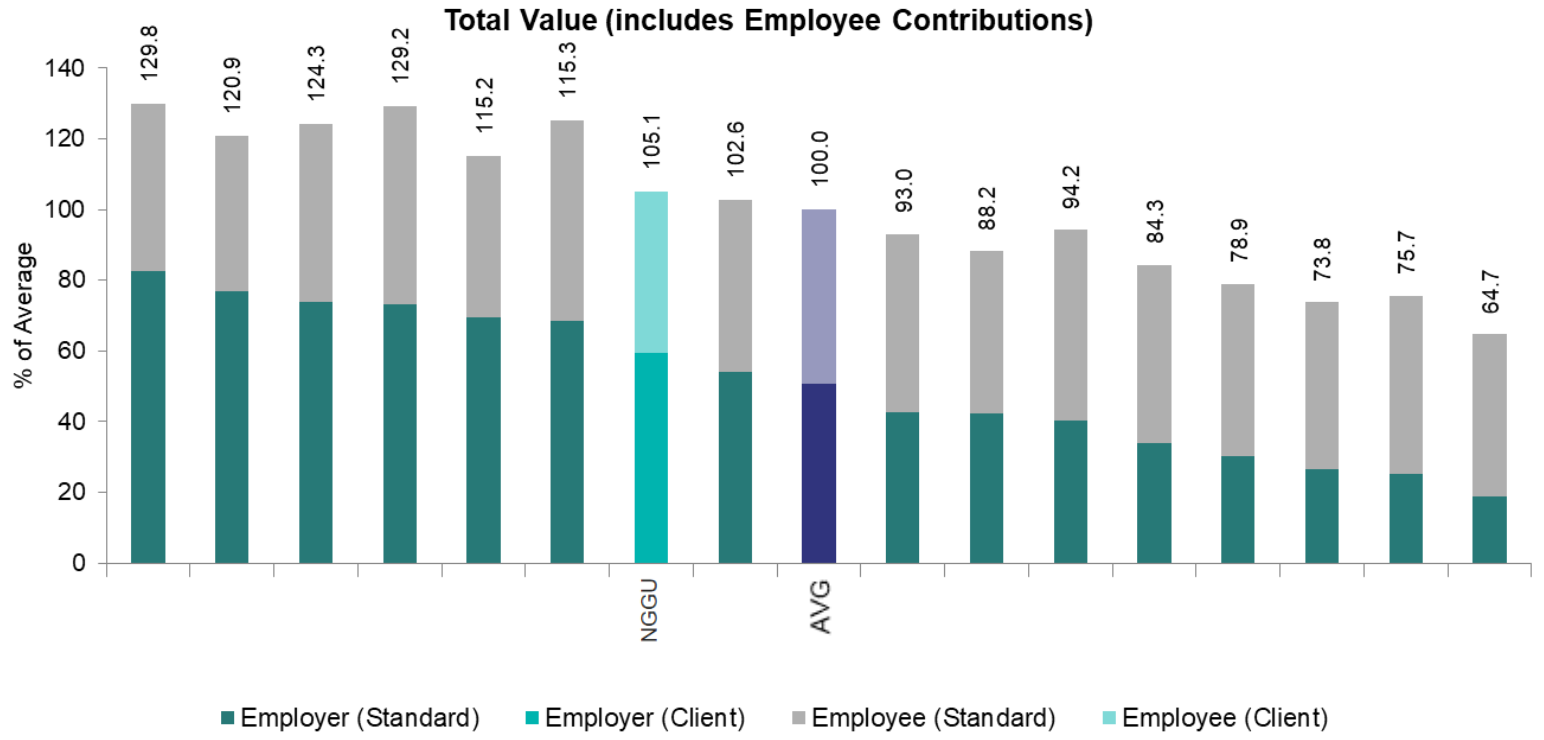
Defined Contribution Plan Score and Rank Excluding Stock Purchase Plan

Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 101	117.6	7/16
Total Value		
Local 101	105.1	7/16

- Local 101's defined contribution plan is ranked seventh in both total value and employer value
  - All of the peers' retirement programs include a savings plan
  - Eight peers offer a core contribution, while the rest do not
- Local 101's core contribution is higher than the peer group, thus its employer value is higher than the total value
- Four peers cap employee contribution matching above 6%; eight cap employee contribution matching at 6%; and three cap at less than 6%
  - Local 101's maximum employee matching contribution is 6%, with 25% being matched
  - Local 101 also offers a core contribution which ranges from 3% to 9% of pay depending on age and service capped at 4.5% of pay if 30 or more years of service; between the match and the core contribution, the average Local 101 employee is estimated to receive a contribution of 7.5% of pay

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Defined Contribution Plan - Excluding Stock Purchase Plan



Note: results for NGGU are excluded from averages.

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Post-Retirement Medical Plan Design

- The following table outlines Local 101's plan design by pre-65 and post-65 retirees
  - The PPO plan is the highest enrolled plan for Local 101's pre-65 retirees
  - The PPO plan is also the highest enrolled plan for Local 101's post-65 retirees
- Local 101 has a capped employer subsidy for pre-65 coverage and the post-65 plan is retiree pay-all coverage

	Local 101
Pre-65	
Type of Plan	PPO
Plan Design — In-network	
Annual Deductible - Per Person	$300
Annual Deductible - Family Maximum	$600
Annual OOP Max - Per Person (Includes Ded)	$2,100
Annual OOP Max - Family (Includes Ded)	$4,200
Hospital Room and Board - Coinsurance	90%
Hospital Room and Board - Copay	$0
Emergency Room - Coinsurance	90%
Physician Expenses - Inpatient Services	90%
Office Visits - Primary - Copay	$35
Office Visits - Specialist - Copay	$45
Prescription Drugs - Retail - Generic/Formulary/Non-Formulary	$10/$40/$80
Participation Requirements	Age 60 & 10 years of service
Defined Dollar Benefit	None
Retiree Contributions	Retiree pays 50% of the retiree plan premium in the year of retirement and pays 100% of all plan cost increases
Post-65	
Type of Plan	PPO
Participation Requirements	10 years of service
Plan Design	
Deductible	Person: $300; Family Max: $600
Out-of-pocket maximum (includes deductible)	Person: $2,100; Family Max: $4,200
Prescription Drugs - Retail	
Generic	100%; $10 Copay
Preferred Brand	100%; $30 Copay
Nonpreferred Brand	100%; $50 Copay
Retiree Contributions	Retiree pays the full cost of coverage

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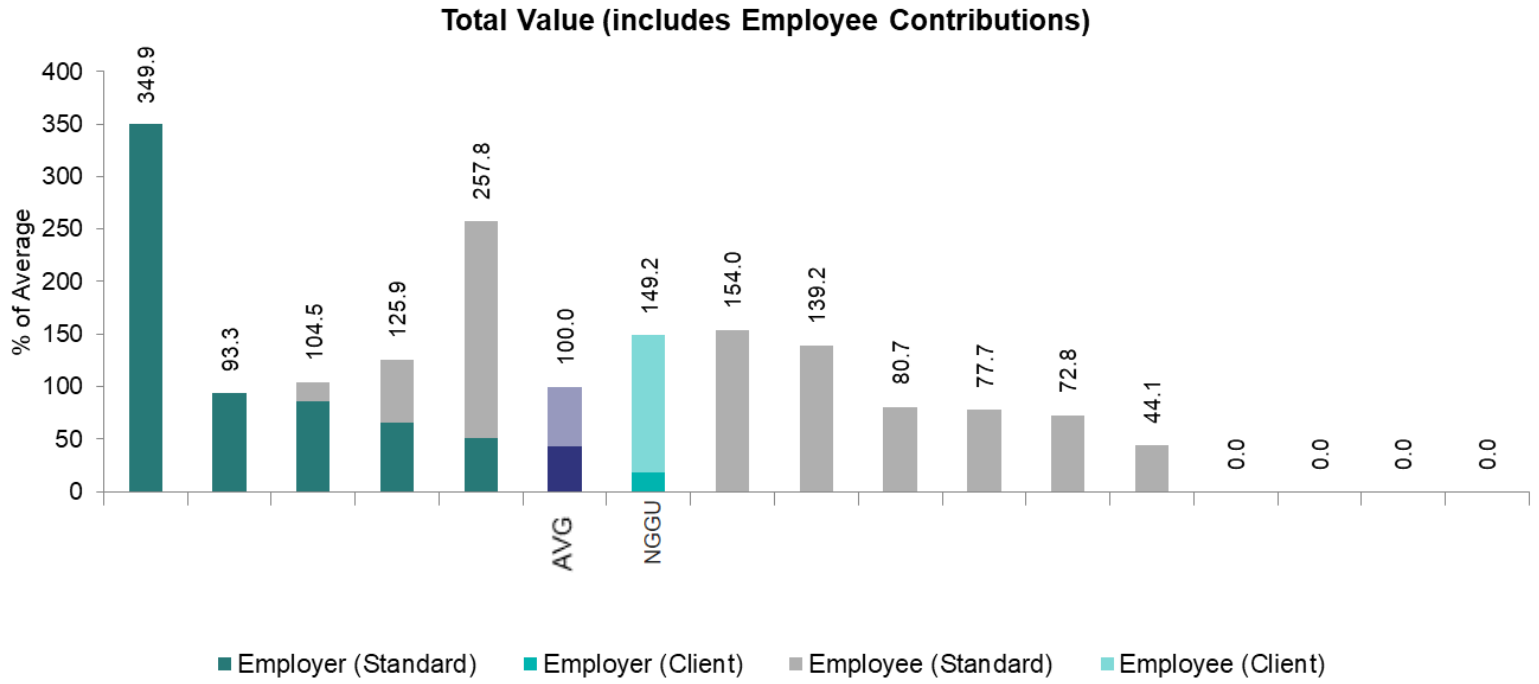
Post-Retirement Medical Plan Score and Rank

Post-Retirement Medical Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 101	41.9	6/16
Total Value		
Local 101	149.2	4/16

- The table above summarizes Local 101's competitive positioning relative to its peer group in terms of the post-retirement medical plan
- The peer group includes:
  - Four peers that do not offer post-retirement medical benefits
  - Of the eleven peers which offer post-retirement medical benefits, five subsidize the benefit
- Of peers that offer and subsidize coverage, Local 101 ranks last in employer value

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Post-Retirement Medical Plan



- Of the five peers which subsidize retiree medical coverage, two offer both pre- and post-65 coverage, two offer pre-65 coverage and post-65 coverage through an exchange with a subsidy, and one offers a subsidy through an HRA to both pre- and post-65 retirees

Note: results for NGGU are excluded from averages.

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Active Benefits

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Active Medical Plan Delivery Models

- For purposes of the BENVAL, we evaluated only the option with the highest enrollment
- The highest enrolled plan for Local 101 is its PPO plan offering
- Of the highest enrolled plans in the peer group:
  - Seven plans are account-based health plans, with six representing qualified high-deductible health plans with a Health Savings Account
  - One plan is an HMO plan which offer in-network coverage only
  - One plan is an Indemnity plan
  - The remaining six plans are traditional PPO/POS plans with no health account (e.g., Health Reimbursement Account)

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Active Medical Plan Comparison

- The following table compares Local 101's medical plan design relative to its peer group
- The PPO plan design is more generous than most peers in key areas such as deductible, copays and coinsurance, but its employee contributions are higher than the peer group average

	Local 101	Peer Group		
		Range	Average	Mode
In-Network				
Annual Deductible - Per Person	$300	$0 - $2,800	$1,257	$200
Annual Deductible - Family Maximum	$600	$0 - $5,500	$2,531	$1,000
Annual OOP Max - Per Person (Includes Ded)	$2,100	$000 - $5,000	$2,632	$3,500
Annual OOP Max - Family (Includes Ded)	$4,200	$0,000 - $10,000	$5,182	$7,000
Hospital Room and Board - Coinsurance	90%	80% - 100%	88%	80%
Hospital Room and Board - Copay	$0	$0 - $0	$0	N/A
Emergency Room - Coinsurance	90%	80% - 90%	85%	80%
Emergency Room - Copay	$0	$100 - $175	$115	$100
Office Visits - Primary - Copay	$35	$0.9 - $30	$19	$20
Office Visits - Specialist - Copay	$45	$0.9 - $40	$27	$40
Prescription Drugs - Retail - Generic - Coinsurance	100%	80% - 100%	85%	80%
Prescription Drugs - Retail - Generic - Copay	$10	$5 - $20	$11	$10
Prescription Drugs - Retail - Brand - Formulary - Coinsurance	100%	70% - 80%	78%	80%
Prescription Drugs - Retail - Brand - Formulary - Copay	$40	$20 - $35	$29	$35
Prescription Drugs - Retail - Brand - Non-Formulary - Coinsurance	100%	50% - 80%	65%	50%
Prescription Drugs - Retail - Brand - Non-Formulary - Copay	$80	$35 - $50	$42	N/A
Monthly Employee Contributions - Employee Only	$230	$13 - $285	$113	N/A
Monthly Employee Contributions - Family	$490	$109 - $716	$345	N/A
Out-of-Network				
Annual Deductible — Per Person	$600	$200 - $5,000	$2,152	$400
Annual Deductible — Family Maximum	$1,200	$400 - $10,000	$4,392	$7,500
Annual OOP Max — Per Person (Includes Deductible)	$4,200	$1,400 - $10,000	$4,669	$5,250
Annual OOP Max — Family (Includes Deductible)	$8,400	$2,800 - $20,000	$9,446	$6,400

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Active Medical Plan Score and Rank

Active Medical Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 101	86.1	15/16
Total Value		
Local 101	99.5	8/16

- Local 101 ranks fifteenth in active medical employer value and eighth in total plan value
  - Local 101's employer value is lower than total value because of the higher-than-average employee contributions

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Active Medical Plan



- With respect to employer values:
  - Of the top five plans, one is a generous HRA plan with low contributions; one is a PPO plan with a low deductible and family contributions; two are generous HSA plans with low contributions; and one is an HMO plan with 100% coinsurance, no deductible, and about average employee contributions
  - The lowest plan (by employer value) is a PPO plan with a $340 in-network deductible, coinsurance, and high employee contributions
- The lowest plan ranked by total value, is a high-deductible health plan with a $2,800 in-network individual deductible and 90% coinsurance

Note: results for NGGU are excluded from averages.

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Active Dental Plan Comparison

- The following table compares Local 101's dental plan design relative to its peer group

	Local 101	Peer Group		
		Range	Average	Mode
In-Network				
Annual Deductible — Per Person	$25	$0 - $50	$41	$50
Annual Deductible — Family	None	$0 - $150	$79	$0
Annual Maximum	$2,000 (excludes Orthodontia)	$1,000 - $2,500	$1,777	$2,000
Preventive/Type I (Cleanings)	100%	80% - 100%	96%	100%
Basic/Type II (Fillings)	100%	80% - 100%	83%	80%
Major/Type III (Crowns)	100%	50% - 100%	65%	50%
Orthodontia — Coverage	100%	50% - 100%	58%	50%
Orthodontia — Lifetime Maximum	$1,998	$900 - $2,500	$1,700	$1,500
Monthly Employee Contributions — Employee Only	$11	$0 - $13	$10	N/A
Monthly Employee Contributions — Family	$37	$0 - $53	$30	N/A
Out-of-Network				
Annual Deductible — Out-Of-Network — Per Person	$25	$0 - $50	$42	$50
Annual Deductible — Out-Of-Network — Family	None	$0 - $150	$83	$50
Annual Maximum — Out-Of-Network	$2,000	$1,000 - $2,500	$1,717	$1,500

- Local 101's dental design is more generous than its peers with respect to deductible and coinsurance, however its annual maximum and Orthodontia maximum are in line with the peer group average
- Five companies in the peer group have no member deductible
- Local 101's family contributions are slightly higher than the peer group average

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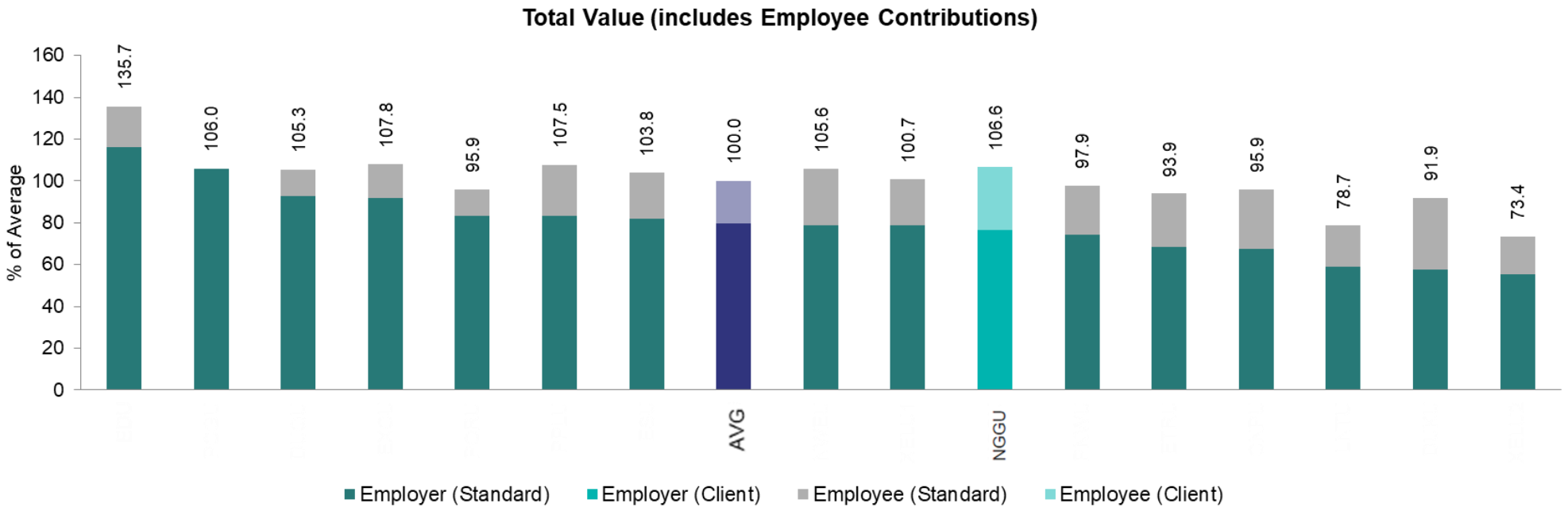
Active Dental Plan Score and Rank

Active Dental Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 101	96.3	10/16
Total Value		
Local 101	106.6	4/16

- Local 101's total value is above the employer value because its family contributions are slightly higher than the peer group average
- The top ranked (by employer value) plan is a DMO which includes an unlimited annual maximum and covers Preventive, Basic and Major services at 100% coinsurance

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Active Dental Plan



- One peer offers employer pay-all dental coverage
  - This peer is ranked second in employer value
- The peer that is ranked last in total value offers preventative services at 80% coinsurance with an annual maximum (excluding orthodontia) of $1,000 and an orthodontia maximum of $1,500

Note: results for NGGU are excluded from averages.

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Life Insurance/AD&D Plan Comparison

	Local 101	Peer Group		
		Range	Average	Mode
Basic				
Basic Benefit Amount	Years of Service Less than 2: $5,000 2 or more: 2 x pay	1 x pay - 2 x pay	N/A	1 x pay
Benefit Max — Basic	$500,000	$10,000 - $1,500,000	$790,000	$1,000,000
Supplemental				
Highest Benefit Level	5 x pay	3 x pay - 8 x pay	N/A	5 x pay
Dependent				
Spouse	$100,000	$10,000 - $500,000	$133,000	$100,000
Child	$4,000	$5,000 - $30,000	$15,000	$10,000
AD&D				
Participation Requirements	12 months of service	None - 6 Months of Service	N/A	None
Monthly Employee Contributions	None	N/A	N/A	None
Benefit Amount	1 x pay	$10,000 - 3 x pay	N/A	1 x pay
Benefit Maximum	$100,000	$10,000 - $1,500,000	$699,000	$1,000,000

- Local 101's basic life amount for employees with less than 2 years of service is low compared to the peer group range, but the basic life amount for employees with more than two years of service is in line with the top of the range for the peer group
  - Local 101's basic life maximum is below the average of $790,000
  - The majority of peers offer a basic life amount of 1x pay
- All peers offer supplemental life insurance
  - Local 101's supplemental life benefit of up to 5x pay is in line with the peer group mode
- Local 101's spouse life benefit is in line with than the peer group mode, however the child life benefit is below average
- Local 101's AD&D maximum of $100,000 is lower than the average of $699,000
  - Local 101's basic AD&D benefit amount of 1x pay is in line with the mode
  - Five peers do not offer AD&D coverage

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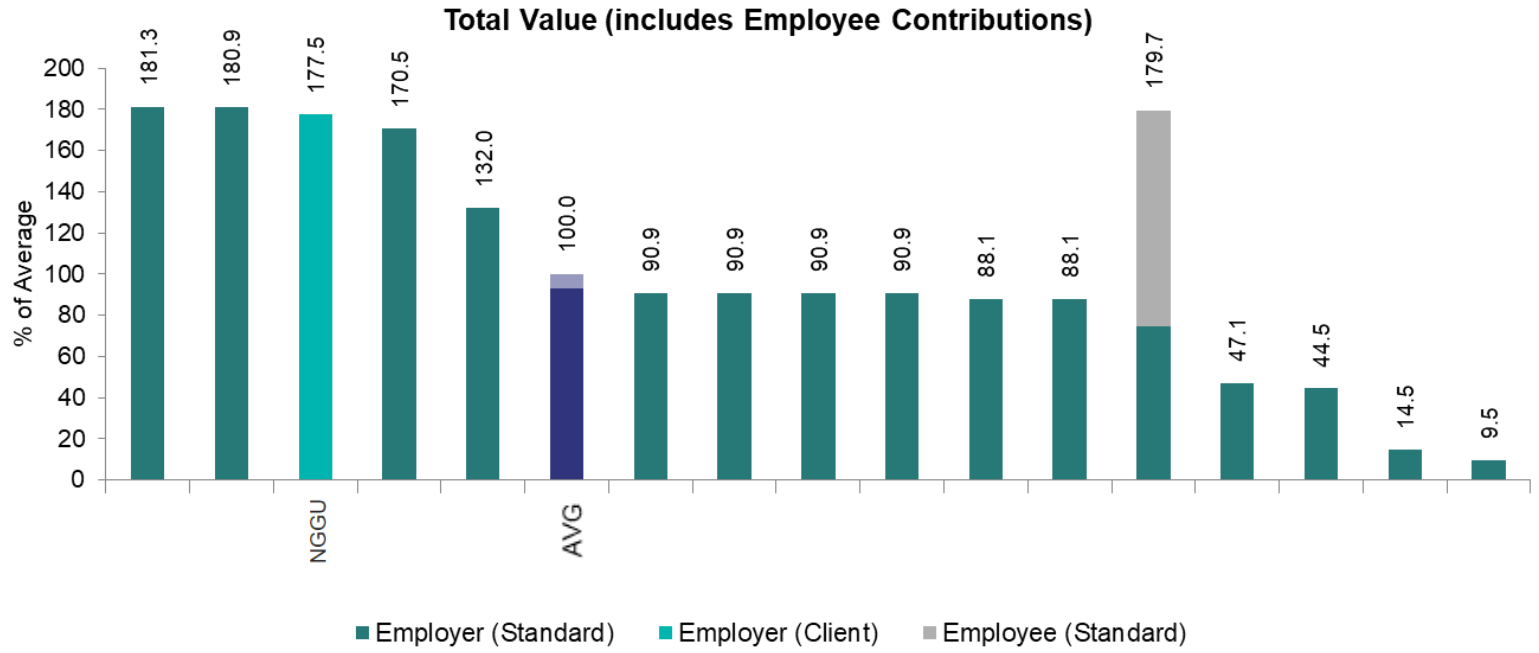
Basic Life/AD&D Insurance Plan Score and Rank

Basic Life Insurance/AD&D Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 101	190.9	3/16
Total Value		
Local 101	177.5	4/16

- Local 101 ranks above average compared to its peer group in terms of basic life and AD&D benefits
- Local 101's basic life and AD&D benefit is an employer-pay-all benefit
  - One peer requires employee contributions
- Local 101's rank is driven by the above average basic life benefit amount of 2x pay after 2 years of service and five peers that do not offer AD&D coverage

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Basic Life/AD&D Insurance Plan



- Of the two peers that rank above Local 101 in employer value, both offer a 2x pay basic life benefit with maximums ranging from $900,000 to $1,500,000
  - One of these peers offers a 3x pay AD&D benefit
- Local 101 and twelve peers offer a basic life benefit between 1x - 2x pay
  - The remaining peers offer a flat dollar amount ranging between $10k - $50k

Note: results for NGGU are excluded from averages.

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Short-Term Disability Plan Comparison

	Local 101	Peer Group		
		Range	Average	Mode
Sick Leave Commencement	1st day of disability	1st day of disability	N/A	1st day of disability
Sick Pay @ 100% (Number of Weeks)				
< 1 Year of Service	1	0 - 12	2	0
1 Year of Service	1	1 - 12	5	2
5 Years of Service	4	2 - 26	10	12
10 Years of Service	10	3 - 39	16	12
15 Years of Service	13	4 - 52	20	26
20 Years of Service	13	4 - 52	22	26
Salary Continuance				
% of Pay	No Plan	50% - 80%	58%	60%
Duration (Number of Weeks):				
< 1 Year of Service		0 - 52	21	26
1 Year of Service		4 - 52	21	24
5 Years of Service		8 - 52	18	14
10 Years of Service		0 - 52	12	8
15 Years of Service		0 - 52	9	0
20 Years of Service		0 - 52	9	0
25 Years of Service		0 - 52	8	0

- The table above compares Local 101's short-term disability plan with those of its peer group
- Overall, there is little differentiation among the sick plans across the peer group other than a few peers at the bottom of the range
- Eleven peers offer a formal sick leave program; two peers include their sick leave in their PTO plan
  - No peers offer short-term disability plans that require employee contributions
- Benefit levels and duration for primary salary continuance plans are provided. Benefits range from 50% to 80%

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Long-Term Disability Plan Comparison

	Local 101	Peer Group		
		Range	Average	Mode
Definition of Disability	Own occ first 24 months; any occ after 24 months	N/A	N/A	Own occ first 24 months; any occ after 24 months
Covered Pay	Base Salary	N/A	Base Salary	Base Salary
Commencement	3 months	3 months - 12 months	6 months	6 months
Benefit — Amount	60%	35% - 70%	57%	60%
Benefit — Offsets	SS Family	N/A	N/A	SS Family
Maximum Benefit (After Offsets)	$8,000	$3,000 - Unlimited	$9,278	Unlimited

- Local 101's benefit amount of 60% is in line with the peer group average; however when considering employee contributions, Local 101 falls below average due to several peers providing long-term disability benefits at no cost to the employee
  - Local 101 has a 90-day elimination period that compares favorably to the peer group
    - The 90-day elimination period is fulfilled when sick leave benefits have been exhausted
    - Ten of the peers have a 180-day (or 6 month) elimination period
- Four peers offer contributory plans
- One peer does not provide long-term disability coverage

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Short-Term Disability and Long-Term Disability Plans Score and Rank

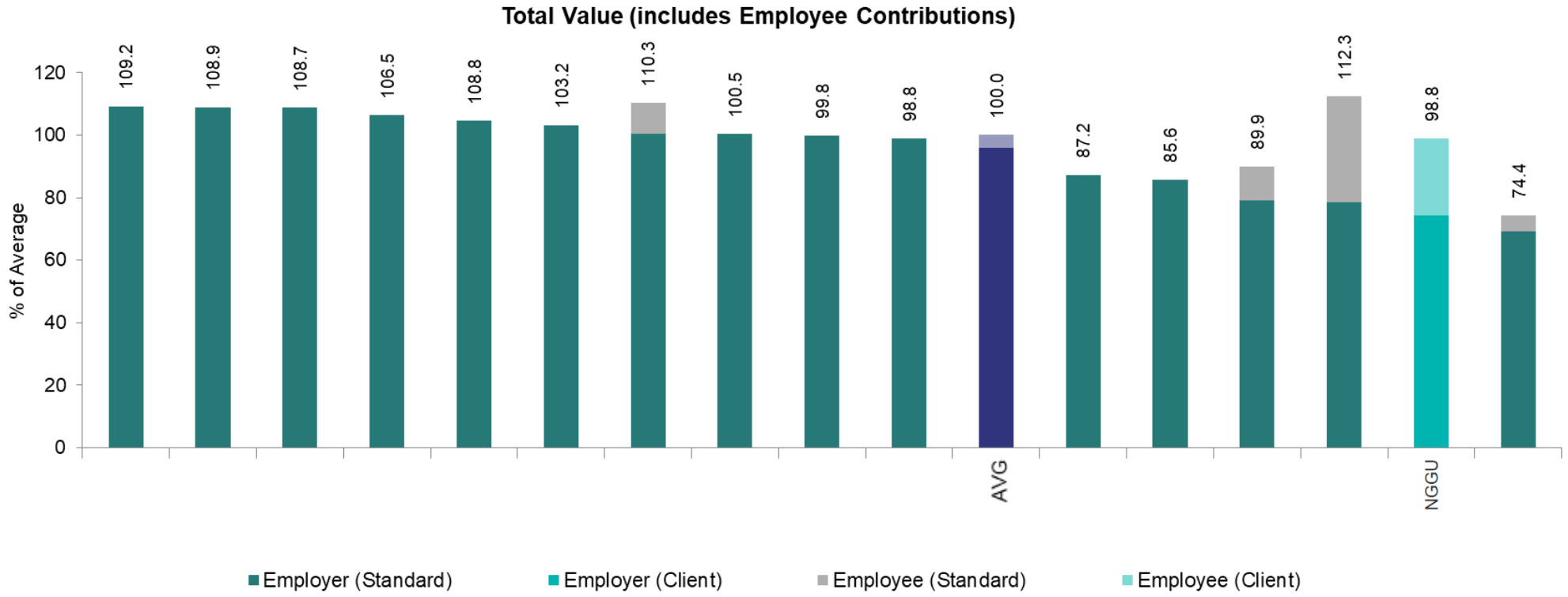
- Since differing elimination periods can skew results when looking at STD and LTD benefits individually, it is important to look at the entire disability continuum
- When STD and LTD are assessed in combination, Local 101's total value is in line with the peer group average, however its employer value is below average
  - Local 101 requires contributions to access the long-term disability plan, thus the total value is higher than employer value
  - The majority of peers offer disability plans that do not require employee contributions

Short-Term and Long-Term Disability Plans Score and Rank		
	Score	**Rank**
Employer Value		
Local 101	77.3	15/16
Total Value		
Local 101	98.8	11/16

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Short-Term Disability and Long-Term Disability Plans



Note: results for NGGU are excluded from averages.

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Vacation and Holiday Plan Comparison

	Local 101	Peer Group		
		Range	Average	Mode
Number of Days				
Vacation At Hire	Up to 5	0 - 21	9	10
Vacation With 1 Year of Service	5	5 - 21	11	10
Vacation With 5 Years of Service	15	10 - 26	15	10
Vacation With 10 Years of Service	15	15 - 26	17	15
Vacation With 15 Years of Service	20	20 - 31	22	20
Vacation With 25 Years of Service	20	25 - 36	27	25
Vacation With 35 Years of Service	20	25 - 41	30	30
Employer Scheduled Holidays	12	0 - 11	8	10
Employee Scheduled Holidays	1	0 - 6	2	3

- The table above compares Local 101's vacation and holiday plan design relative to its peer group
- Overall, vacation days per year of service and holidays are in line with the peer group average

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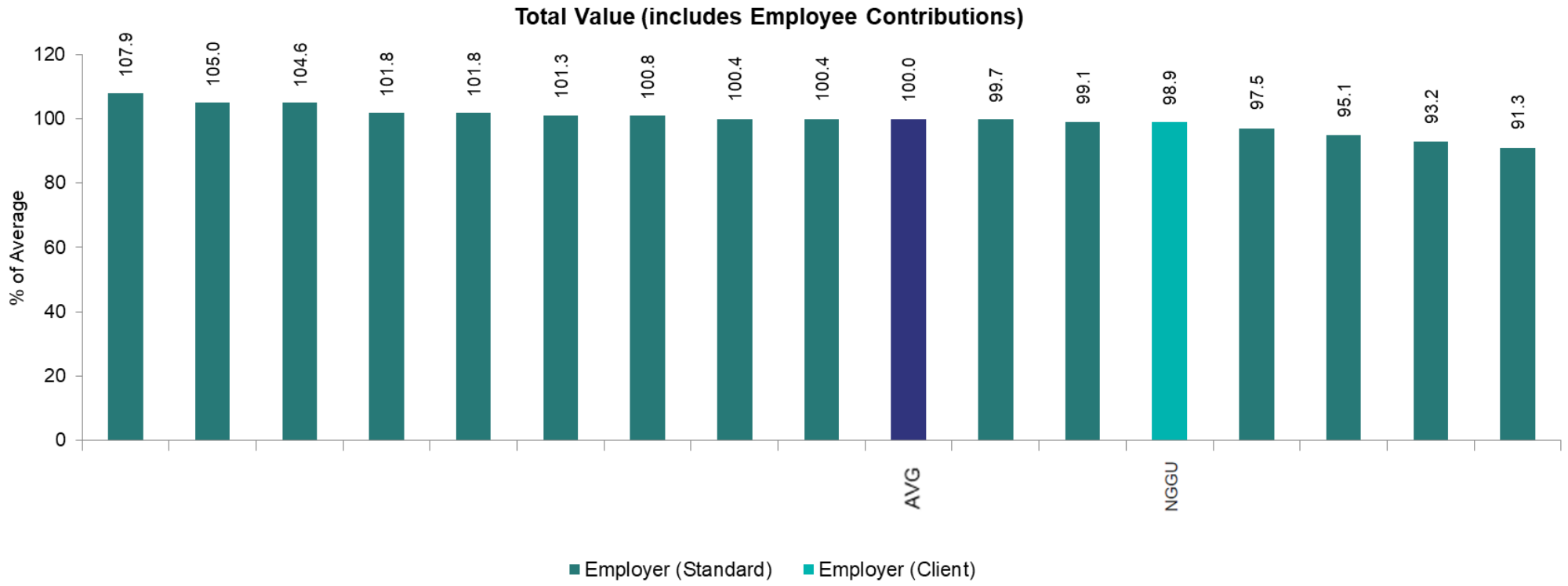
Vacation and Holiday Plan Score and Rank

- The following table summarizes Local 101's positioning among its peers with respect to vacation and holiday benefits

Vacation and Holiday Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 101	98.9	12/16
Total Value		
Local 101	98.9	12/16

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Vacation and Holiday Plan



- There is minimal differentiation between peers' vacation and holiday plans

Note: results for NGGU are excluded from averages.

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Appendix

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Score Summary

Provision	Employer Value	Total Value
Entire Benefit Program	**90.5**	**104.6**
Defined Benefit + Defined Contribution	86.0	88.7
Defined Benefit	N/A	N/A
Defined Contribution	117.6	105.1
Retirement Events — including Stock Purchase plan	87.4	112.6
Post-Retirement Medical	41.9	149.2
Active Medical	86.1	99.5
Active Dental	96.3	106.6
Basic Life Insurance/AD&D	190.9	177.5
STD + LTD	77.3	98.8
Vacation + Holiday	98.9	98.9

- From a total value perspective Local 101's benefits are in line with the average of its peer group, however they are below average when considering employer value
- As noted throughout the document, while the value of the benefit provisions varies, all ultimately contribute to the overall Entire Benefit Program score

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BENVAL Valuation Methodology

Relative values are determined based on a representative employee group and a standardized set of valuation assumptions/methods; results are not intended to represent actual program costs

- Plan provisions valued are those applicable to newly hired employees; benefits available only to grandfathered groups of employees are not reflected
- Standard population
  - Average age: 44 years
  - Average service: 12 years
  - Average base salary : $79,825
  - Average total compensation: $88,365
- Key economic assumptions
  - Investment return assumption/discount rate: 6.5%
  - Salary increase rate: 3.5%
  - Inflation: 2.5%
  - One-year Treasury bond yield: 3.9%
  - 30-year Treasury bond yield: 5.0%
  - Health care cost trend (for postretirement medical): 6.5% graded to 5% over 5 years

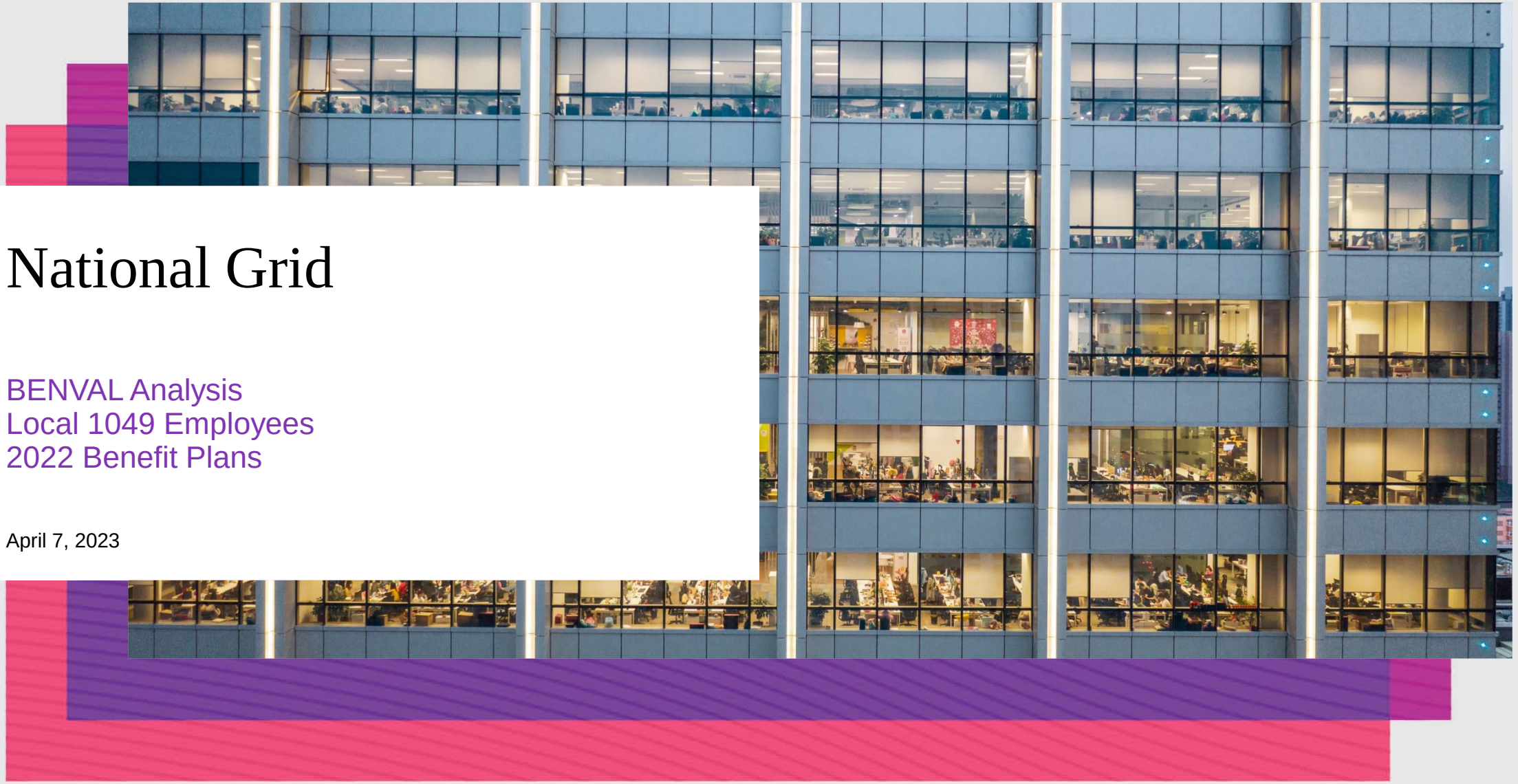
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Schedule 5

BENVAL Analysis for KEDLI Union Employees-
2022 Benefit Plans for Local 1049



National Grid

BENVAL Analysis
Local 1049 Employees
2022 Benefit Plans

April 7, 2023

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- Entire Benefit Program
- Retirement Benefits
- Active Benefits
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Overview of Competitive Assessment

- Willis Towers Watson maintains a U.S. database of benefit provisions for over 1,000 organizations
- BENVAL determines a value for these benefits by applying a standard methodology to a standard employee population
- Benefit programs are:
  - Compared on a relative value basis between employers — a score of 100 represents the average value for the peer group
  - Scores are determined on a dollar value basis relative to the average value
- This report includes the following:
  - List of peer companies included in the study
  - Executive summary of study results
  - Overview of the benefits environment
  - Relative value comparison for the total program and individual benefit programs
  - Breakdown of benefit values by component programs
- Benefit plans are those that were in force as of 2022 and were applicable for new employees. Closed or grandfathered plans are not valued for the peer group
- Throughout this document, “total value” refers to the positioning of the benefit programs, including the value of employee contributions; “employer value” refers to the value after employee contributions have been deducted
- The Entire Benefit Program total and employer values are primarily driven by the value of the retirement plans, active and post-retirement medical plans, as well as vacation and holiday programs, which comprise the vast majority of the program values

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Overview of Competitive Assessment

- Willis Towers Watson has conducted a competitive assessment comparing benefit levels for National Grid's Local 1049 Union (NGGU) relative to the union benefit programs for the following 15 peer companies:
  - Alliant Energy Corporation
  - CenterPoint Energy, Inc.
  - Consolidated Edison Company of New York, Inc.
  - Duke Energy Corporation
  - Duquesne Light Holdings, Inc.
  - Entergy Corporation
  - Eversource Energy
  - Exelon Corporation — Local 210
  - NorthWestern Energy
  - Pacific Gas and Electric Company
  - Pinnacle West Capital Corporation
  - Portland General Electric Company
  - PPL Corporation
  - Xcel Energy, Inc. — NSP Union
  - Xcel Energy, Inc. — PSCo Union
- Throughout this document, we have included plan summary charts for each benefit
  - In the Retirement section, we provide plan summaries for each benefit program for Local 1049, and for the defined contribution benefit we also provide information on benefits offered by the peer group
  - In the Active section, we provide plan summaries for each benefit program for Local 1049, as well as ranges (the lowest to highest value for the group of values), averages (the mean of a group of values), and modes (the most frequent value in a group of values), where possible for the peer group; where averages could not be calculated, we calculated a range and/or mode only

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Entire Benefit Program

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Entire Benefit Program Score and Rank

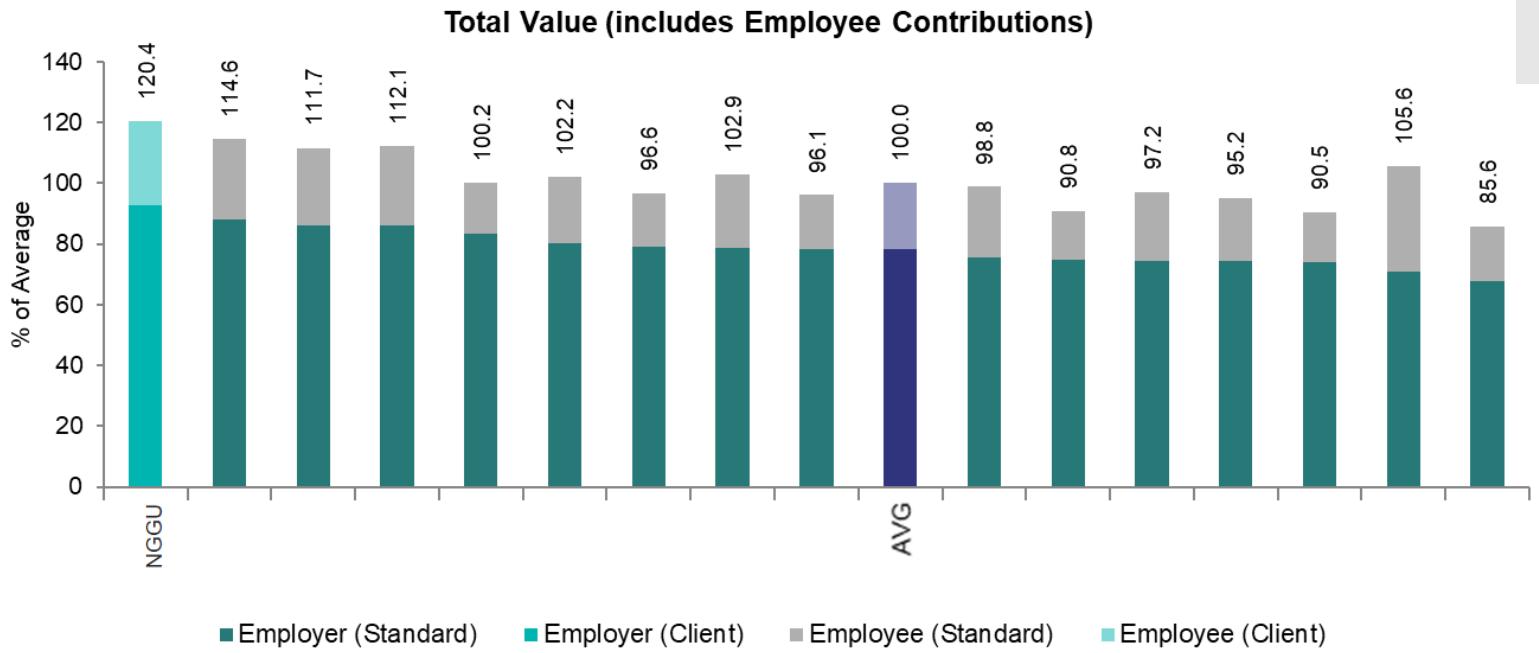
Entire Benefit Program Score and Rank		
	Score	**Rank**
Employer Value		
Local 1049	118.9	1/16
Total Value		
Local 1049	120.4	1/16

- Total value reflects the gross value of employee benefits, including the portion of benefits paid for by the employee; employer value represents the net value of benefits, including only the portion of benefits paid for by the employer
  - Lower employer values than total values indicate that employee contributions are greater than peers
- Overall, from an employer and total value perspective, Local 1049's benefits are above the average of its peer group
  - As a reminder, these values are primarily driven by the value of the retirement plans, active and post-retirement medical plans, and vacation and holiday programs, which comprise the vast majority of the program values

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Entire Benefit Program

Throughout this document, the bar charts are organized to list the peers in order of employer value ranking, however the numerical figures noted represent the total value.



- The bar chart illustrates how Local 1049 compares to the peer group both in terms of gross benefit value of its entire benefit program, as well as employer-provided value (i.e., net of employee contributions)
- Local 1049 ranks first in the peer group in employer value and total value

Note: results for NGGU are excluded from averages.

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Retirement Benefits

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All Retirement Events Score and Rank Excluding Stock Purchase Plan

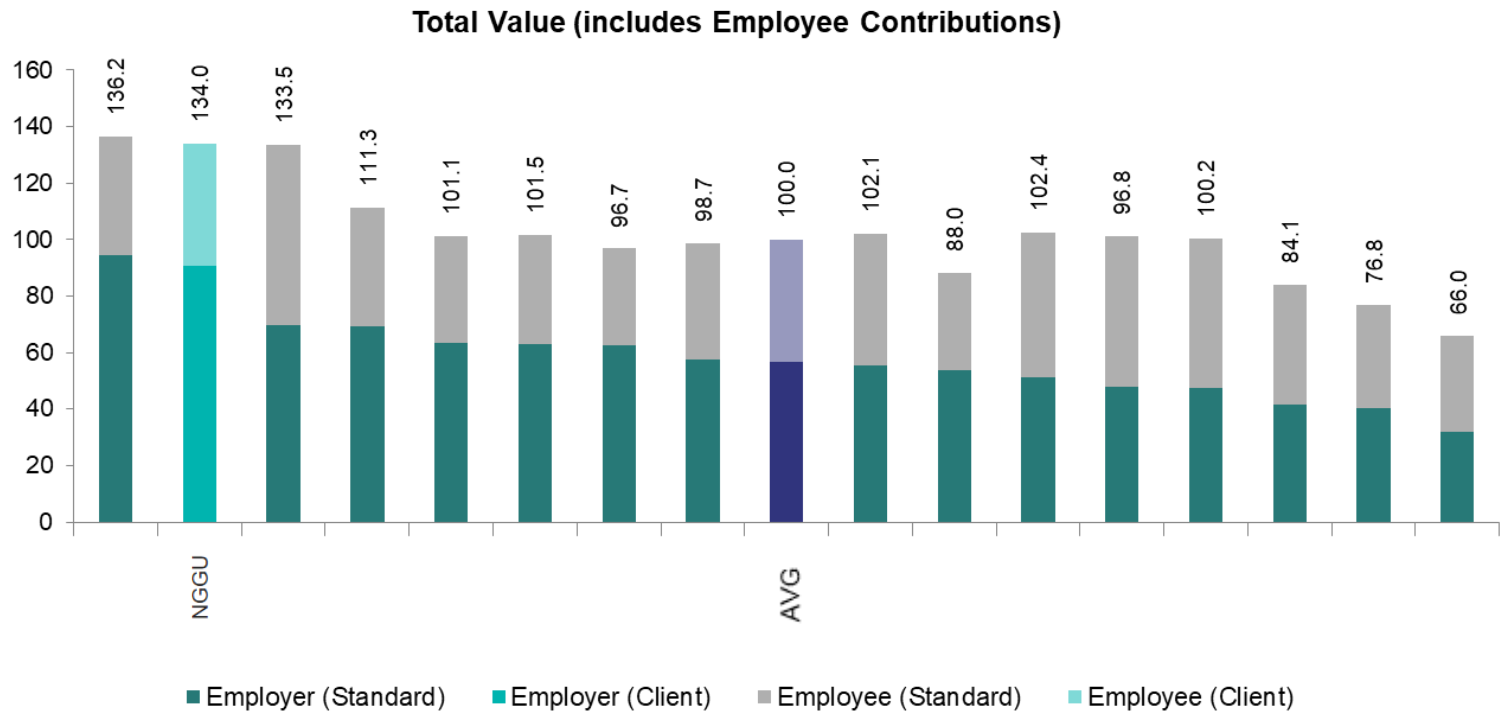
- Retirement events refer to the various benefits that become available upon an employee's retirement. This would encompass defined benefit/defined contribution benefits and post-retirement medical benefits
  - Other long-term incentive programs such as employee stock purchase plans and profit-sharing plans would fall in this category as well
- Local 1049's total value and employer value are above the peer group average
  - Like Local 1049, eight peers do not offer a defined benefit plan in addition to a defined contribution benefit
  - Higher employer values than total values indicate lower employee costs relative to peers

Retirement Events Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 1049	160.3	2/16
Total Value		
Local 1049	134.0	2/16

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All Retirement Events — Excluding Stock Purchase Plan



- The bar chart illustrates how Local 1049 compares to the peer group in terms of gross retirement event value excluding stock purchase plans

Note: results for NGGU are excluded from averages.

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All Retirement Events Score and Rank Including Stock Purchase Plan

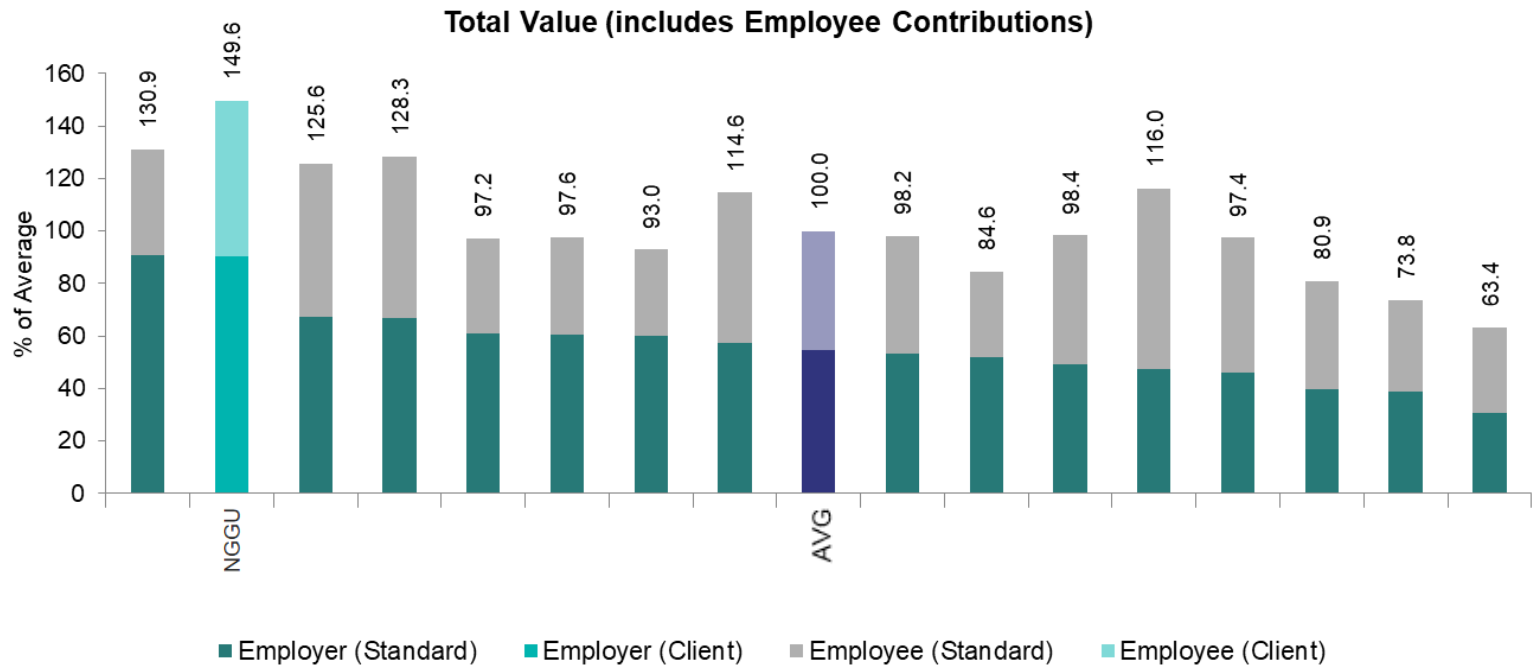
- When the stock purchase plan is added, Local 1049's retirement event plan values increase
  - Employer value remains in second, while total value ranking moves up to first
  - Like Local 1049, three peers offer stock purchase plans with employer contributions, while the remaining peers have no employer value for stock purchase plans and therefore contribute zeros to the average
    - This means that the value of Local 1049's stock purchase plan is closer than it appears to peers that offer a stock purchase plan
      - Local 1049's design, which includes a 15% employer contribution (employee discount) and a 1 month purchase period, is more generous than peers that also offer stock purchase plans
        - Local 1049's stock purchase plan ranks 1 of 4 in total value for those that offer a stock purchase plan
        - For example, one peer offers a stock purchase plan of 5% of price and a 6 month purchase period, so their value is lower than Local 1049
      - Note that the BENVAL assumes that employee contributions are capped at 10% if the peer allows contributions to exceed this, as it is not expected that most employees would contribute greater than 10%

Retirement Events Score and Rank — Including Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 1049	165.1	2/16
Total Value		
Local 1049	149.6	1/16

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All Retirement Events — Including Stock Purchase Plan



- The bar chart illustrates how Local 1049 compares to the peer group in terms of gross retirement event value including the stock purchase plan
- The peer that ranks above Local 1049 in employer value offers the most generous retiree medical benefit in the peer group

Note: results for NGGU are excluded from averages.

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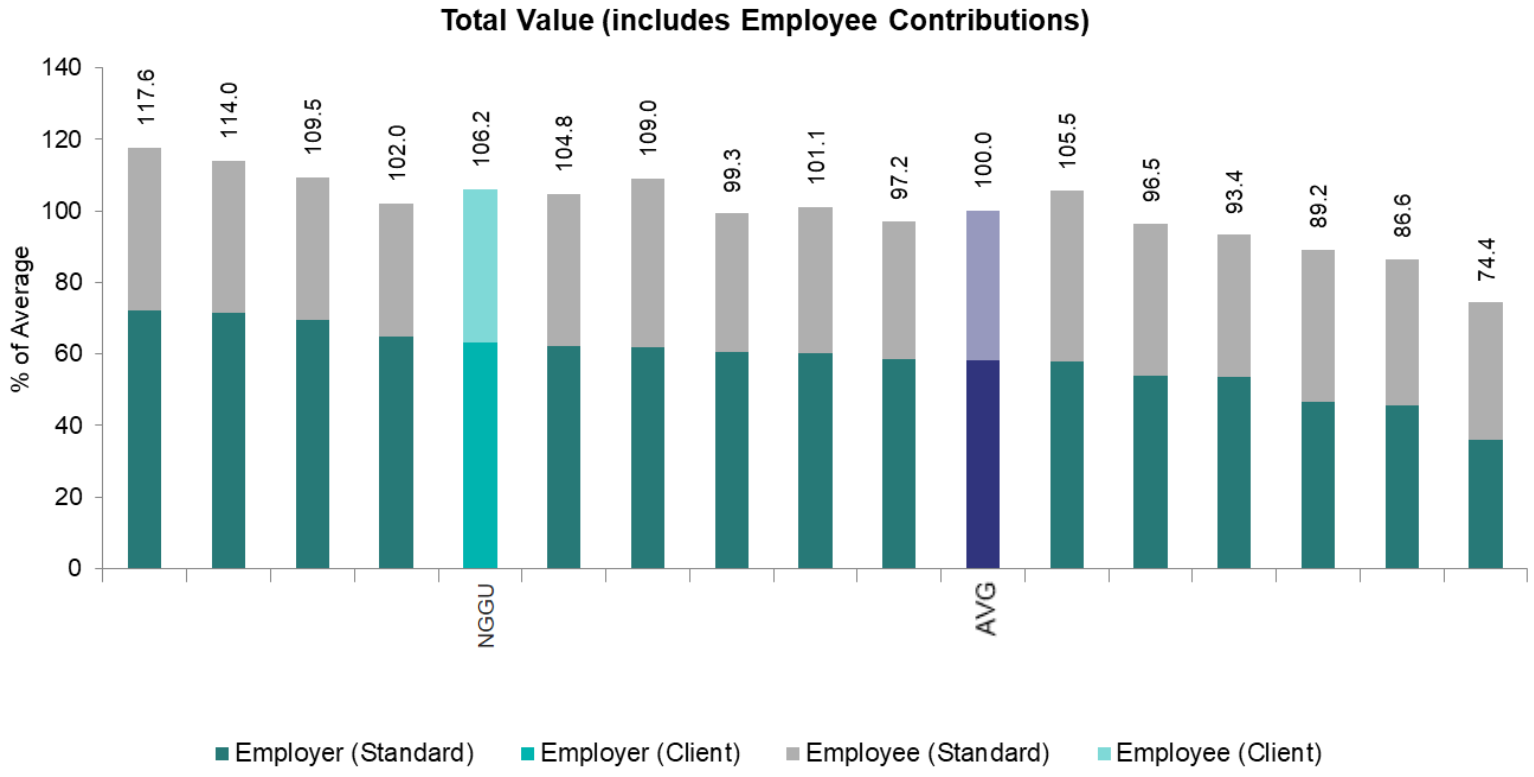
Defined Benefit Plan and Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan

Defined Benefit and Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 1049	108.6	5/16
Total Value		
Local 1049	106.2	5/16

- It is important to look at defined benefit plans and defined contribution plans together to understand the full value of a company's retirement benefits
- Local 1049 offers a defined contribution plan but not a defined benefit plan
- Local 1049's defined contribution plan is more generous than most of the peer group, however when considering defined benefits plans Local 1049's ranking goes down due to the prevalence of defined benefit plans in the peer group
  - Local 1049's defined contribution plan offers an employer core contribution that is greater than the peer group, which is driving Local 1049's employer value above the average and above its total value
  - Local 1049 offers a defined contribution plan which requires employee contributions to obtain the maximum benefit, while the defined benefit plans offered within the peer group do not require employee contributions (money that the employee must contribute to receive a match is counted as an employee contribution in this analysis)

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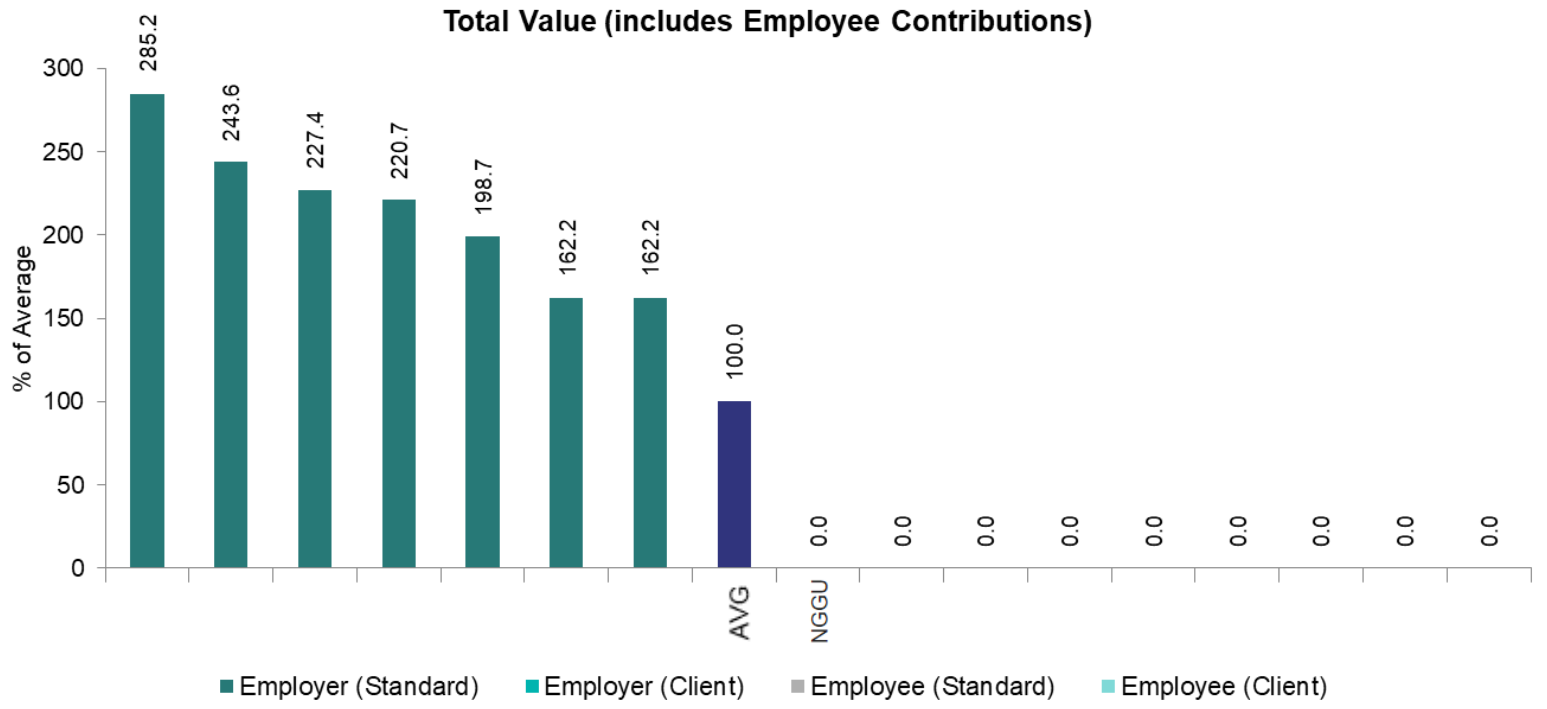
Defined Benefit Plan and Defined Contribution Plan Excluding Stock Purchase Plan



Note: results for NGGU are excluded from averages.

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Defined Benefit Plan



- Of the peer group, seven peers provide a defined benefit plan in addition to a defined contribution plan
  - Out of the seven peers with defined benefit plans, one offers a traditional defined benefit pension plan while the others offer cash balance plans

Note: results for NGGU are excluded from averages.

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Defined Contribution Plan Design

- Local 1049 offers a point-based defined contribution plan
- Local 1049's plan is more generous than many peers due to the above average benefit formula and inclusion of variable pay
  - Local 1049 offers the highest core contribution in the peer group
    - Only two peers offer the same core contribution as Local 1049

Defined Contribution Plan	Local 1049	Peer Group		
		Range	Average	Mode
Maximum Employee Matched Contributions	6%	3% — 10%	6%	6%
Maximum Employer Matched Contributions	3%	3% — 6%	5%	6%
Employer Core Contribution[1,2]	6%	0% — 6%	2%	0%
Maximum Total Employer Contribution	9%	3% — 11%	7%	6%
100% Vesting (for Matched and Core Contribution)	3 Years	Immediately — 3 Years	1 Year	Immediately
Autoenrollment	6%	0% — 8%	4%	6%

[1]Numbers shown here based on Age+Service of 56 years, which is the average assumed by BENVAL

[2]Employee contributions not required

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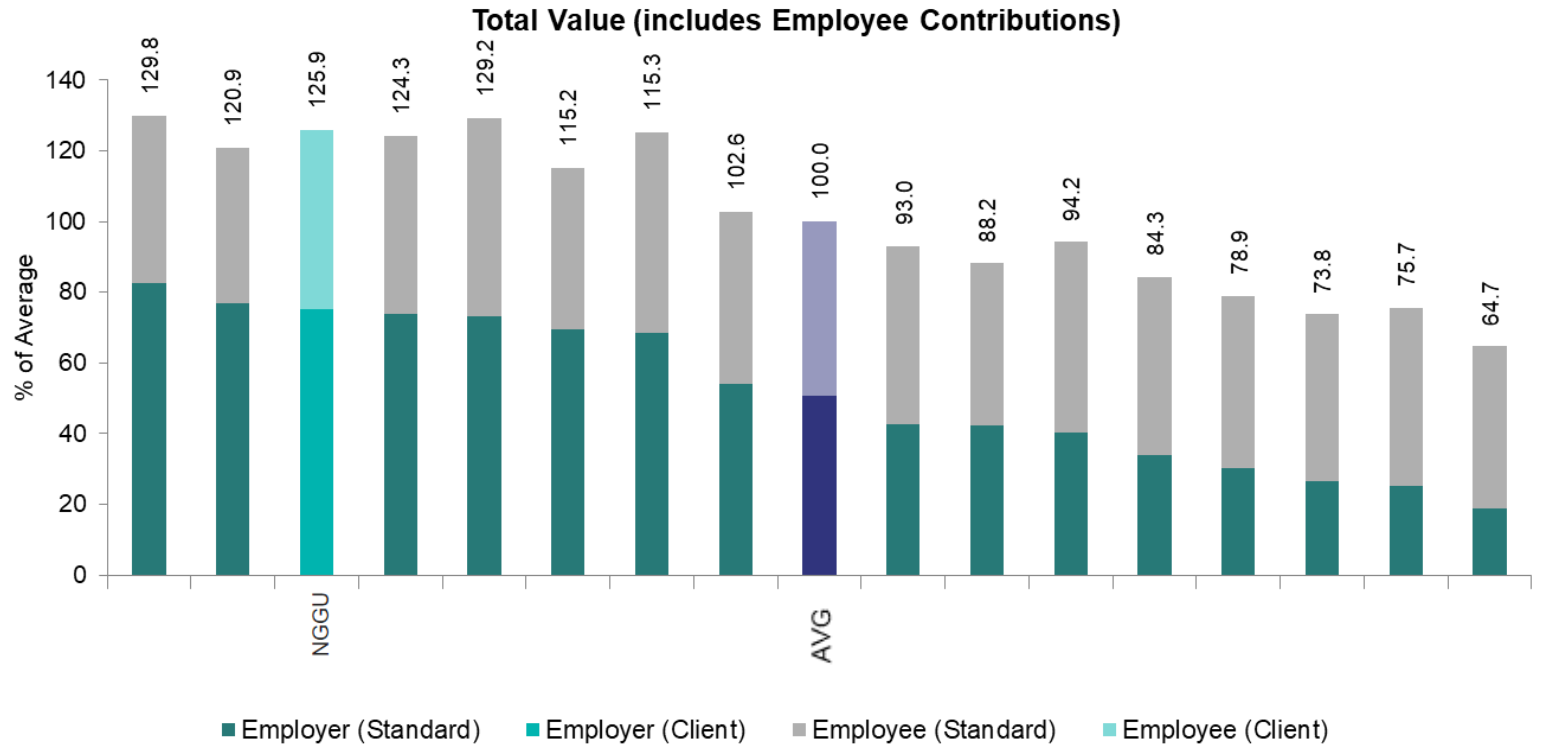
Defined Contribution Plan Score and Rank Excluding Stock Purchase Plan

Defined Contribution Plan Score and Rank — Excluding Stock Purchase Plan		
	Score	**Rank**
Employer Value		
Local 1049	148.6	3/16
Total Value		
Local 1049	125.9	3/16

- Local 1049's defined contribution plan is ranked third in both total value and employer value
  - All of the peers' retirement programs include a savings plan
  - Eight peers offer a core contribution, while the rest do not
- Local 1049's core contribution is higher than the peer group, thus its employer value is higher than the total value
- Four peers cap employee contribution matching above 6%; eight cap employee contribution matching at 6%; and three cap at less than 6%
  - Local 1049's maximum employee matching contribution is 6%, with 50% being matched
  - Local 1049 also offers a core contribution which ranges from 3% to 9% of pay depending on age and service; between the match and the core contribution, the average Local 1049 employee is estimated to receive a contribution of 9% of pay

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Defined Contribution Plan - Excluding Stock Purchase Plan



Note: results for NGGU are excluded from averages.

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Post-Retirement Medical Plan Design

- The following table outlines Local 1049's plan design by pre-65 and post-65 retirees
  - The PPO plan is the highest enrolled plan for Local 1049's pre-65 retirees
  - The PPO plan is also the highest enrolled plan for Local 1049's post-65 retirees

	Local 1049
Pre-65	
Type of Plan	PPO
Plan Design — In-network	
Annual Deductible - Per Person	$300
Annual Deductible - Family Maximum	$600
Annual OOP Max - Per Person (Includes Ded)	$2,000
Annual OOP Max - Family (Includes Ded)	$4,000
Hospital Room and Board - Coinsurance	95%
Hospital Room and Board - Copay	$0
Emergency Room - Coinsurance	95%
Physician Expenses - Inpatient Services	95%
Office Visits - Primary - Copay	$30
Office Visits - Specialist - Copay	$35
Prescription Drugs - Retail - Generic/Formulary/Non-Formulary	$10/$25/$50
Participation Requirements	Age 55 & 10 years of service
Defined Dollar Benefit	None
Retiree Contributions	Retiree: $147 Family: $390
Post-65	
Type of Plan	PPO
Participation Requirements	10 years of service
Plan Design	
Deductible	Person: $250; Family Max: $400
Out-of-pocket maximum (includes deductible)	Person: $1,500; Family Max: $3,200
Prescription Drugs - Retail	
Generic	$10
Preferred Brand	$25
Nonpreferred Brand	$40
Retiree Contributions	Retiree: $147 Retiree plus Spouse: $334 (Retirees with 5 years of service and hired after age 60 pay 25% of full premium and retirees pay 100% of plan cost increases)

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Post-Retirement Medical Plan Score and Rank

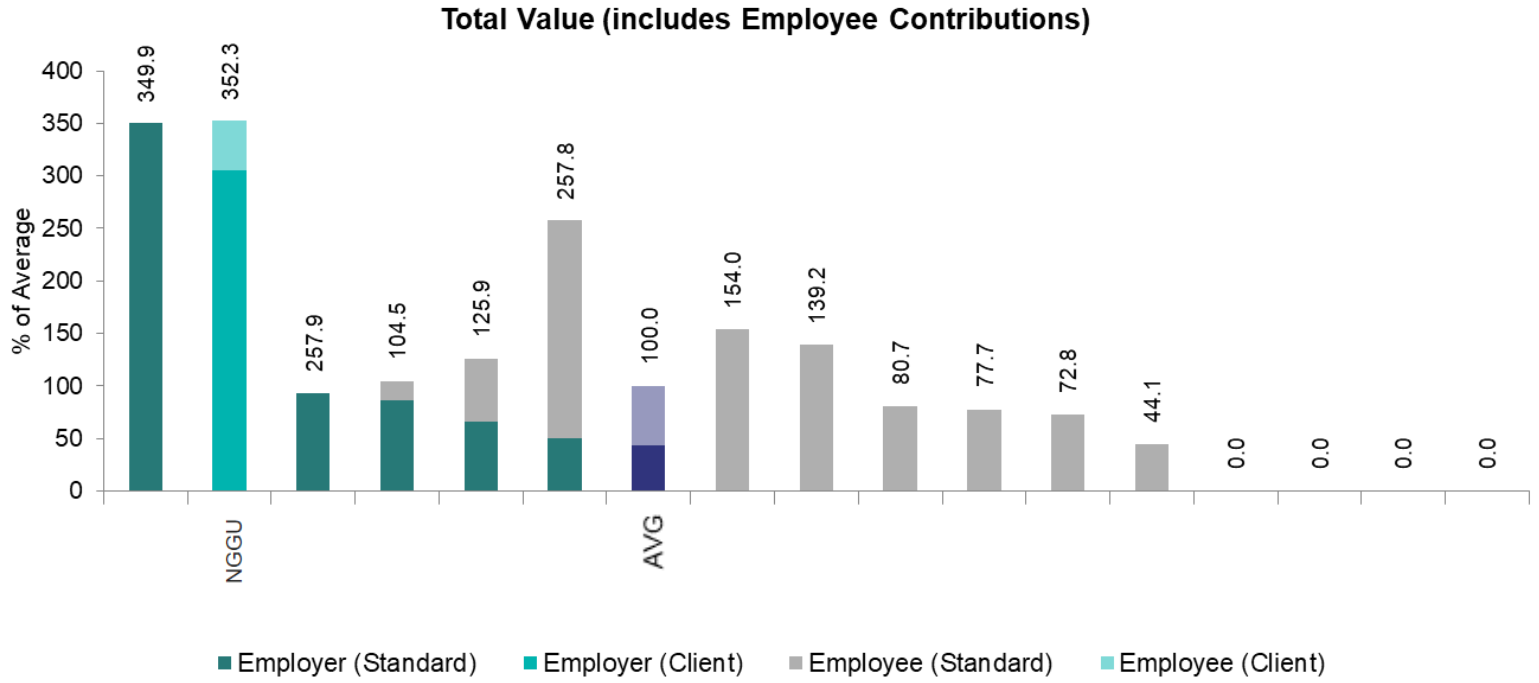
Post-Retirement Medical Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 1049	709.8	2/16
Total Value		
Local 1049	352.3	1/16

- The table above summarizes Local 1049's competitive positioning relative to its peer group in terms of the post-retirement medical plan
- The peer group includes:
  - Four peers that do not offer post-retirement medical benefits
  - Of the eleven peers which offer post-retirement medical benefits, five subsidize the benefit
- Of peers that offer and subsidize coverage, Local 1049 ranks second in employer value and first in total value

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Post-Retirement Medical Plan



- Of the five peers which subsidize retiree medical coverage, two offer both pre- and post-65 coverage, two offer pre-65 coverage and post-65 coverage through an exchange with a subsidy, and one offers a subsidy through an HRA to both pre- and post-65 retirees
  - The peer that ranks above Local 1049 in employer value offers a PPO plan to both pre- and post-65 retirees with a low deductible and 100% coinsurance for most services

Note: results for NGGU are excluded from averages.

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Active Benefits

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Active Medical Plan Delivery Models

- For purposes of the BENVAL, we evaluated only the option with the highest enrollment
- The highest enrolled plan for Local 1049 is its PPO plan offering
- Of the highest-enrolled plans in the peer group:
  - Seven plans are account-based health plans, with six representing qualified high-deductible health plans with a Health Savings Account
  - One plan is an HMO plan which offer in-network coverage only
  - One plan is an Indemnity plan
  - The remaining six plans are traditional PPO/POS plans with no health account (e.g., Health Reimbursement Account)

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Active Medical Plan Comparison

- The following table compares Local 1049's medical plan design relative to its peer group
- The PPO plan design is more generous than most peers in key areas such as deductible, copays and coinsurance, but its employee contributions are higher than the peer group average

	Local 1049	Peer Group		
		Range	Average	Mode
In-Network				
Annual Deductible - Per Person	$300	$0 - $2,800	$1,257	$200
Annual Deductible - Family Maximum	$600	$0 - $5,500	$2,531	$1,000
Annual OOP Max - Per Person (Includes Ded)	$2,000	$000 - $5,000	$2,632	$3,500
Annual OOP Max - Family (Includes Ded)	$4,000	$0,000 - $10,000	$5,182	$7,000
Hospital Room and Board - Coinsurance	95%	80% - 100%	88%	80%
Hospital Room and Board - Copay	$0	$0 - $0	N/A	N/A
Emergency Room - Coinsurance	95%	80% - 90%	85%	80%
Emergency Room - Copay	$0	$100 - $175	$115	$100
Office Visits - Primary - Copay	$30	$0.9 - $30	$19	$20
Office Visits - Specialist - Copay	$35	$0.9 - $40	$27	$40
Prescription Drugs - Retail - Generic - Coinsurance	100%	80% - 100%	85%	80%
Prescription Drugs - Retail - Generic - Copay	$10	$5 - $20	$11	$10
Prescription Drugs - Retail - Brand - Formulary - Coinsurance	100%	70% - 80%	78%	80%
Prescription Drugs - Retail - Brand - Formulary - Copay	$25	$20 - $35	$29	$35
Prescription Drugs - Retail - Brand - Non-Formulary - Coinsurance	100%	50% - 80%	65%	50%
Prescription Drugs - Retail - Brand - Non-Formulary - Copay	$50	$35 - $50	$42	N/A
Monthly Employee Contributions - Employee Only	$147	$13 - $285	$113	N/A
Monthly Employee Contributions - Family	$390	$109 - $716	$345	N/A
Out-of-Network				
Annual Deductible — Per Person	$600	$200 - $5,000	$2,152	$400
Annual Deductible — Family Maximum	$1,200	$400 - $10,000	$4,392	$7,500
Annual OOP Max — Per Person (Includes Deductible)	$4,000	$1,400 - $10,000	$4,669	$5,250
Annual OOP Max — Family (Includes Deductible)	$8,000	$2,800 - $20,000	$9,446	$6,400

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Active Medical Plan Score and Rank

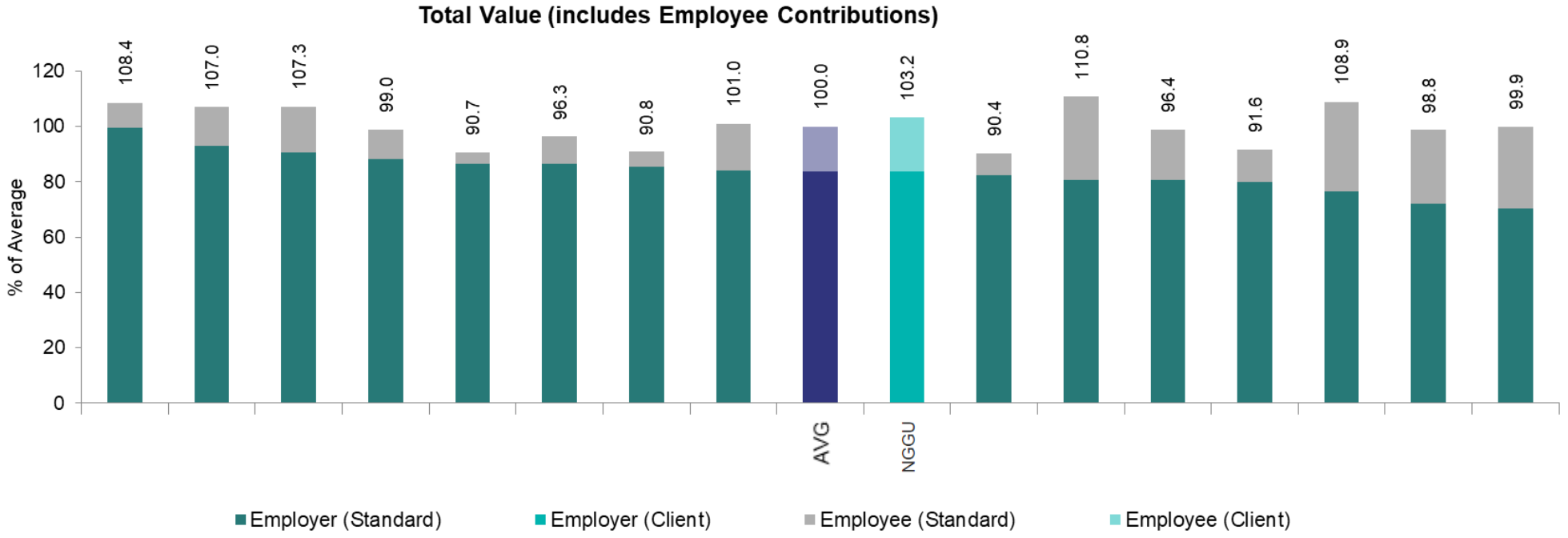
Active Medical Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 1049	99.9	9/16
Total Value		
Local 1049	103.2	6/16

- Local 1049 ranks ninth in active medical employer value and sixth in total plan value
  - Local 1049's employer value is lower than total value because of the higher-than-average employee contributions

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Active Medical Plan



- With respect to employer values:
  - Of the top five plans, one is a generous HRA plan with low contributions; one is a PPO plan with a low deductible and family contributions; two are generous HSA plans with low contributions; and one is an HMO plan with 100% coinsurance, no deductible, and about average employee contributions
  - The lowest plan (by employer value) is a PPO plan with a $340 in-network deductible, coinsurance, and high employee contributions
- The lowest plan ranked by total value, is a high-deductible health plan with a $2,800 in-network individual deductible and 90% coinsurance

Note: results for NGGU are excluded from averages.

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Active Dental Plan Comparison

- The following table compares Local 1049's dental plan design relative to its peer group

	Local 1049	Peer Group		
		Range	Average	Mode
In-Network				
Annual Deductible — Per Person	$50	$0 - $50	$41	$50
Annual Deductible — Family	$100	$0 - $150	$79	$0
Annual Maximum	$4,000 (excludes Orthodontia)	$1,000 - $2,500	$1,777	$2,000
Preventive/Type I (Cleanings)	100%	80% - 100%	96%	100%
Basic/Type II (Fillings)	85%	80% - 100%	83%	80%
Major/Type III (Crowns)	85%	50% - 100%	65%	50%
Orthodontia — Coverage	100%	50% - 100%	58%	50%
Orthodontia — Lifetime Maximum	$1,500	$900 - $2,500	$1,700	$1,500
Monthly Employee Contributions — Employee Only	$13	$0 - $13	$10	N/A
Monthly Employee Contributions — Family	$22	$0 - $53	$30	N/A
Out-of-Network				
Annual Deductible — Out-Of-Network — Per Person	$100	$0 - $50	$42	$50
Annual Deductible — Out-Of-Network — Family	$200	$0 - $150	$83	$50
Annual Maximum — Out-Of-Network	$4,000	$1,000 - $2,500	$1,717	$1,500

- Local 1049's dental design is generally in line with its peers with respect to deductible, coinsurance and Orthodontia maximum; however, offers a more generous annual maximum of $4,000 and Orthodontia coinsurance coverage of 100%
- Five companies in the peer group have no member deductible
- Local 1049's employee contributions are in line with the peer group average, except family contributions are more generous

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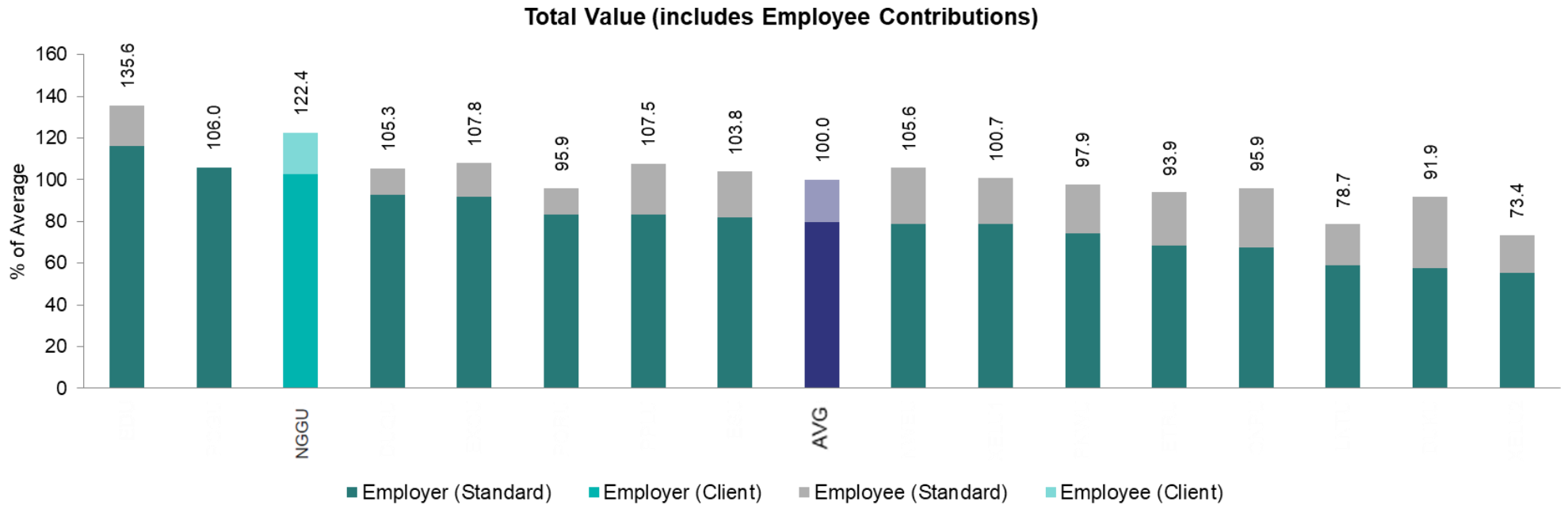
Active Dental Plan Score and Rank

Active Dental Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 1049	128.7	3/16
Total Value		
Local 1049	122.4	2/16

- Local 1049's employer value is above the total value due to having more generous family contributions in comparison to the peer group average
- The top ranked (by employer value) plan is a DMO which includes an unlimited annual maximum and covers Preventive, Basic and Major services at 100% coinsurance

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Active Dental Plan



- One peer offers employer pay-all dental coverage
  - This peer is ranked second in employer value
- The peer that is ranked last in total value offers preventative services at 80% coinsurance with an annual maximum (excluding orthodontia) of $1,000 and an orthodontia maximum of $1,500

Note: results for NGGU are excluded from averages.

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Life Insurance/AD&D Plan Comparison

	Local 1049	Peer Group		
		Range	Average	Mode
Basic				
Basic Benefit Amount	1 x pay	1 x pay - 2 x pay	N/A	1 x pay
Benefit Max — Basic	$1,000,000	$10,000 - $1,500,000	$790,000	$1,000,000
Supplemental				
Highest Benefit Level	5 x pay	3 x pay - 8 x pay	N/A	5 x pay
Dependent				
Spouse	$100,000	$10,000 - $500,000	$133,000	$100,000
Child	$4,000	$5,000 - $30,000	$15,000	$10,000
AD&D				
Participation Requirements	Not Offered	None - 6 Months of Service	N/A	None
Monthly Employee Contributions	N/A	N/A	N/A	None
Benefit Amount	N/A	$10,000 - 3 x pay	N/A	1 x pay
Benefit Maximum	N/A	$10,000 - $1,500,000	$699,000	$1,000,000

- Local 1049's basic life amount in line with the mode of the peer group
  - Local 1049's basic life maximum is above the average of $790,000
  - The majority of peers offer a basic life amount of 1x pay
- All peers offer supplemental life insurance
  - Local 1049's supplemental life benefit of up to 5x pay is in line with the peer group mode
- Local 1049's spouse life benefit is in line with than the peer group mode, however the child life benefit is below average
- Local 1049 does not offer AD&D coverage.
  - Five other peers do not offer AD&D coverage

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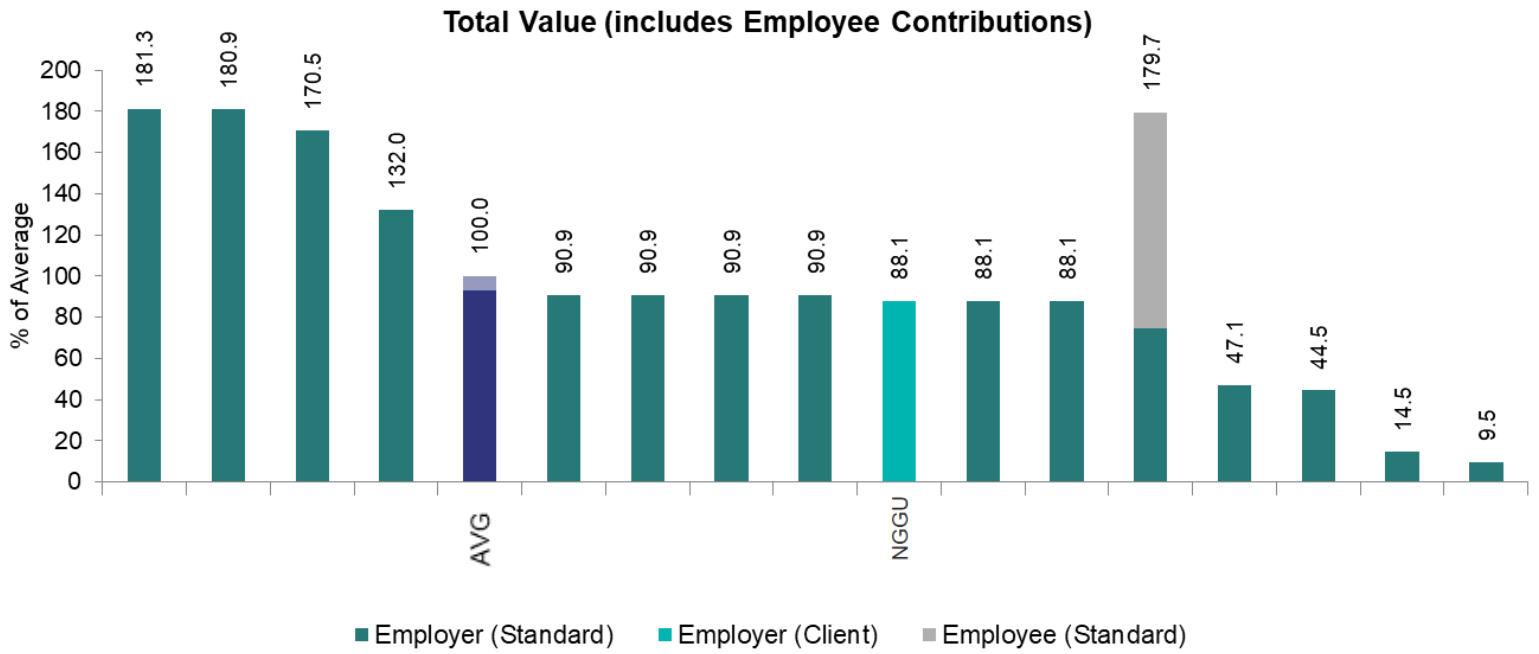
Basic Life/AD&D Insurance Plan Score and Rank

Basic Life Insurance/AD&D Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 1049	94.8	9/16
Total Value		
Local 1049	88.1	10/16

- Local 1049 is in line with its peer group in terms of basic life, however Local 1049 does not offer AD&D benefits
- Local 1049's basic life benefit is an employer-pay-all benefit
  - One peer requires employee contributions
- Local 1049's rank is driven by the lack of the AD&D plan

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Basic Life/AD&D Insurance Plan



- The top two ranking peers in employer value offer a 2x pay basic life benefit with maximums ranging from $900,000 to $1,500,000
  - One of these peers offers a 3x pay AD&D benefit
- Local 1049 and twelve peers offer a basic benefit between 1x - 2x pay
  - The remaining peers offer a flat dollar amount ranging between $10k - $50k

Note: results for NGGU are excluded from averages.

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Short-Term Disability Plan Comparison

	Local 1049	Peer Group		
		Range	Average	Mode
Sick Leave Commencement	1st day of disability	1st day of disability	N/A	1st day of disability
Sick Pay @ 100% (Number of Weeks)				
< 1 Year of Service	1	0 - 12	2	0
1 Year of Service	1	1 - 12	5	2
5 Years of Service	4	2 - 26	10	12
10 Years of Service	10	3 - 39	16	12
15 Years of Service	13	4 - 52	20	26
20 Years of Service	13	4 - 52	22	26
Salary Continuance				
% of Pay	No Plan	50% - 80%	58%	60%
Duration (Number of Weeks):				
< 1 Year of Service		0 - 52	21	26
1 Year of Service		4 - 52	21	24
5 Years of Service		8 - 52	18	14
10 Years of Service		0 - 52	12	8
15 Years of Service		0 - 52	9	0
20 Years of Service		0 - 52	9	0
25 Years of Service		0 - 52	8	0

- The table above compares Local 1049's short-term disability plan with those of its peer group
- Overall, there is little differentiation among the sick plans across the peer group other than a few peers at the bottom of the range
- Eleven peers offer a formal sick leave program; two peers include their sick leave in their PTO plan
  - No peers offer short-term disability plans that require employee contributions
- Benefit levels and duration for primary salary continuance plans are provided. Benefits range from 50% to 80%

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Long-Term Disability Plan Comparison

	Local 1049	Peer Group		
		Range	Average	Mode
Definition of Disability	Own occ first 24 months; any occ after 24 months	N/A	N/A	Own occ first 24 months; any occ after 24 months
Covered Pay	Base Salary	N/A	Base Salary	Base Salary
Commencement	3 months	3 months - 12 months	6 months	6 months
Benefit — Amount	60%	35% - 70%	57%	60%
Benefit — Offsets	SS Primary	N/A	N/A	SS Family
Maximum Benefit (After Offsets)	$10,000	$3,000 - Unlimited	$9,278	Unlimited

- Local 1049's benefit amount of 60% is in line with the peer group average
  - Local 1049 has a 90-day elimination period that compares favorably to the peer group
    - The 90-day elimination period is fulfilled when sick leave benefits have been exhausted
    - Ten of the peers have a 180-day (or 6 month) elimination period
- Four peers offer contributory plans
- One peer does not provide long-term disability coverage

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Short-Term Disability and Long-Term Disability Plans Score and Rank

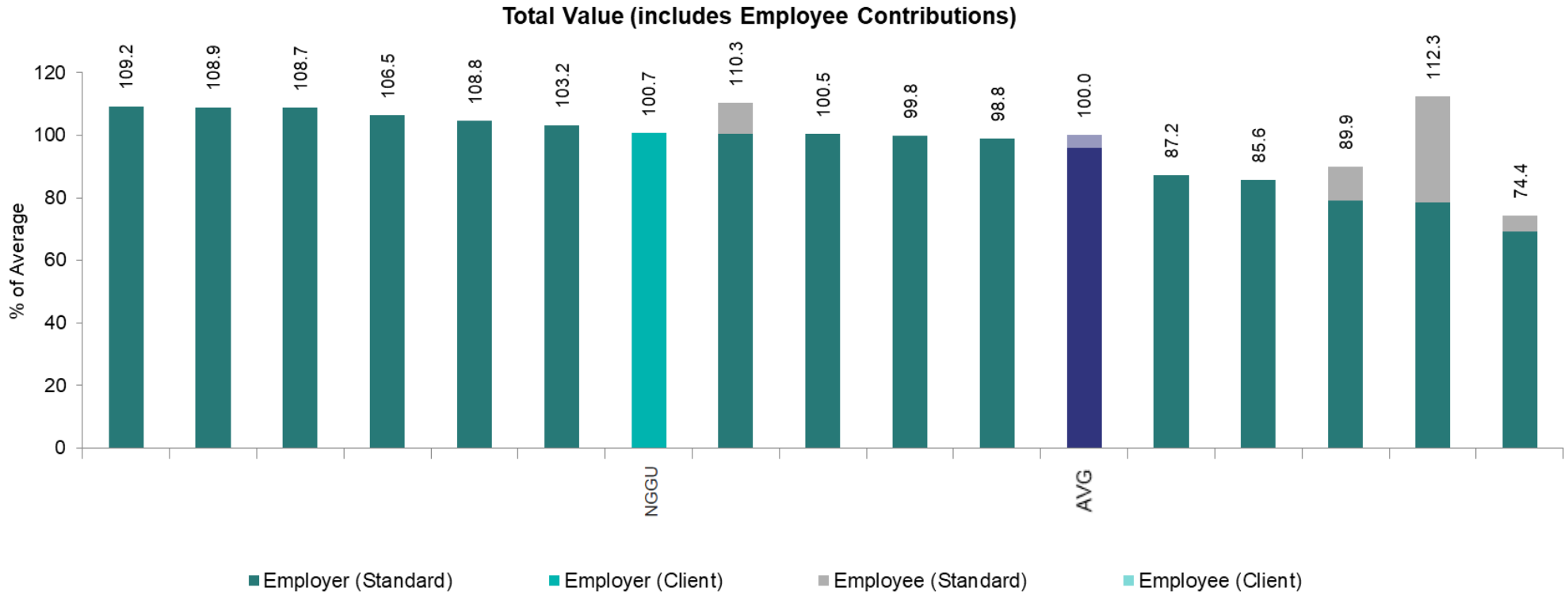
- Since differing elimination periods can skew results when looking at STD and LTD benefits individually, it is important to look at the entire disability continuum
- When STD and LTD are assessed in combination, Local 1049's total and employer values are in line with the peer group average
  - Local 1049's employer value is higher than total value because employee contributions are not required
  - The majority of peers offer disability plans that do not require employee contributions

Short-Term and Long-Term Disability Plans Score and Rank		
	Score	**Rank**
Employer Value		
Local 1049	104.8	7/16
Total Value		
Local 1049	100.7	9/16

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Short-Term Disability and Long-Term Disability Plans



Note: results for NGGU are excluded from averages.

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Vacation and Holiday Plan Comparison

	Local 1049	Peer Group		
		Range	Average	Mode
Number of Days				
Vacation At Hire	Up to 5	0 - 21	9	10
Vacation With 1 Year of Service	10	5 - 21	11	10
Vacation With 5 Years of Service	15	10 - 26	15	10
Vacation With 10 Years of Service	15	15 - 26	17	15
Vacation With 15 Years of Service	20	20 - 31	22	20
Vacation With 25 Years of Service	25	25 - 36	27	25
Vacation With 35 Years of Service	30	25 - 41	30	30
Employer Scheduled Holidays	12	0 - 11	8	10
Employee Scheduled Holidays	2	0 - 6	2	3

- The table above compares Local 1049's vacation and holiday plan design relative to its peer group
- Overall, vacation days per year of service and holidays are above the peer group average, driven by the higher than average number of holidays offered

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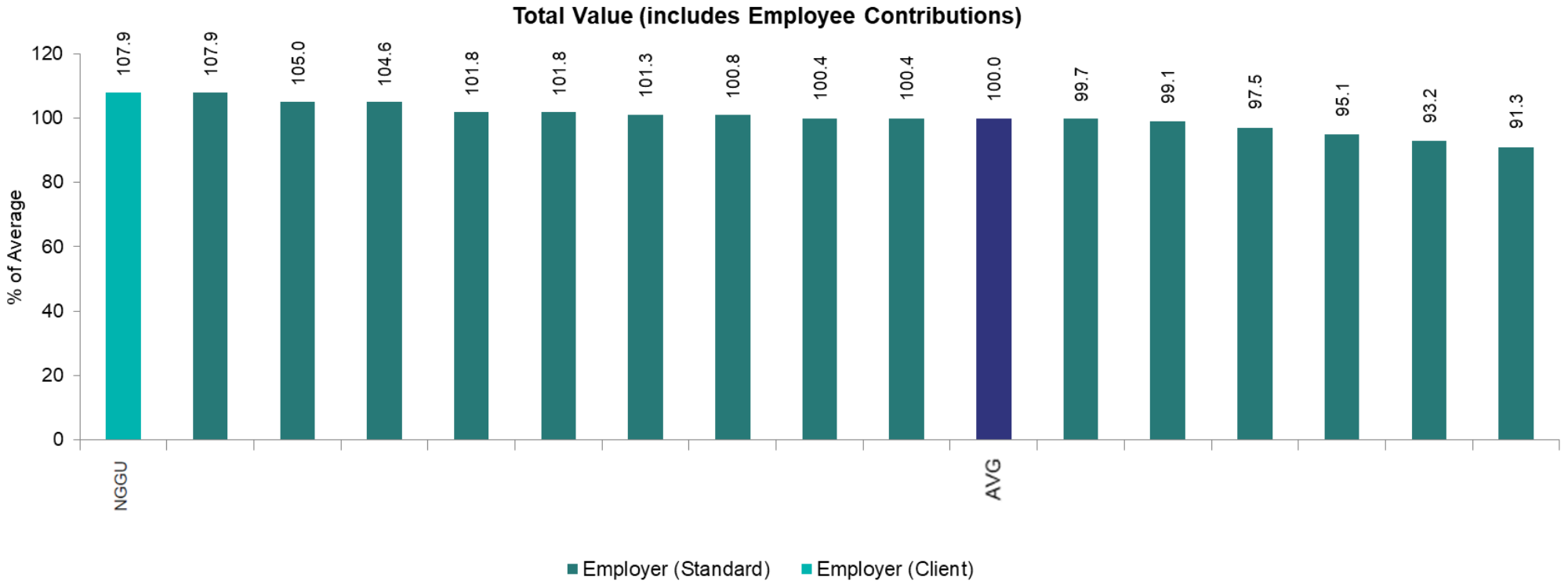
Vacation and Holiday Plan Score and Rank

- The following table summarizes Local 1049's positioning among its peers with respect to vacation and holiday benefits

Vacation and Holiday Plan Score and Rank		
	Score	**Rank**
Employer Value		
Local 1049	107.9	1/16
Total Value		
Local 1049	107.9	1/16

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Vacation and Holiday Plan



- There is minimal differentiation between peers' vacation and holiday plans

Note: results for NGGU are excluded from averages.

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Appendix

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Score Summary

Provision	Employer Value	Total Value
Entire Benefit Program	**118.9**	**120.4**
Defined Benefit + Defined Contribution	108.6	106.2
Defined Benefit	N/A	N/A
Defined Contribution	148.6	125.9
Retirement Events — including Stock Purchase plan	165.1	149.6
Post-Retirement Medical	709.8	352.3
Active Medical	99.9	103.2
Active Dental	128.7	122.4
Basic Life Insurance/AD&D	94.8	88.1
STD + LTD	104.8	100.7
Vacation + Holiday	107.9	107.9

- From both an employer value and a total value perspective, Local 1049's benefits are above the average of its peer group
- As noted throughout the document, while the value of the benefit provisions varies, all ultimately contribute to the overall Entire Benefit Program score

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BENVAL Valuation Methodology

Relative values are determined based on a representative employee group and a standardized set of valuation assumptions/methods; results are not intended to represent actual program costs

- Plan provisions valued are those applicable to newly hired employees; benefits available only to grandfathered groups of employees are not reflected
- Standard population
  - Average age: 44 years
  - Average service: 12 years
  - Average base salary : $79,825
  - Average total compensation: $88,365
- Key economic assumptions
  - Investment return assumption/discount rate: 6.5%
  - Salary increase rate: 3.5%
  - Inflation: 2.5%
  - One-year Treasury bond yield: 3.9%
  - 30-year Treasury bond yield: 5.0%
  - Health care cost trend (for postretirement medical): 6.5% graded to 5% over 5 years

Exhibit__(HRP-4)
Schedule 5
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